India Cements Ltd. (INDIACEM)

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Call: Aug 2022

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(116:1) THE INDIA CEMENTS LIMITED Corporate Office : Coromandel Towers, 93, Santhome High Road, Karpagam Avenue,
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CIN : L26942TN1946PLC000931
SH/ Date: 18.08.2022
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MUMBAI 400001.
Scrip Code : 530005 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.0/1, G Block
Bandra-Kurla Complex
Bandra (E)
MUMBAI 400 051.
Scrip Code: INDIACEM
Dear Sirs,
Sub.: Transcript of Investors Call / Analysts' Meet — Disclosure under
Regulation 30 of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015
In continuation to our letter dated 12.08.2022, please find enclosed the
transcript of the conference call (concall) held on 12.08.2022 with
representatives of various Investors / Analysts on the unaudited Financial
Results of the Company for the quarter ended 30th June, 2022 and the same is
available on the Company's website at www.indiacements.co.in .
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
COMPANY SECRETARY
Encl.: As above
Registered Office Dhun Building, 827, Anna Salai, Chennai - 600 002.
www.indiacements.co.in
VAW,PrInt112-08.202.Es-investoc meet-Aug2022 Email: investor@indiacements.co.in
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The India Cements Ltd P PhillipCapital
"The India Cements Limited
Q1 FY-23 Earnings Conference Call"
August 12, 2022
The India Cements Ltd
P PhillipCapital
MANAGEMENT: MR. N. SRINIVASAN — VICE CHAIRMAN & MANAGING
DIRECTOR - INDIA CEMENTS LIMITED
MODERATOR: MR. VAIBHAV AGARWAL — PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to The India Cements Q1 FY2023 call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited. Thank you and over to you Sir!
Vaibhav Agarwal: Thank you. Good afternoon everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q1 FY2023 Call of the India Cements Limited. On the call we have with us the entire senior management team of the India Cements. I would like to mention on behalf of the India Cements Limited and its management, that certain statements that we may be made or discussed on this conference call may be forward-looking statements related to future

developments and the current performance. These statements are subject to a number of risks, uncertainties and other important factors that may cause the actual developments and results to differ materially from the statements. The India Cements Limited and its management assumes no obligation to publicly update or alter the forward-looking statements whether as a result of new information or future events or otherwise. I will now hand over the floor to Mr. N. Srinivasan — Vice Chairman & Managing Director of the company for his opening remarks, which will be followed by interactive Q&A. Thank you and over to you, Sir!

N. Srinivasan: Thanks, Vaibhav. The story of the quarter under review is a story of unprecedented increase in cost. The cement industry in India to my knowledge has never gone through such a serious increase in costs which has gone through the roof and prices have literally remained static. No doubt the capacity utilization was better during this quarter compared to the same

quarter last
year, but increase in capacity utilization was dampened by the increase in costs. Coal that was $90 a ton went up to $230 a ton.

In the phase of this kind of an increase because the coal affects more than one, the cost of power generation goes up, in fact people started using grid power at Rs.7 or Rs.8 a unit compared to their own generation, which had crossed Rs.10 a unit. The cost for transportation went up, diesel prices went up but for a marginal few rupees, which is neither here nor there. The transportation costs went up all around which affects the incoming raw material and finished product sale. Then we had the situation of fuel. The cost per calorie went up from Rs. 1 to Rs.1.2 to Rs.1.3 to 2.9 crossed Rs.3 per calorie. Under this kind of an onslaught, cement companies could only just grin and bear it, there is nothing really that they can do.

On top of it we had this enquiry by the Competition Commission. The Competition Commission according to them, no producers should talk to another producer. There was a lot of restrictions and what a company can do, what information would be shared, etc. In State government, where we were involved, whether it was for the distributing, buying cement they wanted the market

share of every company, they wanted the movement of the market share and they wanted the cement sale to be distributed as per the market share, so this is completely contrary to what the Competition Commission wanted and I am constrained to point it out because different statements are appearing about the cement industry.

Coming back to the cost, the cost was such that it was not possible for us to bear and as a result of which the EBITDA came down to Rs. 39 Crores which is down from Rs. 165 Crores last year. The cement companies which were able to increase their blending and sell at a shorter distances are the only one who escaped. Companies in the north of India were not that affected because the capacity utilization was close to 100% compared to 60% to 70% for the southern based company, particularly those companies which are very south centric were hit the most.

In our case we have a collection of plants, some of which we have set up and few others that we have bought, acquired, etc., so as the result of which the equipments are different and we do not have standardization in production across all Plants. It is our intention going forward to make use of the revenues that we raise, there is to make improvements in this area. These are the broad points I wanted to mention. I am quite happy to answer to any questions the members may have.

Moderator:

Manish Ostwal:

N. Srinivasan:

Manish Ostwal:

N. Srinivasan: Thank you very much. We will now begin the question and answer session. The first question is from the line of Manish Ostwal from Nirmal Bang Securities. Please go ahead.

Sir, thank you for the opportunity. My question on, what was the average coal cost during the quarter in terms of dollar pattern?

Average coal cost during the quarter was Rs.17300 per ton.

Secondly, in our key markets, how is the pricing currently, can you talk about key markets and secondly, last quarter you mention that we have reduced our distance to control the cost because when I compare some of the player's performance versus India Cements performance on weaker side, so what we are doing to improve the performance in the coming quarters?

As far as what I said is we are going to endeavor at the price to sell closer to the factory to reduce the distance the cement has to travel in the next three/ four months, we expect to have results out of this, we are going to develop and cultivate markets closer to the factory, just to add we had a growth of almost 59% in south and that outside south where the growth was only 17%, so I think that will answer your question.

Manish Ostwal: Yes,

Sir, but in terms of profitability trend, how we should improve the profitability and what is our outlook going ahead?

N. Srinivasan: Going ahead, it is our intention to improve the equipment that we use, we are using ball mills for grinding, we want to use vertical roller mill for cement grinding also, wherever necessary waste

heat recovery, these are all we have chalked out all these Plans, depending upon the revenue raising program, we will improve the equipment in line and improve our efficiencies.
Manish Ostwal: Thank you.
Moderator: Thank you. The next question is from the line of Pratik from Jefferies. Please go ahead.
Pratik: Good afternoon, Sir. So, on pricing do you think like is it pricing can change trajectory post monsoon, I mean for Tamil Nadu particularly you will enter monsoon in Q3, but when you will see like this price trajectory in south?
N. Srinivasan: Pricing generally has been very steady and costs have been passed on to the consumer in the south, this is the first time that the cost increase has not been passed onto the consumer, I think it will change, I think in the next one or two months, we see it will change.
Pratik: Has it anything you do with enquiry and that is why company is not doing it and I mean you indicated about enquiry in your opening remarks so that is my question?
N. Srinivasan: See, at the moment if you look at it very carefully and in detail, every state government is asking every cement company to produce all kinds of figures and details about themselves, about other components, which competition commission says is wrong, so I think government should decide, which is right, which is wrong, but as far as the price is concerned generally companies in the south have increased the prices whenever costs have gone up, so in line with that and in the same way it has happened in the past, I am confident that prices will go up in the next two months.
Pratik: Sir, on the cost front, is it the peak cost realized for you in this quarter or further realized even higher costs?
N. Srinivasan: We have taken many steps to mitigate the increase in coal cost whereas we have imported Russian coal, we have used low quality coal from Indonesia, but the answer to your question is, there are two views, one view is that the coal prices will reduce going forward, but there is another view that says that the coal prices will be firm, not being an international player it is difficult for us to hassle against.
Pratik: Based on whatever you realized in terms of inventory, so from Q2 perspective? What would be our fuel that is my last question?
N. Srinivasan: 65% of imported coal and 35% of petcoke.
Pratik: Sure, Sir. I will get back into the queue. Thank you.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Nirmal Bang. Please go ahead.
Mangesh Bhadang: Sir, my question is related to the opening comment that you made on CCI, [just wanted to know if there is any difference right now in the way CCI has conducted investigation compared to the ways they have done in the past?
N. Srinivasan: Replying to this query which you have raised, I think it will be premature for us to comment on this, we will come back to you, will talk if we have more clarity on this, so we have a timeline and we are in the process. May be premature for us to answer this question now.
Mangesh Bhadang: Sir, even I am also view that because the cost pressures have been quite high, there will be a need for the cement prices to increase to pass on these cost, but it has not happen is that an effect of this investigation or generally the markets have been weaker that is why the prices have not gone up?
N. Srinivasan: I will attribute that

for a variety of reasons, the lack of price, also is a very important factor. We had unprecedented rainfall in all the markets here.
Mangesh Bhadang: Sir, one more question is with regards to the fuel mix, if you can share what our fuel mix has been you mentioned that Russian so what could be imported?
N. Srinivasan: Overall the mix comprises of various coal from various states, actually Indonesia, then US as well as from Russia also, so the overall imported coal is around 65% and 35% is pet coke and most of the pet coke could be in the form of local pet coke.
Mangesh Bhadang: Sir, the overall utilization in south is on the lower side, but we have seen that the likes of Shree Cement, Ultratech, they are trying to increase capacity in the region. How do you see that impacting the current demand supply dynamics over the next two to three year period and what is your expectation of capacity additions over the three year period that is my last question?
N. Srinivasan: In the pandemic period it is very difficult to predict what will happen, so what I expect

production to be, a little bit difficult to say, but all I can say is that the addition to capacity is far, far, far lower than that has been in the past, we are paying for lower capacity addition and it depends on the company, if they feel they can sell everything, they will expand, it is up to the entrepreneurs concerned.
Mangesh Bhadang: Thanks a lot.
Moderator: Thank you. The next question is from Mudit Agarwal from Motilal Oswal Limited. Please go ahead.

Mudit Agarwal: Thank you, Sir for the opportunity. I had a book-keeping question like, how much is our total volume for this quarter?
N. Srinivasan:
Mudit Agarwal:
N. Srinivasan:
Mudit Agarwal:
N. Srinivasan: The total volume for the quarter is 26.72 lakhs tons including clinker.
How is the clinker as well?
1.19 lakh tons.
And this aggregation is our breakup of your revenue, how much is from wind power and shipping as well as EBITDA?
Shipping actually there was a maintenance so the revenue was lower at 3.3 Crores, EBITDA 1.4 Crores negative, wind was 5.6 Crores income, 4.4 Crores EBITDA, RMC was 26 Crores income and EBITDA was 1.5 Crores.
Mudit Agarwal: Thank you, Sir.
Moderator: Thank you. The next question is from Parth Bhavsar from Investec India. Please go ahead.
Parth Bhavsar: Thanks for the opportunity, Sir. Sir, in terms of realization what has happened post June exit, has prices corrected in the south region and if yes by how much?
N. Srinivasan:
Parth Bhavsar:
N. Srinivasan:
Parth Bhavsar:
N. Srinivasan:
Parth Bhavsar:
N. Srinivasan:
Parth Bhavsar:
N. Srinivasan: More or less for the same level, if you look at the quarter there was some plus and minus here and there, we will take it at Rs.300, prices remain steady. It has not gone up that is the worry, it has to go up because of the cost pressure.
You are expecting that it will grow up like monsoon goes ahead?
Hopefully, in two months time we should see better prices.
Right and Sir, in terms of your consumption cost in coal so what is it Q4, you said it is 27300 in Q1, what was in Q4?
14300.
You expect this to go up or it will stay at this level?
At present it is remaining at same level as Ql.
As Ql level and you have any inventory, how long will it last for?
Around two months inventory.

Parth Bhavsar:
Moderator:
Prateek:
N. Srinivasan:
Prateek:
N. Srinivasan: Thank you so much, Sir. That is it from my end.
Thank you. The next question is from Prateek from Jefferies. Please go ahead.
Sir, thanks for the followup. I wanted to understand south region probably is going very good on volume front, so what particularly has picked up and sustained like on the previous quarter?
I could not g

et your question clearly, can you repeat it?
Volumes in South are holding up very well so demand of which region helping you?

The capacity utilization in the south is 70% or something, whereas in the north it is almost 100%,
so south is still very behind.
Prateek: So, utilization will be hanging most probably we have more capacity, but on volume front also?
N. Srinivasan: Growth which you are seeing this is a low base of last year same quarter, if it absolute number I think we have just marginally up.
Prateek:
N. Srinivasan: So, on that side, but even quarter-on-quarter our volumes, while you mention that monsoon is a season for price weak, but obviously Q1 is at monsoon and our pricing have also better Q-on-Quarter, volumes have also better Q-on-Quarter, and I did not thinks in the regions company reported like sort of improvement in volumes on a quarter-on-quarter basis?
What you said is right, actually sequentially normally from Q4 to Q1 the volume dips, but at this time it has remained steady, but the only reason I told you that last year same quarter had a very low base, second is there is a little bit pent-up demand which has come in, which is showing that the monsoon is having effect in last two months, so that is where Andhra, Telangana, Karnataka demands has taken a dip, but it is not that it is externally high.
Prateek: But price hikes not happening in Q I in a major way, I mean monsoons should not be a reason for that or rain?
N. Srinivasan: Definitely there are variety of reasons, not only one reason variety of reasons, which has not allowed us to increase the price. To put it very bluntly we are not able to sell at a higher price I mean that is the fact of it.
Prateek: That means it is like a customer push or demand elasticity which is creating impact?
N. Srinivasan: The demand for cement was not strong enough to enable prices to be pushed up.
Prateek: Sure and Sir, what could your EBITDA on standalone and consolidated basis?

N. Srinivasan: Rs.39 Crores standalone.
Prateek: And a consolidated level?
N. Srinivasan: Rs.50 Crores consolidated
N. Srinivasan: You can move to the next question if you have, we can come back on that.
Prateek: These are my questions. Thank you.
Moderator: Thank you. The next question is from Ritesh Shah Investec India. Please go ahead.
Ritesh Shah: Sir, thank you the opportunity. Sir, just wanted to check on the CCI thing, what is the duration for which actually they are probing it something historical because to my understanding there are two different years they are looking at, so how one should understand this?
N. Srinivasan:
Ritesh Shah:
N. Srinivasan:
Ritesh Shah: I do not know what period, they asked a few questions that is all, it is difficult to find out what they are looking at.
Historically there has been two different periods what they have looked at, so is it something you are looking into or is it the data pertaining to the past, what they are actually probing in?
See, we are in the process of replying to this and they raised to 21 companies and I think this is premature for us to really make any comment on what the discussion is all about because every company must have got a different question, so for us to call, but that also for us it is a premature to talk.
Sure, Sir, perfect and Sir, my second question was how do you see consolidation in the industry? Do you think it can happen forward how do you think that one has to take 5, 10 go of the industry so how do you see the industry landscape actually evolve?
N. Srinivasan: I am not able to see the next six months in the cement industry because of the fuel crisis. At the moment everybody is trying to sort out his immediate problem, at least we are.
Ritesh Shah: Sure, Sir. Last question, on a consumption basis can you indicate how much was

the fuel
consumption now, fuel consumption on a rupees per kCal basis Rs.2.60 to Rs.2.70 for the quarter and how is it on spot basis?
N. Srinivasan: It is around Rs.2 70 paisa per kCal for the Ql. It was round 1.6 for the same quarter of previous year, fourth quarter was 2.23.
Ritesh Shah: And on spot basis, Sir, would it be higher or at far as Q4 number or Q I number?

N. Srinivasan: It should be around same around 2.7 to 2.75.

Ritesh Shah:
N. Srinivasan:
Ritesh Shah:
Moderator: Sir, one basic question, when we give this number on rupees per kCal basis, are we only looking at thermal coal and pet coke or do we also take into account CFR or other fuels also that we actually use?
Their usage is very minimal. Actually 3% to 4% only, but all cost is all taken together totally.
Perfect, Sir. Thank you so much. Wish you good luck. Thank you.
Thank you. Ladies and gentlemen, that was the last question. I would like to hand the floor back to Mr. Vaibhav Agarwal for closing comments. Thank you and over to you, Sir!
Vaibhav Agarwal: Thank you. Sir, before we end the call, just wanted to know your thoughts about our expansion plans in Central India if there is any feedback in the near future or not, just wanted to have your thoughts on that.
N. Srinivasan: I will talk offline to you.
Vaibhav Agarwal: Thank you. On behalf of PhillipCapital India Private Limited that concludes the call and thank you very much for the management. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2022

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Dear Sirs,
Sub.: Transcript of Investors Call / Analysts' Meet — Disclosure under
Regulation 30 of SEBI (Listing Obligations
Requirements) Regulations, 2015 and Disclosure
In continuation to our letter dated 07.11.2022, please find enclosed the
transcript of the conference call (concall) held on 07 11 2022 with
representatives of various Investors / Analysts on the unaudited Financial
Results of the Company for the quarter and half year ended September 30,
2022.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
COMPANY SECRETARY
Encl.: As above
,ISEs•investor meet-Transcript-Sept 2021 A. Email: investor@indiacements.co.in
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The India Cements Ltd PhillipCapital
"The India Cements Q2 & H1 FY23 Earnings
Conference Call"
November 7, 2022
P PhillipCapital „
The India Cements Ltd
MANAGEMENT: MR. N. SRINIVASAN — VICE CHAIRMAN & MANAGING
DIRECTOR — INDIA CEMENTS LIMITED
MODERATOR: MR. VAIBHAV AGARWAL — PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

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Moderator:
Vaibhav kgarwal:
Management: Ladies and gentlemen, good day, and welcome to The India Cements Q2 and HI FY23
Earnings Conference Call hosted by PhillipCapital (India) Private Limited. As a reminder, all
participant lines will be in the listen-only mode. There will be an opportunity for you to ask
questions at the end of today's presentation. Should you need assistance during the conference
call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note
that this conference is being recorded. I now hand the conference over to Mr. Vaibhav
Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.
Yes. Thank you, Tanvi. Good afternoon everyone. On behalf of PhillipCapital (India) Private
Limited, we welcome you to Q2 and HI FY23 Call of The India Cements Limited. On the call

we have with us the entire Senior Management team of the India Cements.
I would like to mention on behalf of The India Cements Limited and its management, that certain statements that may be made or discussed on this conference call may be forward-looking statements related to future developments and the current performance. These statements are subject to a number of risks, uncertainties and other important factors that may cause the actual developments and results to differ materially from the statements made. The India Cements Limited and the management of the company assumes no obligation to publicly update or alter these forward-looking statements whether as a result of new information or future events or otherwise.
I will now hand over the floor to Mr. N. Srinivasan — Vice Chairman & Managing Director of the company for his opening remarks, which will be followed by interactive Q&A.
Thank you and over to you, Srinivasan sir.
Thanks, Vaibhav. Good afternoon, ladies and gentlemen. The second quarter India Cements incurred posted a loss, which is the highest in its history so far. What caused this? An unprecedented rise in the cost of coal which naturally increase the cost of production which could not be compensated by an immediate price increase. As a result of which, see, the cost increase

d because of direct fuel cost, it increased because of the cost of power. Coal to power also went up and packing materials. As a result of which it was impossible at that time to immediately pass on the increase in cost to the consumer. So, we had to bear it. There is no other reason except that the material cost of coal shot through the roof.
Efficiency of the factories were okay. We really did not have any other reason for the increase in cost and consequence variable cost going up. I mean, what was 2,300, 2,000, 2,100 went up to 3,600,3,700, and it was not possible to what happens now? We have now the cement industry as a whole I think I have seen the cost increase, and as a whole I think there is a general feeling that all prices must go up. We are seeing signs of it with the last month we had there was an increase, and this month there will be a further increase.

So, I expect that by the end of this month, the prices of cement, cement prices would have gone up to such an extent that they will for all companies it will be close to breakeven, and next month the increase contemplated will push cement industry into the black. This is the plan. Hopefully, it fructifies. And if you ask me, I have no doubt that it will fructify.
I am happy to take any questions that the members have.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manish Oswal from Nirmal Bang Securities. Please go ahead.
NIanish Oswal: Thank you for the opportunity. My first question on our average coal cost per ton in this quarter compared to quarter one FY 23.
Management: Coal cost per ton current quarter compared to --
Management: 2,600 average cost. Current Quarter 20,552.
Management: 20,552.
NIanish Oswal: Versus last quarter, sir?
Management: 17,285.
Manish Oswal: Secondly, sir, you comment about the industry turning into black in the next quarter. So, how is the pricing after the festive season in the market?
Management:
Nioderator:
Amit Nlurarka:
Management: See, I am not talking of the industry as a whole. It is possible that the industry will turn into the black provided people increase the prices. After the festive season, the demand is brisk. The demand is showing signs of picking up after Diwali.
Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
So, continuing on the power and fuel costs, so what kind of decline are we expecting in the third quarter on that number?
You see I am not expecting a decline in the cost of coal. Coal, you see, for example, if you were to import American coal, the lead time is 2.5 months. So, I should have booked coal now. The coal I have booked is at the current prices which will land 2.5. So, for 2.5 months there will be no effective increase, decrease in the cost of coal. What I meant was that the price of cement will go up. The margins will reappear not because the coal cost is going down. It is because the cement price is going up, which is what we expect.

November 7, 2022
Amit Murarka: Also on volumes, like can you please share the number or break up in terms of whatever cement sales and clinker sales?
Management: 22.23 lakh tons was the cement sales and clinker sales was only 4,000. Sorry. 22.50 lakh tons was the sale of cement and 0.04 lakh tons was the sale of clinker.
Amit Murarka: 22.5 and 0.4.
Management: 22.54 in total, clinker and cement put together.
Amit Murarka: So, 22.54 which includes 0.4 of clinker.
Management: Correct. 0.04. 4,000 tons of clinker sale. 0.04.
Amit Murarka: 0.04. And also like generally after the entry of Adani, like, generally, there is an expectation of consolidation in the sector and all that. So, what are your views on that? Like do y

ou also think
that there could be a lot of consolidation here.
Management: I am busy trying to increase the price of cement. See the consolidation, if it happens, it happens, but I have no view.
Amit Nlurarka: So, far, I mean, as a service business as usual as of now even though --
Management: Yes, business as usual.
Amit Nlurarka: And the last question is, also, there was some change in the discounting structure and pricing structure that was being attempted after I believe the change of ownership. So, how do you think this will impact the price realizations generally for the industry?
Management:
Amit Murarka:
NIanagement:
Amit Murarka: See the people do not, they wanted the invoice price to be respected, and you sell at the invoice price, don't allow the sale at a lower price, and then compensate the dealer later. This is what was suggested by the Adani. Some companies have accepted and adopted it although everyone accepted it. It is followed by some, by some not.
So, it's not industry-wide that this has happened then?
You see the attempt is industry wide.
But does it not reduce the price flexibility and like ability to kind of react to demand patterns and all that in case this happens?
Management: No, which you say is the, are you saying the new system is better than the old system?

Amit Murarka:
Management:
Moderator:
Krishna Kumar:
Management:
Krishna Kumar:
Management:
Management:
Krishna Kumar:
Nlanagement: No, I think in the new system, doesn't it reduce the flexibility to react to changes in demand and all that if you follow the invoice pricing?
See, ultimately, in any product, invoice has to be respected, isn't it? See, if you go to buy a motorcar, can you buy it in less than the invoice price? So, it is a good system, but it needs a lot of concentration and a lot of effort to make it happen. Some companies are doing it very well. Some are halfway, but I think, ultimately, it is a good system for the industry.
Thank you. The next question is from the line of Krishna Kumar from Lion Hill Capital. Please go ahead.
Sir, just a question on the pricing that's happening in the industry. We have also other players in South which have commissioned, you know, capacities and also on the grinding side also added capacity. So, given the current environment of supply etc., is it reasonable to expect pricing to be stronger, sir, in the next six months to one year at least, given that so much supply also is coming to the market, sir?
You see, cement is a product where if one, I mean, you can choose volume; you can choose price. If you choose volume overprice, you will have a problem, because our experience shows that even though more capacities come, I don't know where the integrated capacity in South is coming. In south means I am talking Tamil Nadu. The other grinding units, they need clinker from some source. But to answer your question, I still expect pricing to be strong.
Sir, the other question is on the transaction we did in early October. So, we have about another 100 crores to be received basically. So, is it a correct understanding, sir, on the transaction?
You mean transaction of India Cements?

See, we have received 500. We are yet to receive 100.
And this completely goes towards your balance sheet reduction in terms of debt, sir, consideration?
See, what we have done is about 200 crores has gone for correcting the current ratio. Balance money is sitting as a reserve. We will repay all our obligations, debt obligations without touching this cash hold.
Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Sir, couple of questions. First is on power and fuel cost. Can you indicate on a rupees per Kcal basis, how much was it for the quarter and in the prior quarter? Krishna Kumar:
Ritesh Shah:
lanagement: Coal was Rs. 3.26 per Kcal.

Ritesh Shah: So, that was in Q2. And in Ql?
Management: 2.69.
Ritesh Shah: 2.69. And sir, can you give a directional, basically, some commentary on how it could actually fare into Q3 or Q4 based on the inventory that we have or the bookings that we have done?
Management: You see, the expectation is that coal will be closer to 3 and maybe just a shade under Rs. 3 per Kilocal.
Ritesh Shah:
Management:
Management:
Ritesh Shah:
Management:
Ritesh Shah:
Management:
Ritesh Shah: So, this looks higher than what we had in this quarter. So, is it on back of are we carrying some high-cost inventory? Or is it on the back of the trend line that we are looking at when it comes to fuel prices?
Lower than quarter 2.
It will be lower than quarter 2. Quarter 2 is 3.26. Quarter 1 is 2.69. So, we are expecting the third quarter to be hovering around Rs. 3.
Rs. 3. That helps. Sir, my second question was on pricing. Srinivasan sir, you indicated that few mills are actually going ahead on reducing the price between the invoice price and the mail price. So, I just wanted to understand broader at a industry level, why would few mills actually not do this because it is in the benefit for everyone, right? If you could broadly explain at a industry level, that would be very useful.
I cannot answer for the others what they do, because all I can say is a suggestion made that why not have greater importance to the invoice price. I agree. I hold the same view. So, slowly people will change to it.
Sir, I had a related, not exactly a related question but more on taxation. Sir, recently, government came up with a notification wherein if it comes to gold coins or overseas trips that we do it for the dealers, there would be an additional tax also on that. Sir, what will be our stance over here? How should we look at it? So, if you are giving gold coins to dealers, how should we look at it? Like does the math change. How should we understand this, sir?
Most of our discounts are only through credit notes. Only a very fraction of the discount is given as gold coins. Wherever gold coins are issued, effective the new section— 194R came into effect. We are deducting tax and remitting it to the government.
That's quite helpful. And sir, lastly, a question on Springway. Sir, so we got pretty decent valuations over that. I just had a clarification. Did we have any incentives on that particular asset from the state government?

Management:
Ritesh Shah:
Management:
Moderator:
Shouvik Chakraborty:
Management:
Shouvik Chakraborty:
Management:

Shouvik Chakraborty:
Nlanagement:
Shouvik Chakraborty:
Management:
Nloderator:
l'rateek Kumar: No, we did not start producing, no?
Correct.
But that is a separate company. So, it has nothing to do with us. India Cements is the investors here.
Thank you. The next question is from the lion of Shouvik Chakraborty from Dolat Capital. Please go ahead.
Sir, I would like to know the, can you just share the fuel mix for this quarter?
Coal is 84%. Petcoke 11%.
So, can you just repeat? Sir, I was not able to get it. You said 7% Petcoke, right?
Coal is 84%. Petcoke is 11%.
And also, can you please let me know the consumption cost per Kcal in Q2 FY22? Consumption cost per Kcal for Q2 FY22?
Q2? Q2 last year, 1.67.
1.67. And also, the last question on the pricing front. So, you said that you saw price hike both in October and in November. Can you quantify that number? By how much did you see that increase in October and also in November, like starting in November whatever you saw?
The full invoice price we did not get, but we got an increase. See the rate is that was updated. It is that in different states we got different prices. For example, Maharashtra, Gujarat, MP, Rajasthan East, we got nothing, zero. The

re was no increase at all whatsoever, whereas in Tamil Nadu, Kerala, Karnataka, Andhra, Telangana, we got between Rs. 30 to Rs. 40 a bag. So, you have to look at the average for total sales, and that is the price increase. Another Rs. 20 from Rs. 15 to Rs. 20 is being attempted from 3"lof November.
And also, this last question on the volume front. Can you please share the volume for Q2 FY22, I mean, last year, Quarter 2?
22.53 lath tons of cement and 1.07 lalch tons of clinker.
Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
My first question is on the segmental data, which you generally give shipping, windmill and RMC revenue and EBITDA. Management:
Shom ik Chakraborty:

Nlanageinent: Shipping revenue for the quarter is 14.43 crores. And EBITDA is 8.92 crores. Windmill is 8.02 crores of total revenue, EBITDA of 6.61. RMC is 29.16 revenue and EBITDA of 2.28 crores.
Prateek Kumar: Sir, how much was the windmill EBITDA you mentioned? You mentioned windmill revenue of 8.02 crores. EBITDA was how much?
Management: 6.61.
Prateek Kumar: 6.61.
Management: Revenue 8.02, not 8.22. And EBITDA of 6.61.
I'rateek Kumar: And what's the net debt position as of first half FY23? Net debt position as of FY first half '23?
Management: Debt position.
Management: Total debt as of September 30.
NIanagement: No, net debt he wants.
Nlanagement: Net debt not much of difference.
Management: Not much of a difference. The total debt is 2,937 crores. 2,937 crores as of September 30.
I'rateek Kumar: And it should go down by 500 crores post the receipt of money on the sale of MP business?
Management: Not 500 crores. 300 crores.
I'rateek Kumar: 300 crores. And just one question on last quarter call we mentioned about there were some queries from CCI from various companies in South and in other regions. Has that thing been settled now? Or it has like been pushed to a later period?
Management: There is no action on that. We have not heard anything about it. We have filed our replies and waiting for a response from CCI.
Moderator: Thank you. The next question is from the line of Ravi, individual investor. Please go ahead.
Ravi: My question is, can you please provide the RMC and shipping, windmill segment wise data quarter-on-quarter as well?
NIanage m e nt: RMC Q1 total revenue is 26.04 crores and EBITDA 1.46 crores. Windmill, total revenue 5.66 crores, and EBITDA 4.44 crores. Shipping 3.32 crores is the total revenue, and EBITDA of (-1.39) crores.

Ravi:
Management:
Moderator:
Vaibhav Agarwal: And RMC for current quarter was?
RMC for the current quarter was 29.16 crores of total revenue and 2.28 crores of EBITDA.
Thank you. As there are no further questions, I now hand the conference over to Mr. Vaibhav Agarwal for closing comments.
Thank you. On behalf of PhillipCapital (India) Private Limited, I like to thank the management of The India Cements for the call, and many thanks for supporting joining the call. Thank you very much. You may now conclude the call, Tanvi. Thank you.
Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

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Dear Sirs,
Sub.: Transcript of Investors Call / Analysts' Meet - Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
In continuation to our letter dated 03.02.2023, please find enclosed the transcript of the conference call (concall) held on 03.02.2023 with representatives of various Investors / Analysts on the unaudited Financial Results of the Company for the Quarter and Nine Months ended December 31, 2022.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
COMPANY SECRETARY
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“The India Cements Limited Q3 Nine Months FY'23
Earnings Conference Call ”

February 0 3, 202 3

MANAGEMENT : MR. N. SRINIVASAN – VICE CHAIRMAN & MANAGING DIRECTOR , INDIA CEMENTS LIMITED .

MODERATOR MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED .

Moderator : Ladies and gentlemen, good day, and welcome to the India Cements 3Q and Nine Months, FY'23 Earnings Conference call hosted by PhillipCapital (India) Private Limited.
As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.
Vaibhav Agarwal : Good afternoon everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q3 and Nine Months FY'23 Call of The India Cements Limited. On the call we have with us the entire Senior Management team of the India Cements.
I would like to mention on behalf of the India Cements Limited and its Management , that certain statements that may be made or discussed on this conference call may be forward - looking statements related to future developments and the current performance. These stateme nts are subject to a number of risks, uncertainties and other important factors that may cause the actual developments and results to differ materially from the statements made. The India Cements Limited and the management of the company assumes no obligat ion to publicly alter or update these forward -looking statements whether as a result of new information or future events or otherwise.
I will now hand over the floor to Mr. N. Srinivasan – Vice Chairman & Managing Director of the Company for his opening re marks, which will be followed by interactive Q&A. Thank you and over to you, Srinivasan Sir.
Management : Good afternoon. This quarter is a quarter which signifies the changing position in the cement industry. After several years of steady growth, we ran in to a situation where the fuel prices went --- Not able to hear you Sir.
Hear me now? Now is it okay?
Okay , the cement industry went through a very difficult time . I would call it not only difficult , a different time compared to what it had experienced in the past . The main fuel for cement industry is coal , and the price of coal shot up from $100, delivered price of coal , it went to $230. So, this increase could not be managed by the cement industry, many of the companies were in the red. And not only was the price of coal high, availability of coal also was difficult. The only option left to the cement industry was to cut the variable cost . Several companies adopted different measures. India Cements decided that we would ask experts in the cement

industry to take a look at our main c ost, to our energy cost, whether it was the coal or the power . And suggests ways by which we could improve the situation . We can improve the situation , because we have a multi -layer group of plants of different vintage , of different origin . And therefore, it is possible for us to reduce the variable cost of cement by attending to this.
We have asked Krupp Polysis and FLSmidth to submit reports on what ca n be done. Once we get the reports then we will implement what can be done in a reasonably quick time. The cost of this, it is difficult for us to predict it now, but it may be between Rs. 1,500 Crores and upwards . We are not intending to borrow anything . We have enough non -cement assets, which we can , if necessary dispose -off to raise the funds for such exercise. So, therefore, we won , the first step we had taken is we have taken a reasonably medium -term to long -term where we will refurbish all our plants and without any borrowing, which should augur well for the Company .
The second thing is that we are going to also make , i

ncrease the percentage of blended cement
that we produce . We are quite confident that we ca n sell the blended cement that we produce . And therefore, this will reduce the cost of production.
The third item that we are looking at is we are producing different , newer varieties of cement which have got already market share in the cement industry. So , we will go into these areas also. So, sum and substance with all these, our aim is to reduce our variable cost , to increase the overall volume of cement , and have a lower production cost. With this we expect we will be able to get out of the difficulty that we have encountered.
We are quite confident of achieving this , because we are not going to , in a way we are not going to any rocket science ideas. These are plain and simple changes to the various Pyroprocessing processes. And therefore, we are quite confident that this will succeed. These are my preliminary remarks. I will be very happy to respond to any questions that you may have.

Moderator : Thank you , sir. We will now begin the question -and-answer session. The f irst question is from the line of Rajesh Ravi from HDFC Securities . Please go ahead.
Rajesh Ravi : Can you s hare housekeeping numbers , what is the cement sales and clinker sales in this quarter , and cement production , clinker production ?
Management : Clinker production during the quarter was 17.12 l akh tons and cement and clinker sales was 21.82 lakh tons.
Rajesh Ravi : And can you also share what is the segmental numbers of the shipping , wind and Trishul?

Management : Shipping was Rs. 15 crores turnover. And then windmill was Rs. 1.3 crores and RMC Rs. 28.36 crores .
Rajesh Ravi : And can you share the EBITDA for three segments?
Management : Shipping was around Rs. 8.6 crores , and the windmill was practically nil. And RMC was around Rs. 2.3 crores .
Rajesh Ravi : Yes and the trade notes at OPC and PPC, am I audible?
Management : 55-45, trade is 55%.
Rajesh Ravi : Trade is 55%, okay.
Management : And you can see the same ….
Rajesh Ravi : Okay . And what was the fuel cost per kilo cal this quarter ?
Management : It was around , one second , Rs.2.95.
Rajesh Ravi : And versus Q2?
Management : Rs.3.26.
Rajesh Ravi : Okay. And sir, how are you looking at this quarter? Q4, what is the current run rate, consumption basis?
Management : Around Rs. 2.75.
Rajesh Ravi : Okay, so 10% reduction is what you will see. And, just what you mentioned that you are engaging certain variable cost friction. So, what is your quantum of selling and by when do you see this can be realized?
Management : See we are about to get the report. And I mean, we are expecting about eight to nine months , early part of the changes, and then it can go up to 11 to 12 months also.
Rajesh Ravi : And quantum , prim a facie, what is the number you are looking at , broad sense ?
Management : See it depends on the report , and what we decide to do out of it. So, I cannot , I mean, we are supposed to get the report in the next three , four days. So, I will be guessing now .

Rajesh Ravi : Two more questions , if I look at employee cost run rate , it is around Rs.92 crore quarterly, which is al most 10% higher YoY . Is it all inflation led or is there any increase in , you know, can you explain that . And also, sequentially if I look at your other expenses while volumes are down, why would have other expenses gone up , because all costs would be trending lower , packaging cost etc.
Management : Can you kindly repeat the first part of the question , please ?
Rajesh Ravi : Employee cost run rate is from Rs.92 crore , in this financial year versus at Rs.82 crores in the preceding year , Rs.83 crore preceding year so, any sense on what is driving this jump ?
Management : I will just answer the question to

the employee cost, employee cost in quarter includes, there was a gift that was given for 75 years of India Cements, celebrating our Platinum Jubilee, it include s that cost. So, that is the primary reason for the increase in employee costs in this quarter.
Rajesh Ravi : And h ow much is this increase ? What is the quantum of that one -off increase in this quarter?
Management : In this quarter it is close to Rs.7 crores.
Rajesh Ravi : And second is other expenses sequentially , while volumes have come off by 3% to 4%, other expenses are still higher , Q-on-Q?
Management : It goes from Rs.26 crores to Rs.45 crores.
Management : It was an increase in consumption .
Management : Stores and repairs has gone up from nearly Rs.26 crores in the same quarter of last year , to around Rs.45 crores, because some refurbishment o f the --
Rajesh Ravi : Quarter -on-Quarter , this quarter versus September.
Management : What was September? September was around Rs.34 crores.
Rajesh Ravi : And this quarter, how much it is there?
Management : Rs.44 crores .
Moderator : Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : My first question is , can you throw some light on the demand and pricing environments in South li ke over past 3 to 6 months. So, the pricing has failed to improve in the region even in the month of January and it probably has declined. So, can you throw some light on the pricing environment in your region?
Management : The demand has been slightly better than earlier which gives us hope that going forward the demand will pick up sufficiently for prices to move up . I agree with you that the prices did not increase in the past . But there is every expectation that it will go up in the near future .
Prateek Kumar : And your volume growth of 3% to 4% year -on-year, is it in line with regional growth , because there is some improvement , we have heard in South like to the tune of double digit growth s in the region. So, I mean are we like slowing down our growth or market share in the region ?
Management : So, for nine months the volume growth has been around 11% as compared to the region growth of 13% .
Prateek Kumar : And regarding , there was this recent settlement of employees on , I mean, I think Trade Union , can you throw some light , how will this impact employee cost from next quarter or is this , material impact on employee cost?
Management : What we have done is that there was an increase of – Rs.5000 per person per month -- that this increase is to be split into two compartments , two deliverables. So, they will , first -- Rs.2500 and Rs.2500 in two installments .
Prateek Kumar : Okay. So, our annual employee cost of Rs.330 crores , I mean it is going to materially impact this numbers , Rs.330 to Rs.350 crores number?
Management : It will be only Rs.4 to Rs.5 crores will be the impact on account of this .
Management : This is only for the non -managers .
Management : Non-managers.
Management : This will apply to 500 people , who are the non -management workers. So, therefore, the effect will be minimal . It is around Rs.4 to Rs.5 crores for the year as a whole.
Management : See it is like this, the settlement covers April '22 to March '24, will be Rs.2500 . And from April '24 to '26, it will be another Rs.2500. So, the impact is negligible when compared to , we you have a total in terms of approximately about 500 people, on that basis it will come to hardly Rs.1.5 to Rs.1.6 crores per annum.
Prateek Kumar : So, Rs.4 crore to Rs.5 crore including the two installments --

Management : Yes.
Prateek Kumar : And just one more thing , so how are we loo king at like sort of volume growth for our industry , like our next year , and I mean, you said some improvement in pricing expe

cted, but how is the industry looking at volume versus pricing o ver next year ?
Management : You are talking about our current year , January /March or you are talking about next year ?
Prateek Kumar : FY'24.
Management : Our expectation that the growth will be good in South , because it's a pre -election year . We think the growth will remain at around double -digit numbers in the South .
Prateek Kumar : And last question , are you mentioned about refurbishing all the plants while you are awaiting more details on that. And you said that you are not looking to raise debt, so is it part of like your normal rout ine capital expenditure you do every year like Rs. 100 crore or is this like part of another , some major expenditure which you are looking to inc ur?
Management : This will be a major exercise --
Management : This will be, this is not the normal CAPEX . It is to refurbish those parts of the equipment that need it, but at the same time it is not a colossal expenditure , it maybe -- the amount to be will not be that excessive .
Prateek Kumar : So, you would not be knowing that amount as o f now, we w ould like talk more about it , maybe next quarter results ?
Management : Yes.
Prateek Kumar : And when we say that we are looking to increase blended cement mix from currently 55% so what is the target mix there?
Management : The target is 65%.
Prateek Kumar : That will also include the trade segment going up from 55 % to 65% or that like the non-trade segments contributing to incremental b lended cements ?
Management : It has to be a combination o f two, but mostly trade segment , you are right .
Pratee k Kumar : So, increase in trade mix you are targeting over next, as part of new strategy that will also reflect --?

Management : Yes.
Moderator : Thank you. The next question is from the li ne of Vishal from IDBI Capital . Please go ahead.
Vishal : Thanks a lot for the opportunity , this side, Vishal from IDBI Capital . Continuing on this salary negotiation from industry point of view, I thi nk media reports highlight like earlier , India Cement was doing it in a collective way for the full cement indust ry, and now it has been done at your level and only for your company. So, does this indicate like some differences between the h ike which wages , I mean like the people should get it or probably an employee should get it, and that is earlier used to be like in one sync, now it is not. How one can read more into it ?
Management : The only way to read is that trying to get an arrangement for the entire cement industry was taking time. India Cements felt that they could come to a settlement quite quickly. So, in half a day, actually, this settlement was signed. And almost one year had passed. So, India Cement management f elt it was taking too much time that we should not make the employees wait that long, that's all nothing more.
Vishal : Now, will this mean that it will be done separately by each company at their own level?
Management : No, I think the rest of the industry is planning to meet with the labor .
Moderator : Thank you. T he next question is from the li ne of Abhimanyu Kasliwal from Choice Equities. Please go ahead.
Abhimanyu Kasliwal : I actually had , I was going to ask you about volumes which were generated this quarter , because I joined up a little bit late , and the reason for that is th is number was not on the con-call invite, which was given to the exchanges. So, if you could just look into that.
My next question besides the volume is, if you may answer this , I am a bit, my question is your property , your la nd portfolio if you could provide us a little bit of idea as to whether the company has any plans for that. I know that is not an operating activity, but our land portfolio is so large 28,000 ac res or so. So, we would love to get some kind of clarity on that .
Management

: Your question is , what is the value of the land we want to sell i s it?
Abhimanyu Kasliwal : Whatever you could tell me about the land portfolio , whether you hope to sell it --
Man agement : We are selling only surplus land. This land will not be used for cement or byproducts at all. We will raise as much money as we needed for the refurbishing , for which we will get the cost in the next few days , and within a week we will get it . And it is possible for us , we have lands bunched up together. We have lands which are separate also. So, depending on what we want , we are in a position to sell that aspect of land.

Abhimanyu Kasliwal : But again, like I said, if you could g ive some idea as to what is the value of the land portfolio that we have , I mean 5000 crores, 10,000 crores, 28000 acres, we don't know where the land is we don't know anything at all. So, it will give us a whole new dimension to valuation .
Management : For yo ur information, we never thought that we have to sell the land, but because of the cost of coal going up, we have to sell small parts of the land . It is difficult for us as we have not made valuation , for me to be in a position to satisfy your curiosity.
Abhimanyu Kasliwal : But if you could do it , sometime if the c ompany to do it , sometime in the future that would help us provide even better valuation to India Cement , I am sure , sir.
Management : Thank you .
Moderator : Thank you . The next question is for the li ne of Rajesh Ravi from HDFC Securities . Please go ahead.
Rajesh Ravi : I just have two questions , first on Springway what was the amount you had invested in this against the income that you have received , sales proceed you have received?
Management : The total investment was Rs. 308.72 crores. Out of which there was a loan of Rs.126 crores.
Rajesh Ravi : Sorry.
Management : Rs. 308 crores of the investment .
Rajesh Ravi : And against which if you have sold it for Rs. 2 94 crores.
Management : No, the profit on sale is Rs. 2 94 crores.
Rajesh Ravi : And what is the income booked on same sir?
Management : So, you have to take it as the total sales value Rs.476 crores . So, investment value is Rs.308 crores minus Rs.126 crores which was the advance that w as given, so the investment value is about Rs.182 crores.
Rajesh Ravi : Okay .
Management : Profit o n sale of investment is Rs. 294.28 crores.
Rajesh Ravi : Okay.
Management : I mean, it’s given as a note that in the Financial Results.

Rajesh Ravi : What is the tax on the same?
Management : Specifically for the sales there will not be tax.
Management : There will be a capital, l ong term capital gain on this sale, so there is a provision under IT Act which enables us to set-off business loss against long term ca pital gains. So, we make use of that and there won't be any tax out flow during the year on account of a long-term capital gain.
Rajesh Ravi : No, why I am asking is these losses before this deal, there is a Rs.22 crores of deferred tax which is booked. So, this should be on account of the profit that you have booked for the Springway. So, just wanting to know if I exclude the Springway sale, what would be the deferred tax number for the quarter --?
Management : The PBT excluding the capit al ga in is Rs.180 crores minus negative that is loss. It will be net off with the entire Rs. 294 crores against the nine months loss of Rs. 450 crores. So, net-net there is, I mean the entire capital gain if we set-off, so considering th at Rs. 114 crores i s the profit for th e quarter, on which about 25% is applicable as deferred tax. We have reckoned the index cost. So, there will be a marginal reduction if you consider 25%. So, we have arrived at the figure of Rs.23 crores deferred tax provision for the quarter.
Rajesh Ravi : Rs. 29 crore app

roximately is the deferred tax , tax which you have book ed for the same .
Management : Rs. 23 crores for the quarter.
Rajesh Ravi : Okay . And coming to the land value which we have been earl ier also alluding to , is it on the India Cements books you know the land that we have ?
Management : Yes it is in I ndia Cements books only.
Rajesh Ravi : And when you say that you know unrealizable with the , you know when we were talking about unlocking value these would be from factories into city limits and all , where are these land parcels placed ?
Management : We have plants in 10 locations , these lands are in the , near the plant as well as in a couple of cities.
Rajesh Ravi : And we have been talking about that these lands monetization for the past 3, 4 years, but we haven't heard anything meaningful on them given that real estate m arket has improved . What is holding back the company from unlocking some of these lands values ?
Management : I will tell you, w hat is holding is not the company's intention . But there are a lot of little regulations and formalities to be followed. So, that is taking a little time .

Rajesh Ravi : But you would have some understanding which can s hare with us that what is the value if maybe next 2 to 3 years are conservative numbers that would be realizable, if those formalities get steered off?
Management : It is difficult where land is concern ed. For example, we have a lot of land in Vizag yesterday Mr.Jagan Mohan Reddy has declared that as the next capital . So, values shoot up . It is difficult where land is concerned to predict , and these lands were bought at the time of the formation of the Comp any. They are in different parts , it’s difficult, let 's see if we can put a number to it.
Rajesh Ravi : And lastly how much is the gross borrowing s in this end of December?
Management : Yes, this is total borrowing is Rs.2980.6 crores .
Moderator : Thank you. As there are no further questions I now hand the conference over to Mr. Vaibhav Agarwal for closing comments.
Management : Thank you on behalf of PhillipCapital , would like to thank the manage ment and investors on the call and also many thanks to all the p articipants joining the call . Thank you very much , sir.
Moderator : Thank you . On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us a nd you may now disconnect your li nes.

Call: May 2023

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Plot No.C/1, G Block
Bandra-Kurla Complex
Bandra (E)
MUMBAI 400 051.
Scrip Code : INDIACEM
Dear Sirs,
Sub.: Transcript of Investors Call / Analysts' Meet - Disclosure under
Regulation 30 of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015
In continuation to our letter dated 24.05.2023, please find enclosed the
transcript of the conference call (concall) held on 24.05.2023 with representatives
of various Investors / Analysts on the audited Financial Results of the Company
for the Quarter and Year ended March 31, 2023.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
oil
COMPANY SECRETARY
Encl.. As above
Registered Office: Dhun Building, 827, Anna Salai, Chennai - 600 002.
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“India Cements Q4 & FY23 Earnings Conference Call”

May 24, 2023

MANAGEMENT : MR. N. SRINIVASAN – VICE CHAIRMAN AND
MANAGING DIRECTOR , INDIA CEMENTS

Moderator : Ladies and gentlemen, good day and welcome to the India Cements Q4 FY23 Call hosted by PhillipCapital (India) Private Limited .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorde d.
I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you, Sir.
Vaibhav Agarwal : Thank you Aman. Good morning everyone. On behalf of PhillipCapital (India) Private Limited we welcome you to the Q4& FY23 Call of the India Cements Limited.
On the call we have with us the entire Senior Management Team of India Cements.
I would like to mention on b ehalf of The India Cements Limited a nd its management that certain statements that maybe made or discussed on this conference call maybe forward -looking statements related to future developmen ts and the current performance. T hese statements are subject to a number of risks, uncertainties an d other important factors that may c ause actual developmental results to differ mater ially from the statements made. T he India Cement s Limited and the management of the company assumes no obligation to publicl y alter or update these forward -looking statements whether as a result of new information or future events or otherwise.
I will now hand o ver the flo or to Mr. N. Srinivasan – Vice Chairman and M anaging Director of the company for his opening remarks which wil l follow up and directing Q&A. Thank you over to you sir, sir.
Management : Thank you Vaibhav. The results, if one can say are startling. W hen the cost of coal , which is our main fuel , skyrockets from about $60 to $300 there is very little tha t management c an do except grin and bear it. In our case for almost 7 months, 8 months, 9 months the cost o f coal was astronomically high a nd it has now shown some signs of coming down. T o give you an example the cost in cement industry we look at coal has cost per calo rie of heat that g oes into the kiln. So, what was Rs. 1 per calorie went up to Rs. 2.8 per calorie. So, this kind of increase cannot be borne by a ny management, so you have to accept the loss and try to mitigate it in several ways including w orking at the consumption.
Looking at the consumption , no real research has been done into the heat of reaction where the limestone converts itself in to clinker. So, therefore any improvements that have been made have been done by the machinery manufacturers who have reduced the hea t consumption by trying to

see the less heat goes away, that all the heat is generated is used etcetera . So, therefore in a sense when the cost of heat goes up t here is very little that we can do.
As far as India Cement s is concerned , there are still a few areas that we can work on. We want to work on in the two, three o f our plan ts on changing some equipment and so we have a CAPEX program which will reduce the heat consumption by changing equipment s which are known to consume less heat . We have e ngage d experts from FLSmidth as well as Krupp Polysius to advis e us and their report is almost ready and we are in a position t o implement some of these changes.
You can ask "you are making such losses how are you going to finance this? " Well, what we have done is we have ide ntified some land which will not be used by cement factor y which is away and that land can be disposed -off and I thin k that that will be sufficient f or our purpose of not only r epairing our plants, fitting in new equi pment and even if necessary if we need money for repaym

ent this will be handy also. So, we have to repay about Rs. 450 crores this year we will be compl iant, we wi ll repay the full Rs. 450 crores plus interest s o there will be no default from our side.
These are the preliminary remarks that I have. I would be happy to respond to any questions that you have.
Moderator : Thank you very much. We will now begin the question -and-answer session. Firs t question is from Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo : And just before we begin the question s can I just request to share volumes and other data of like those windmill shipping which helps us understand these results better I will come back in queue for questions.
Management : Yes, volume for the quarter was 27.85 lakh tons including clinker of 0.10 Lakh Ton s.

Navin Sahadeo : Those other revenues and EBITDA if you can share from the other business segment?
Management : Shipping was around 13 crore revenue and 5.6 crores EBITDA; windmill was around only 0.73 Crore and practicall y nil EBITDA. RMC was 25 crores income and EBITDA of close to 1.8 crores.
Navin Sahadeo : So, then my first question is about prices of course we have se en I think prices have been under pressure this quarter as well, b ut is it fair to say that current prices because especially I believe the states like Tamil Nadu and Kerala where all A category players particularly I think have been very aggressive especi ally in the last couple of months, so is it fair to say that in these markets particularly the cu rrent prices could be at least 5%, 7% lower versus March quarter a nd in genera l your commentary on the price and the outlook that will help ?

Management : You se e as far as the price is concerned everybody; I think generally the cement industry recognizes that this price at whic h we are selling cement is not from the point o f view of demand. This year the demand is good, in fact almost all the companies are running full. So, the tendency amongst the most companies is to sell the last gram of cement which is not a good price . What happens is when everybody rushes to sell prices are casualty. So, that is the reason why in spite of people wanting to have a better price it is not there in the marketplace . The marketplace is cutthroat i n spite of the fact that we are at full production there is strain. At full production the prices should go up, but instead the y are stagnant. So, to answer your question on pricing a t the moment although t here is almost full production prices have not gone up , but my expectation is it will it i s only a matter of time before it goes up .
Management : I mean to answer one more question of yours prices as compared to March have not slipped . It is at the same level or better than March, but then it is at a very low level.
Navin Sahadeo : This question was in for Tamil Na du and Kerala states because historically?
Management : Tamil Na du Kerala s pecifically , price s as compared to exit price of March are better.
Moderator : Thank you. Next question is from Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi : Sir, c ould you share the annual numbers clinker production and cement production and sales volume for the full year please?
Management : For the quarter?
Rajesh Ravi : No, full year FY23?
Management : 73 lakh tons of clinker, 97.3 lakh tons of cement.
Rajesh Ravi : This is production 97.3?
Management : Yes.
Rajesh Ravi : And cement and clinker sales?
Management : 98.93.
Rajesh Ravi : This includes clinker or that is separate?
Management : Clinker is included in that 1.37 included in overall sales.

Rajesh Ravi : Sir, earlier we were looking at the South market the price difference to minimize and go away, what is the scenario currently on that?
Management : I could not get your question.
Rajesh Ravi : The price difference whereby people were invoicing and then later on discounting and this was creating lot of prices were volatile, has the situation is i t improving in Southern markets?
Management : No, price difference concepts still continue s. So, there is no change i n the way the people are marketing .
Management : If companies are firm this question of price difference will not arise because of th e weakness of the selling force that this price came down.
Rajesh Ravi : You have mentioned that March exit prices have slightly improved, but how is the situa tion compared to March quarter b ecause if I look at your realization for March quarter it is down almost 5% quarter -on-quarter, s o the curre nt prices versus average of March how would that number be?
Management : Slightly better, but this quarter is still not over if you are comparing quarter as of now it is better. Q2 one half of the quarter it is better than March quarter.
Rajesh Ravi : And how has the fuel cost consumption basis in March quarter it was around Rs . 2.95 for December quarter?
Management : 2.7 it was in March quarter.
Rajesh Ravi : And for the Q1 what is the number you are looking at sir?
Management : Maybe around 2.3 to 2.4
Rajesh Ravi : So, you are looking at good savings which may improve the numbers, is that understanding

right?
Management : Cost will come down.
Rajesh Ravi : But would that reflects into margins or do you expect that it may get pass on in terms to deliver volumes?
Management : You have taken everything from us, you have set t he prices ar e slightly better than when I say prices that is what we get i n the company actually it is b etter than the last quarter and th e price of coal is slightly lower on the variable cost basis I am talking of variable cost level.

Rajesh Ravi : You mention ed earlier in the call that you a re looking to monetize some of the land parcels which will give you some leeway to do some refurbishment CAPEX , could you quantify wha t sort of land monetization you a re looking at and what sort of CAPEX number you are looking for FY24?
Management : See, we are expecting to monetize about 400, 5 00 acres of land. We are expecting that we shall sell it for a reasonable sum . See we are in the process of finalizing what CAPEX that we want to do because there are options, we want to se e what w ill give us the best to fit. So, we are in the process . All I can say is that it will be towards grinding because in summer some of our plants we have got roller mills and if changed to vertical roller mills the drop in power is enormous and also some changes in the Pyroprocessing . I am afraid I am unable to give you details .
Moderator : Thank you. Next quest ion is from Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka : Just a couple of questions on the capacity side like we ha ve seen some announcements happening on expansions now in South like we w ere not seeing that earlier. So, like anyways Shree Ceme nt is coming up with a plant and even UltraTech is working on the same and Dalmia is doing some debottlenecking. So, this highly competitive intensity that you mentioned earlier like could this now continue with these new units coming up?
Management : I think very little new units are coming up. If you take the entire South as a whole has capacity of almost 180 million tons. If 2 mil lion to 3 million of de bottlenecking and addition come it is not going to make it much of a difference.
Amit Murarka : No sir understand, but companies themselves are not expanding and now they are which means that they are seeing higher utilization in their own capacities, existing capacity, does it mean that they will continue to be aggressive in the market and raise utilization levels for their existing capacity before the new one starts?
Man

agement : Actually, that is true that the capa city utilization of most companies have improved in the last year because of infra demand coming back to the South which was not there earlier. So, there are headroom, some people would like to a dd on capacity, but it is not easy people who h ave started th e work will take another 1 and half years, 2 years to do it and demand of 150 million tons including w hat goes outside. I think as MD said 3 million, 4 million, 5 million and even 10 million ton coming get absorbed. So, one has to wait and see t he people have to a lso make money so I do no t think it will impact the prices anywhere the prices, anyway, the prices are at the lowest level it has to only go up .
Amit Murarka : And also, on the limestone auction could you just throw some light on what is the update on the Tamil Na du auctions?
Management : Nothing has happened it is standstill . No auction has taken place in South .

Management : I think going further most of the limestone wherein land have been spoken for and most of the limestone has been also used. It is not like the vast tracts of limestone unexploited which is available which will add to capacity. People can get by with their existing limestone that they have. I do not think it will support great expansion in the future.
Moderator : Thank you. The next question follow up from Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo : I had two questions one is that our volumes for this year as yo u said are more like 9.7 million in the year which is still look at from a year perspective or industry perspective way below what we did already in FY19, so as a broader industry level our understanding is that in FY23 the industry has surpassed the vo lume that it had South Industry specifically, has surpassed volumes that it did in FY19 because you had two bad years 20 and 21 all thanks to COVID in the interim, but there has been recovery thereafter, so just wanted to get a sense that with players or o ther peers growing like 30% to 40% kind of a growth that we are seeing, but ours is not that much do you still think that having lost some market share the pricing overall will still improve or you think that this year again companies in general may want t o get the lost market share to the large company?
Management : Actually, if you look at the scenario for the South I mean I am talking on the South. It is the fact

that at the moment t here is no surplus clinker available. A few companies are trying to debot tleneck a few c ouple of companies are t rying to set up grinding units, one Company set up an integrated plant in Kurnool , but t he question of what will the price be that I will wait to see with this kind of full production price has to go up, but it i s a matter of time.
Management : Navin, as our MD said what we have done when you make there is n o secret that we are making loss we have made loss. So, we have to pick and c hoose markets. What we have done this year I wish I could g ive the data to you, but we have started selling more into our core markets . While the number 9 plus something million looks a little low as compare d to what we have done in 2019, b ut actually if we look at in our core markets we have increased exponentially that is where we are working on and as we go along our plan is to go to that numb er which you are looking at because we have not added any capacity, b ut it will run full capacit y that much we know . MD said that we have alread y seen the industry working in full capacity with the growth still of double digit in South I think it will be very easy without disturbing the price to get that volume. This is the plan of scheme . So, we have done Phase -1 of increasing our sa le in the rig ht segment in the right m arket . Now next is to get that delta increase and g o to the full level

this is the plan for this year.
Navin Sahadeo : So, safe to assume that despite large players like going for pushing volumes far aggressively it is fair to assume that overall industry pricing environm ent can improve in this fiscal, i s that th e message we can take ?

Management : Exactly because I do not think i f you look at all the big players I mean I do no t want to name them, brands which make a d ifference in the market , their actual price is a concern be it Tamil Nadu, whether it i s Kerala . So, everybody seemed to be settled there. The question is whethe r they will increase the price we have to wait and watch, that is what we are saying . Theoretically if you look at it if people are operating at 85% plus normally prices go up.
Navin Sahadeo : My second question was about the CAPEX that we can expect at the company level for 24 and 25 in light of the initiatives li ke changing of some critical equipmen ts to improve the efficiencies, so in general what is the CAPEX for FY24 and 25 are we looking at and by when do you expect these e specially these large equipments or critical equipments to get replaced?
Management : The CAPEX estimate can be about 600 crores. It should be completed in about 18 to 20 months. Navin, as we said we are waiting for the report to come and what MD said is we are targeting three, four factories. So, g iven that nu mber will be around the number as MD mentioned and span of expansions the CAPEX will be based on how the project report comes. So, it will be around two years , you can take it, in two years' time we will have to spend this much.
Moderator : Thank you. The next question is from Shyam Sundar Sriram from Franklin Templeton. Please go ahead.
Shyam Sundar Sriram : Sir my question is more at the industry level t rying to understand the dynamics between within states in the South we are given to unders tand that these gray cement pricing i n Hyderabad is now say very clos e to the pricing in Chennai historically and the Tamil Nadu pricing used to be at a premium to that. Now given that has it stopped some of the players from the that cluster selling cement into Tami l Nadu, Chennai and does it mean that the players w ith plants production within Tamil Nadu get to gain market share here in this state?
Management : Fortuna tely, we are into all clusters. So, we cannot say that you know Tamil Nadu is not our cluster or Andhra is not our cluster, but what possibly is happening that Tamil Nadu players are focusing more into Tamil Nadu, Kerala and the cluster of Andhra, Telangana are focusing more into Andhra, Telangana. Fortunatel y, we have demand in every state. So, people are able to evacuate the cement in the lower freight zone and that is logical. So, as we have been saying as most of the companies are already operating at the optimum level be it in Tamil Nadu, be in Nalgonda cluster or be it Tandur cluster . So, it i s just that we have found a new model of coexistence. The prices are low, b ut as I said that if people are operating at close to full capacity is all the more driven. We do believe that the prices automatically will go up and we have to see how long it tak es, but looks like stability will come and the prices will move on, this is our feeling.
Shyam Sundar Sriram : One other point now Karnataka recently went through an election and we a re given to understand that probably some of the infra contracts are being reviewed, now in the South I think Telangana

is also coming up for election later this calendar year. Now, given these do we still continue to think that South demand will continue to be healthy robust for this FY24 ?
Management : Please try to understand from where the demand is coming like additional demand, the demand

was always there. Additional demand is coming pri marily from

one is the road project which is driven by Center normally and some states also h ave their own projects. Number two is from Metro and Infra projects like that. Number three is for real estate in a place like Hyderabad which is driven primarily because of the economic factors is a private players who are doing the whole thing , there is no more co alition on other thing. So, these are the demand which will not go awa y because Hyderabad has become a city which is bustling with activit ies. Andhra has pockets of activities happen ing mo stly driven by government, but also road projects of Central government same way Tamil Nadu, Kerala first time is seen so many roads being made. So, I do no t see especiall y with 24 election coming and I a m not looking a t people I mean some of these activities will only g o up it will not come down. So, personally if you ask me the demand up to 24 can be taken for granted t he gro wth and demand can be taken for granted . I mean some here, there some state government projects can get delayed or whatever, but what is being driven i s that Chennai, Bangalore Road n ow that will not stop because of t his election or no election. So, up to 24 we can keep seeing this activity going on and lot many much metro players are also coming up y ou are aw are of that . Our feeling is that till 24 there is no looking back , this is our feeling.

Moderator : Thank you. Next question is from Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang : Sir, you mentioned that S outhern utilization is at c linker utilization is very close to full and the overall cemen t capacity is 180 million tons, j ust wanted to know what is the cement utilization or cement production in the Southern region in FY23?

Management : See we do no t get this data anywhere so it i s all estimate, but believe it is around 1 40 million, 150 million tons g iven that lot of movement is happening outside South it goes a lot of quantity is going into Maharashtra and Western side and on east side will be Odisha and West Bengal . So, this is ou r estimate . I cannot give you the number because we do not have any data from any sources.

Mangesh Bhadang : Second question is related to you mentioned that you would be trying to address the specific heat consumption issues those costs being higher. So, just wanted to know what are the st eps that you mentioned that you are taking, what is the scope of CAPEX there and how much cost saving you expect from this?

Management : See what we are looki ng at is t he whole Pyro processing system depends upon maximum heat to be utilized in the process, in the system. So, therefore the radiation losses, other losses should be cut to the bone not only that now all plants have started using waste heat recovery that is the

waste heat that goes out is trapped a nd they used to generate power. So, therefore we are seeing a much more energy efficient cement industry than before.

Mangesh Bhadang : So, we are looking to setup WHRS is it?

Management : We have already initiated one plant for WHR S project. We are also looking at the project which already investments have been t o put in AFR in all the kilns and somewhere we are also looking at and the other projects a s I told you will be taken up after we have the project report in hand from the expert s, but all of them will be t owards efficiency improvement either on the Pyroprocessing side or on the grinding side it can be a WHR a nd obviously the most important thing which we have already initiated is the we are going to put out plant of solar power in Tamil Nadu. So, that also will help us in power cost reduction . These are the initiatives we have already taken.

Mangesh Bhadang : Sir is on the pricing in South s o historically as the previous participants also mentioned that we have seen the South prices have historic a

lly being higher, but is it because that we have seen higher demand for the past two years that the pricing ha s taken backseat and once this very high demand growth phase is over probably the pricing growth again can come back to these markets?

Management : See, on pricing very difficult to say when there are so many people on the way, b ut I believe that when the utilization goes up normally the pr ices become steady and improved. A s of now are we seeing it today? No, we are not seeing it in the mar ginal improvements h ave happened as I mentioned earlier.

Mangesh Bhadang : So, even though desp ite lower utilization we used to have relatively good pricing, but now that the utilization so it i s basi cally the reverse has happened, s o just wanted to check if the demand actually stops whether the intensity of the players to push more volumes in the m arket would stop and thereby help pricing?

Management : Exactly. So, once you have reached their optimal capacity then that urge to sell that extra ton will go far away from it. As we said that as of now we have not reached anywhere near that, but once that realization comes that I canno t sell more even by reducing the price I have to do th e same volume then people will start increasing the price . That is what happens everywhere i f you see other region whether it i s North or whether West. Once domestic utilizatio n reaches a

particular level look at Gujarat typically with the reasonable capacity utilization, prices are very
steady at a very high level. So, we expect the same thing in South it will take little time.
Mangesh Bhadang : Sir one more question that we had sold our lim estone mine in MP to JSW Group so that money
has been received and or where has been it been utilized?

Management : The entire procedure is pre -closed about Rs. 600 crores received and it has been utilized partl y
for improving efficiencies in some of the plants, working capital requirements and also for
meeting the deficit in terms of cash flow.
Mangesh Bhadang : Nothing pending right sir there?
Management : About 3 crores is pending.
Moderator : Thank you. Next qu estion is from Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi : Just on the previous questions you mentioned that you would be doing the WHR project and
AFR, so could you quantify what sort of WHR you are you looking at and AFR and all total
CAPEX outlay for these?
Management : Sir, we are actually looking at putting up a WHR plant of 8 megawatt at one of our plants.
Management : So, the process of putting our feeding system once that is ready we will start using AFR to a
higher level I cannot say anything right now, but our plan is to go up to more than double digit .
Rajesh Ravi : At company level?
Management : Yes, at company level this is the plan. First, we are putting up the feeding system.
Rajesh Ravi : So, how we understand is like you said that 600 crores odd you will be investing over next two
years to replace your ball mills across 3, 4 plants and then 8 megawatt WHR that would be
around 100 crores?
Management : Yes approximately.
Rajesh Ravi : And AFR would be costing how much sir for you across plants that you are planning?
Management : It depends upon the plant size and all that. So, depending upon the plant it may vary from 2
crores, 3 crores, 5 crores like that.
Rajesh Ravi : And you mentioned 580 crore is the repayment due in FY24 and in addition to the interest outgo
or this is inclusive of that?
Mana gement : The interest is separate.
Rajesh Ravi : So, almost 800 crores would be what you will be paying towards that interest ?

Management : We have principle repayment of about 450 crores plus some interest payment is also included in
the 540 crores.
Rajesh Ravi : For FY24 if I look at 450 crores plus

suppose the last year interest?
Management : 450 crores will be the principle repayment.
Rajesh Ravi : And annual interest cost 200 to 250 crores?
Management : Yes.
Moderator : Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo : Just one last question from me what is the current net debt both at the stand alone and the consol
level as at the end of FY23?
Management : Standalone debt as at March '23 is 2 ,919 crores including working capital.
Navin Sahadeo : And for consol ?
Management : 2,939 .
Navin Sahadeo : This is after adjusting for the money that we have received from the sale of Springway Mining
and everything ?
Management : Correct.
Moderator : Thank you. Ladies and gentlemen this would be our last question . I now hand the conference
back to Mr. Vaibhav Ag arwal for closing comments.
Vaibhav Agarwal : Sir, I had a few questions actually sir you mentioned about this WHR S project being
implemented one of your plans, so sir incrementally many of the plants having a quite a lot of
vintage, s o what is your expectations of the t otal capacity, how many plants c ould pote ntially be
supporting this WHRS projects in the future, just your initial thought and maybe we can avoid
the report, but what is your thoughts and what kind of savings we can expect from this?
Management : The issue is Vaibhav wastage at the plant. The four stage pre heater lends itself to a WHRS. So,
also, we have differe nt types of power. We have power, whic h is wind power, w e have thermal
power. So , depending upon the shortage of power the need we will take a call.
Vaibhav Agarwal : Sir, my second question was that you have provided for an extraordinary of nearly 113 crores in
the current quarter which is write off for Andhra Pradesh gas t his company write off, so sir can

you throw some more light on this write off a nd wh at kind of power was this company helping us and is this also one of the reasons why our cost increase in power and fuel is reasonably high than many of the other peers in the industry?
Management : I will give the exact numbers Vaibhav, but basica lly it was we had a share in APGPCL which was producing power from the gas where w e used to get 23 megawatt of power which was used in our and it was obviously at a much lower price than the grid power. Now because the gas prices went up and it does some $10 per mmbtu and th ey said the allocation also is not there and therefore this whole organization that is APGPCL has gone into sort of it is not working now. So, it has gon e to a closure sort of a thing. So, that is why we have provided for it as if that we do not have an issue there.
Management : In any case APGPCL did not get the gas allocation. So, they are not able to run their turbines that is one . Point number two is the price at which if the gas is being supplied today it is abou t $6.04, I think so even at that rate the power from APGPCL will be more expensive than electricity board power. So, therefo re they had to go into a full stop.
Vaibhav Agarwal : So, this is sort of a permanent write -off for us as of now?
Management : We have provided for an impairment it is not written -off we have provided for an impairment in the value.
Management : In the plant and machinery is in perfect condition. The only question is suppose tomorrow they reduce the gas power to $. 3 or $. 2.50 like old prices then it will work. So, therefore but we cannot wait for that, so we have made a provision for that.
Management : At this point in time, it is not economically viable.
Vaibhav Agarwal : Any specific one off in the current quarter apart from this or anything else which is one off item at operating level?
Management : No sir.
Vaibhav Agarwal : Sir one more last question would be sir that you have been like on the whole call that our

commentary on pricing has not been very confident and near term of price increases and observing the numbers of almost all other cement companies actually we have closed the year with a negative EBITDA of nearly Rs. 175 a ton and most of the other companies are doing reasonably okay, but maybe ahead of Rs. 500, Rs. 600 also in your region as well, so sir what will be your take as to why the pricing would come back and what can we expect I am not asking about specific guidance, but FY24 -25 from a negative 170 trajectory where can we probably target ourselves with the power savings coming in, can we go back to that 500, 600 l evels of

EBITDA per ton or you think that we will still be closing at breakeven levels for FY24 -FY25 your initial thoughts on numbers going forward?
Management : The initial thought is that during the next financial year the situation will be much better. W hen we are operating at close to full capacity prices will go up, that is the axiom that all of us follow. So, small increase will do a lot to us. So, therefore we are expecting prices to go up.
Management : EBITDA, it depends on two things. One is the cost of production, which went up by that was Rs. 1,700 per ton, i t went up for us for simple reason because the power fuel cost was high and we could not run our power plant because the cost of coal was so high. Now these two things are changing n ow I mean you are aware of the thing now cost of coal is coming d own almos t on a daily basis. So, we should see getting there the prices will take some time before they go up, but definitely there should be an improvement given that nobody wants to lose money. So, we hope that the saving on the cost side and that i s why we are v ery confident that our EBITDA will be now go back to previous level .
Vaibhav Agarwal : And so one question if I may asked to Srinivasan s ir basically we keep on getting a lot of questions from investors w ith regards to what is the road map for i ndustry consolidation so sir do you think so that the industry is now fairly consolidated and the industry growth from here on companies growth would be more from organic route and in organic consolidation will be having lesser chances in going forward or d o you think so that there are still players in the industry who are willing to take an exit you being a stalwart over the industry what is your take on this as per your industry interaction?
Management : I think it will be more organic futures.
Moderator : Thank you. Next question is from Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi : Just one clarification this land monetization which you are looking at would that be on stand alone books or in the consol entity?
Management : It will be on standalone books.
Rajesh Ravi : And you have a reasonable chance of monetizing them over next 12 to 18 months?

Management : Yes, very good chance.
Moderator : Thank you. Ladies and gentlemen, that would be our last question. I now have the conf erence talked to Mr. Vaibhav Agarwal f or closing comments. Thank you and over to you .

Vaibhav Agarwal : Thank you. On behalf of PhillipCapi tal (India) Private Limited we thank the management for India Cements for the call and m any thanks to the participants for joining the call. Thank you very much sir.
Moderator : Thank you very much. Ladies and gentlemen, on behalf of Phillip Capital (India) Private Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2023

“The India Cements Ltd. Q1FY24 Conference Call”

August 0 7, 2023

MANAGEMENT : MR. N. SRINIV ASAN – VICE CHAIRMAN AND
MANAGING DIRECTOR , INDIA CEMENTS
MODERATOR : MR. VAIBHA V AGARWAL – PHILLIP CAPITAL (INDIA)
PRIV ATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Conference Call of The India Cements Limited hosted by PhillipCapital (India) Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you Mr. Agarwal.
Vaibhav Agarwal : Thank you, Michelle. Good afternoon, everyone. On behalf of PhillipCapital (India) Private Limited, we we lcome you to the Q1 FY24 Call of the India Cements Limited.
On the call we have with us the entire Senior Management Team of the India Cements.
I would like to mention on behalf of the India Cements Limited and its management that certain statements that maybe made or discussed on this conference call maybe forward -looking statements related to future developments and based on the current performance. These statements are subject to a number of risks, uncertainties and other important factors that may cause actual developments and results to differ material ly from the statements made. The India Cements Limited and the management of the company assumes no obligation to publicly alter or update these forward -looking statements, whether as a result of new inform ation or future events or otherwise.
I would now hand over the floor to Mr. N . Srinivasan -- Vice Chairman and Managing Director of the company for his opening remarks, which will be followed by interactive Q&A. Thank you, and over to you, Srinivasan sir.
N. Srinivasan : Thank you. The essence of this quarter is one of severe cost cu tting, improvement in financial results to the extent that we are EBITDA -positive now. When we started, we were 85 crores minus we went to Rs.65 crores minus which went to Rs.28 crores minus and now it is in the positive side. That is in spite of the spike in coal prices, the company took a lot of steps to improve the efficiency of the plants, and in this direction, we have FLSmidth, we have the German experts and we also have included to advise us Boston Consulting, as a result of which, a lot of plan s have been drawn up for refurbishing the plants, and to reengineering the plants so that they will perform better. Although, all these improvements have not yet taken place fully, the result is there, that is, the whole company is work ing to gear to cut cost.
The coal prices which affected us, which was Rs.1.70 per kCal went up to Rs.3 per kCal . This kind of an increase was impossible for us to manage. Some companies have managed, but India has four regions. In the northern region , the prices were not affected, the selling price could be

increased and therefore they escaped. Some parts of western India also had their advantage. So those who could increase the price of cement, escaped the wrath of the high oil prices. We are in the south. We are landlocked and we were not in a position to improve the prices once the tsunami of fuel price increase hit us. We were also at disadvantage as the shipping through the black sea was also affected. Slowly, some of these problems are behind us. The cost of coal now has softened considerably and therefore we can say with certain degree of certainty that going forward the results would be even better than what you see now.
It must be borne in mind that we have a collection of plants of different vintag e, of different technology which did not help us quickly reorienting to the high cost of coal. But now that we have plan s and we also have included Boston Consulting to give us furthe

r system approach, as
a result of which, I am pretty certain that going forward, we will have good results, for example, the coal that is being fed into our kilns now is at about Rs.2.20 per kCal, but whereas I can buy outside at Rs.1.50 per kCal. So, I'm carrying the benefit of so much. The system of averaging the coal cost w orks against me in a falling market. So therefore, next month. I will have a much cheaper coal because I have in my inventory low cost coal.
These are the opening remarks I have. I am very happy to respond to any queries.
Moderator: We will now begin th e question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: My first question was around the cement volume. So, like generally we have seen that demand in the quarter has been good an d volume growth has been strong for all companies, but I understand that it is not so for you. So, like what is the reason for this continuing market share loss, if I can call that?
Management: I won't call it quite market share loss, but the fact is that we did not grow at the same space than other people did. The answer is, see, we had two to three quarters of loss. This constricted our working capital and as a result of which our total sale was little smaller than it otherwise would have been. Now, we ha ve taken steps to improve our working capital, we are disposing off some lands which is in the final stages, yield us about Rs.100 crores, which will bring us back on track.
Amit Murarka: But generally, like in the past we have seen there being better d iscipline in the market around these things. Why is it that we are not seeing it come back even though it's been almost like 1.5, 2 years, but seems like people are happy selling at lower pricing and earning lower margins?
Management: See, you must underst and that coal is the main fuel for cement. When coal goes from cost of Rs.1.30 paise per kCal to Rs.3 per kCal , there's nothing we can do except b ear it . There is no equipment, there is no system that can combat such an increase, and for such an increase for such a long time, so, we were victims of that. We will recover and we will make profits again.

And also, one more point is that the price of cement did not go up. Usually when this happens, price of cement goes up. This time alone, the price of cement did not go up.
Amit Murarka: Yes, exactly, that was my question that why is it so like it's been like almost two years, we've not seen any movement in cement prices almost in south, in fact it's only been way down, so just wondering why is it so?
Management: The reason is , the cement industry has been hammered , it was impossible for anybody to increase the price. Such was the pressure on the cement industry. So as a result, today some companies are making profit who are in the right region, we are not in the right region. See, we have petitioned the government to give us the telescopic freight so that we can move North . The demand is there in the north. So, we will have a situation where the North will be flourished, they will have high prices and make huge profits, whereas we will suffer.
Amit Murarka: Another thing which has recently been coming up in discussion and I notice is the price gap between Andhra markets and Tamil Nadu markets has gone down to almost zero. Any specific reason for that?
Management: I think basically see your first question and second questions are all related. There are few big players who are fighting for market share, which is natural and that is what is bring ing the prices down. See, when demand/supply equation in south also slowly balancing, people are obviously fighting for market share and some players had some additional capacities to spare, so they have done that. It is natural. In any free economy, in a competitive market this happens. We h

ave to
possibly see as the time passes and everybody sees that there's pressure on EBITDA or margins in South I suppose as we go along, things will improve and prices will improve. But we have to wait and watch. I agree it's s till long never happened in South so much, but it is happening right now. We have to wait and watch.
Amit Murarka: But any reason in Andhra, it's been better apparently like prices have actually moved up in the last -
Management: With all the capacity additions happened towards the southern part, that means Tamil Nadu, so

maybe they were trying to get more market share that may be the reason also.
Management: See, you have to understand that there are two, three things happening in the cement industry. Those factories in the North , they are in velvet, the factories in the south are really suffering, but there is also an element with companies…let us say I'm a cement producer. I do not want others to do well. I cut price in their area. So, this phenomenon also for the first tim e we are visiting that the response to a price increase by one or two companies is negative.
Management: And to add to that, see, basically in Andhra, to answer the question, there is avenue to go to Maharashtra or East whereas people in Tamil Nadu if they want to increase market share, price

automatically becomes a casualty. So, as you said rightly, it is the first time it is happening like that Tamil Nadu prices are so low. But I guess as the time passes, things will be better. How long? I don't know. It looks like we have seen the worst and things to improve from here.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Hi, sir, first, could you share the production and sales volume number for t his quarter and then the shipping, wind and EBITDA?
Management: The volume for the quarter is 26.66 lakh tons.
Rajesh Ravi: This is sales and production similar numbers?
Management: 26.92 lakh tons was the production. Shipping revenue was 13.56 crores and 9.7 crores were EBITDA. Windmill was 5.15 crores revenue and 3.24 crores EBITDA. And the R MC was around 26 crores and EBITDA was 1.2 crores.
Rajesh Ravi: What is your average fuel cos t in rupees per kCal in Q1 and what is it currently?
Management: Q1 was around 2.38 cost per kCal. Currently, it will be around 2.25 it's a weighted average, which is going in.
Rajesh Ravi : And given that the spot price will be much lower, by when do you expect these numbers to fall for you to come down below Rs.2?
Management: Next quarter, yes.
Rajesh Ravi: Next quarter means post Q2, you're looking at Rs.2.
Management: Yes.
Rajesh Ravi: You said that you're looking to monetize some of the land parcel s close to Rs.100 crores, right?
Management: Yes.
Rajesh Ravi: Any big chunk of parcels which you're expecting, say 500 number which will give you a major boost to your balance sheet?
Management: This quarter to start with we will have smaller parcels of l and going.
Management: This quarter, we will dispose about 80, 90 acres of land, which should yield about 100 crores and going forward, it depends on the appetite.

Moderator: The next question is from the line of Prat eek Kumar from Jefferies. Ple ase go ahead.
Prat eek Kumar: My first question is on the cost saving initiatives which you are working on with some consultants. So, what is the kind of cash or expense outgo which -?
Management: We have asked them to suggest economy measures without CAPEX , which is the first thing that they're looking at. For example, Boston Consultants, have told us that without any investment they will reduce Rs.200 per ton in the variable cost. So, we are quite hopeful that this exercise will yield results.
Prateek Kuma r: Rs.200 on cost of production, so that would be i

t or there's like a longer -term goal as well like this would be near term that?
Management: No, this does not take into account the fluctuation the price of coal. Given the coal cost, they will reduce Rs.2 00 per ton.
Prateek Kumar: So, this is the final goal of reducing Rs.200 per ton or there is even a longer goal of maybe Rs.500 per ton or maybe a higher number?
Management: They have given a bank guarantee for this amount.
Management: So basically, there are two parts to it. What you said is right up to March they are working along with us to give us a saving of Rs. 200 approx. And of course, there will be certain other savings will come basis CAPEX to be done which again a separate proposal will come and that is what we are talking about , FLSmidth and others we are talking . So, along with BCG, they will work and we have to work on when the final number comes. But Rs.200, 300 ca n come there provided we put that money as a CAPEX, that is a little longer term, that means once you start investing it will take three months for you to really get the result of that. So, we are talking about what will come, which is a low hanging fruit will come immediately in next three, four, five months. By March, we should be seeing the full benefit of that first part, that is Rs.200.
Prateek Kumar: And this year, we are like assuming that we are now not expanding on this cost initiative on CAPEX, so what would be CAPEX for this year?

Management: We are looking at two or three projects specifically. One is in Chilam kur waste heat recovery. Two is, we're looking at some marginal improvements in Vishnupuram. Both put together this is at an aggregate c ost of about Rs.300 crores. And there are certain suggestions made by the consultants which will cost us approximately about Rs.40 crores. So all put together, the aggregate CAPEX is likely to be Rs.350 crores, out of which probably about 200, 250 crores will be in this year, balance could be spent in the next financial year.
Prateek Kumar: What would be the cost related to the hiring of consultant and their consultancy job?

Management: It's not high compared to the overall benefit that we get…it 's rear -ende d based on the benefits.
Prateek Kumar: What would be your net debt position as of 1Q end?
Management: Rs.2,947 crores is the total debt which includes the cash credit, working capital, all put together.
Prateek Kumar: So, this outside help which has been taken now is only to address like the cost part of the business, not on balance sheet like deleveraging or anything of that sort?
Management: This is a benefit directed towards improving operating efficiencies, therefore achieving reduction in cost.
Moderator: We'll take the next question from the line of Saket Kapoor from Kapoor Company . Please go ahead.
Saket Kapoor: I missed the net debt number. Sir, could you come again with the net debt number and the term loan and the working capital?
Management : Rs.2,947 crores is the total debt. Cash credit is about Rs.552 crores. Interest f ree is about 96 crores. Other short -term loans are 231 crores. And term loans are Rs.2,068 crores.
Saket Kapoor: And what are the current maturities, sir?
Management: See, fo r the financial year '23 -24 is Rs.400 crores, out of which Rs.100 crores has been repaid. So, there is 300 crores to be repaid between July 1, 2023 to March 31, 2024.
Saket Kapoor: So, sir, this will also be paid from the internal accruals only or we will take any -?
Management: Yes, because out of the balance 300 crores payable, about 113 crores is payable on 31st of March 2024. So, we are looking technically only Rs.200 crores of principal amount to be paid between now and 28th Feb.
Saket Kapoor: Do you h ave the cash generation for this quarter… how much cash you have?
Management: You're talking about the quarter that has gone by?
Saket Kap

oor: Yes, sir, the June quarter.
Management: It's a cash loss.
Saket Kapoor: For cost in the power and fuel mix so what steps are we taking to reduce these two-line items or to rationalize in the cost?

Management: About 45 crores will be the negative cash.
Saket Kapoor: So, in order to support this, we are depending upon further borro wing and now with the land sale, these anomalies will be net off, is what the strategy is going?
Management: We're not borrowing any money. It is going to be out of sale of non-core assets.
Saket Kapoor: Secondly, a point to Srinivasan sir, with all due r espect, sir, going ahead as we are seeing that there is lot of M&A interest in the sector, with now Adani going ahead with the small player in the western part of the country, M&A activity for southern India has not been seen for a very long time because o f the overcapacity issue entered with aging factor also and with the type of we are having vintage plants and the issues with them, so what is the message for your investing community, say three years or so down the line, how are you trying to contemp late what India Cements would look like operationally and -?
Management: India Cements will be a very strong company because of the steps we are taking now, I will not be at a disadvantage at the more modern plants. So, we will be strong. You will see it i n the next 2-3 years.
Saket Kapoor: Can you give us the road map like what kind of cost reduction or what is the blueprint which you have with us according to which you are confident that 2 -3 years down the line we will be a different company because that has not been the case for us, sir?
Management: You see, the Boston Consulting not technical on systems, they have said that they will reduce Rs.200 per ton of cost, which is without investment, and then with the investment we are yet to get the final figur e, but with marginal investment, we can further reduce the cost. That of course will take a little time before we outline it. See, for CAPEX, we have a line of credit which is almost there and you see, if you take into account our Sankar Nagar plant, Sanka r Nagar plant, we are importing limestone. Now, we have got permission to use our own limestone which will reduce my cost at Sankar Nagar by Rs.400 per ton. Similarly, we are replacing coolers in many places so that the generation of heat is contained with in the system. So, I can go on and on. I mean when somebody is a technical person, I will give entire details, but I don't think you want

that.
Saket Kapoor: No, sir, I am only looking at the sustainable profitability trajectory that you just outlined to us.
Management: Sustained profitability is there. See, we are attacking pyro processing, we are attacking limestone, we are attacking heat generation and cooler. See, we have not attacked this because the prices were okay. Now, the prices are not are not going u p at the same rate, we will very quickly… cement production is not rocket science. We will very quickly come to level with our competitors.

Saket Kapoor: Two small points, sir. What is our capacity utilization levels for this quarter and for Sankar Nagar plant, what is the installed capacity and its utilization level?
Management: Installed capacity is 2.1 million tons per year.
Management: It is operating at around 69%.
Saket Kapoor: And what is our installed capacity and what is our clinker capacity?
Manag ement: Installed capacity is 15.5 million tons.
Saket Kapoor: Mr. Srinivasan, taking into account the M&A activity, is India Cements also open to a strategic alliance or a type of M&A activity that is happening in the western part, hypothetically, if there are interest envisaged from the community or if Boston is also given the mandate of looking for -?
Management: We have not given t

hat mandate to Boston and we have no interest in any other company.
Management: Please understand, BC G is helping us to reduce the variable cost only, that too more from the angle of supply chain management and things like that. So that is what it is. No other mandate has been given. And as M.D. said, we are not interested.
Moderator: We will move on to t he next question, which is from the line of Nav in Sahade o from ICICI Securities. Please go ahead.
Navin Sahade o: You mentioned that as a company we are engaging with the consultant for, as just said for some supply chain management related thing that saves us Rs.200 per ton or so and then we are also engaging with the likes of FLSmidth and oth er German equipment manufacturers who will help streamline production as you said on the waste heat recovery side and on the cooling equipment side. So, my question was that does any of these initiatives and more so from the equipment manufacturers, will i t lead to any temporary hit on production or some impact there before we see the outcome or -?
Management: This is also being looked at by both Boston as well as FLS, that is with the minimum downtime to get back on string.
Management: Any of those changes normally we take annual shutdown, at that point of time these are things taken.
Management: Most of the things will go on parallel, parallel erections will be happening and only hook up time will be there. So, it will be the minimum time that will be consu med.

Navin Sahadeo: My second question was when we engage with these consultants, so the remuneration to them will be a percentage of the promised savings that they have said because Rs.200 per ton is a very big number and for us definitely much bigger giv en we have been struggling or our profitability is a little less as compared to like other industry peers, so, the remuneration to these consultants is a percentage of the savings that they are promising or it's a fixed lump sum numbers if you could just h elp us understand that.
Management: We are bound by some contract. I think we cannot discuss this here.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: First is on the CAPEX. You have Rs.20 0 crores outgo on the WHR and there is a project, and you also have 400 crores of debt repayment, so total of 600 crores outflow, and you said that this will not lead to debt increase on books, refinancing may not be required. Because this quarter EBIT DA margin seems to be slightly negative, so are you looking significant jump in your operating profits?
Management: Mr. Ravi, we are looking to raise some term loans to about Rs.350 crores primarily because the sale of land could happen tomorrow, it could happen three months down the road. So, we are not able to fix the definitive date by which we will be able to encash on this.
Management: Also, you have to take into account that most of the work for the waste heat recovery has already been done, a lot of work has been done and only little work is pending.
Rajesh Ravi: So, this year FY24 how much you focus to be spent, sir?
Management: Actually, in case of the waste heat recovery plant, all the equipments have been imported, the installation and erection job have to be done. And we expect about 80 -90 crores of spend on WHRS, which is what we are targeting to complete before end of the financial year. We have not got the detailed drawings yet. Once we get the detailed drawings, we will come back to you.

Rajesh Rav i: The WHRS, what will be the capacity size?
Management: Eight MW.
Rajesh Ravi: And how much savings you're looking at from this stabilization… quarterly savings from the WHRS once it is stabilized.
Management: Maybe about Rs.200 to Rs.250 per ton of cemen t from the time it starts working full steam for that plant , for Chilamkur.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Pratik Gadgil, an individual investor. Please go ahead.
Pratik Gadgil: So, sir, can you please brief us on the sustainability and environmental initiatives you have undertaken in this quarter along with the figures?
Management: It's a continuous process and we have given a detailed report in our annual accounts. We don't give quarter wise; we give in annual report. This is a continuous process. Sustainability is something which you cannot talk for a day or a quarter. It's a continuous process on whether it's a utilization of low carbon, fly ash, carbon capturing, everything is a continuous process. So, we report this in the annual report. I don't have anything specific to tell you on this.
Pratik Gadgil: But approximate spends for this quarter?
Management: This is a very wide question. If you look at our report, it talks about 100 things right from mining to the disposal of bags. We have 100 things we have talked about. So, I don't know how to quantify that. In the report annually we are able to quantify it. So that's what we have given. I've taken your question. Maybe we will understand that a little bit more and come back.
Pratik Gadgil: Sir, can you also brief on the figu res for the rail and road mix and the blended mix?
Management: See, blended is around 60%, 62%, that is a blended cement we do, and primarily it is the road thing we do around 85% approximately and balance is the rail is how we normally operate.
Vaibhav Agarwal: Before I conclude the call, just one question from my side. Sir, I just wanted to know that you spoke about Rs.200 benefit coming to the costing by your assignment given to BCG on the technical side. And you also mentioned that your assign ment is not limited to the technical, will also include the other part of supply chain management, etc., So this Rs.200 is only from the technical side and can we expect more gains in the coming quarters from supply/demand, is that the right way to read or -?
Management: Rs.200 per ton is from Boston.
Vaibhav Agarwal: Right, Sir, but that is from the technical side on the operating efficiency.
Management: They're talking of the operation.
Management: I will just summarize it for you. Actually, there are som e 38 levers on which they will work, so different things and some will be commercial, different, different small, small bits and pieces and somewhere something else goes up. So that is how they are planning to give results from some commercial, some technica l, that thing, but -

Vaibhav Agarwal: So all of it will be happening simultaneously.
Management: They will do this every plant; they give you some basically a piece of advice that they monitor it and make sure it happens. You'll then get the full benefit y ou'll get by end of March only. You don't pick up everything today itself. So, if you start doing it, maybe this quarter may get Rs.60, 70, next quarter may get Rs.90, 100 like that. But there are 38 levers on which they work, they don't work on one or two things. So, I can't tell you on what they're working on, but that will be very minimal, that'll be Rs.30 -40 crore only.
Vaibhav Agarwal : Just your assessment based on your confidence with Boston as to will you go to Rs.1,000 kind of EBITDA per ton and may be, say two years of time driven by all the efficiency efforts which have because we have certain kind of a benchmark in the past and we have been suffering for last three months?
Management: How to make such a prediction?
Vaibhav Agarwal: So, on behalf of PhillipCapital (India) Private Limited, I would like to thank the management of India Cements for the call and also many thanks participants for joining the call.
Moderator: Ladies and gentlemen, on behalf of PhillipCapital

(India) Private Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

M E 11.1/4 THE INDIA CEMENTS LIMITED Corporate Office : Coromandel Towers, 93, Santhome High Road, Karpagam Avenue,
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Dear Sirs,
Sub.: Transcript of Investors Call / Analysts Meet - Disclosure under Regulation
30 of SEBI (Listing Obligations and Disclosure
Regulations, 2015 Requirements)
In continuation to our letter dated 01.11.2023, please find enclosed the
transcript of the conference call (concall) held on 01.11.2023 with representatives of
various Investors / Analysts on the unaudited financial results of the Company for the
quarter and half-year ended September 30, 2023.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
COMPANY SECRETARY
Encl.: As above
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“India Cements Limited's Q 2 & H1 FY'2 4 Earnings
Conference Call”

November 1, 202 3

MANAGEMENT : MR. N. SRINIVASAN – VICE CHAIRMAN & MANAGING
DIRECTOR , INDIA CEMENTS LIMITED
MR. RAKESH SINGH , INDIA CEMENTS LIMITED
MR. VENKATESWARAN , INDIA CEMENTS LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the India Cements Q2 & H1 FY24 Earnings Conference Call hosted by Phi llipCapital (India) Private Limited.
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I now hand the conference over to Mr. Vaibhav Agarwal from Phil lipCapital (India) Private Limited. Thank you. And over to you, sir.
Vaibhav Agarwal: Yes. Thank you, Rio. Good afternoon, everyone. On behalf of Phil lip Capital (India) Private Limited, we welcome you to the Q2 & H1 FY24 Call of the India Cements Limited.
On the call , we have with us, the entire Senior Management Team of the India Cements. I would like to mention on behalf of the India Cements Limited and its management that certain statements that may be made or discussed on this conference call maybe forward -looking statements related to future developments and based on current expectations . These statements are subject to a number of risks, uncertainties and other important factors that may cause actual developments and results to differ materially from t he statement s made . The India Cements Limited and the management of the Company assumes no obligation to publicly alter or update these forward -looking statements, whether as a result of new information or future events or otherwise.
I would now hand over the flo or to Mr. N Srinivasan, Vice Chairman and Managing Director of the Company , for his opening remarks , which will be follow ed by an interactive Q&A. Thank you and over to you Srinivasan, sir.
Management: Thank you very much, Vaibhav . The performance of the Company continues to improve. If we look at the quarter under the review, I think we should look at the quarter under the review plus what can be a legitimate expectation. The Company came under severe strain because of working capital problems. But yet , the Company has met all its obligations to creditors during the period . Prices of cement have firmed up during the quarter under the review. There was firmness in demand, but it did not result in prices going up. But during this quarter that we are going through , the prices have gone up and the prices are reasonably f irm with the consequent result . The demand for cement is reasonable in certain parts of India , North and maybe even ea st. The capacity utilization is quite high. In the south with capacity overhang is so high. Still, the capacity utilization is something to be desi red.

But having said that, I also want to say that infrastructure spending, which so far has been restricted to the North India has come to South . As a result of this , demand in the South also picked up and with the arrival of infrastructure spending in this place, we expect the demand to go up with the consequential increase in prices also. Price is firm, a s a result of which a lot of things can get corrected.
One problem we had during this quarter was that we could have sold more if we had better working capital . Our working constraints imposed by the working capital management forced the Company to sell less than they otherwise would have . But still under the circumstances, the performance has been quite good.
To sum up, I think the worst period starting with the COVID to now is over. We can look forward to better days with the good demand , firm prices.
I will be happy to respond to any questions.
Moderator: We will now begin with the question and answer session . The first question is from the line of Amit Murarka from A xis Capital. Please go ahead.

Amit Murarka: After quite a long time, we have seen finally cement price hikes coming through in the southern market. I just wanted to understand like how sustainable do you think this increase can be given that we have seen like ups and downs in cement prices?
Management: I did not understand your question completely. Can you repeat?
Amit Murarka: I was saying cement prices have gone up in southern markets in October after quite a long gap. I just wanted to understand like the sustainability of this price hike.
Management: You see , south has always be en an area where the production is more than the demand. It is only now that infrastructure spending is coming in south. This has resulted in an overall increase in demand and companies which are operating at higher CAPEX than earlier . So, in my opinion , the increased demand will continue , and along with it, the present firm price regime will continue.
Amit Murarka: Generally , in the last couple of months like the demand has seemed to be softening in south

versus like what we saw in the first half of the calendar year. So, is it like a temporary thing or how to read that?
Management: Demand has not softened. This is the general holiday season. See, we have Dussehra, then we have Diwali. S ee, the people look forward to this part of the year to go out , to do what they want . So, I don't attribute the fall in demand , if at all , the prices of real estate , prices of built houses are still very, very high , and according to me if you see a glitch , it's temporary.

Management: Actually, I'm surprised because our numbers show that the demand has been good and it's growing at more than double digits .
Amit Murarka : The growth rate was almost 20% or so in the first half. It's still good , but I mean the number seems to have gone down to close to 10%.
Management: It's the base effect, but otherwise the demand is reasonably good in south . In fact, we normally see a lower growth during this period, but okay so far , that's what it is.
Amit Murarka: Any update on your expansion plans and the deleveraging plan, the land bank sale and all that?
Management: We originally wanted to set up a plant in Damoh in Madhya Pradesh . Because of working capital , because of the cost, we step ped back and then we were hit by the COVID . As a result of it, our plans have changed a little .
Management: You are aware we have sold a parcel of land in Vizag which we have not accounted for in this quarter , but we have sold it , advan ces have come . Selling a land is not as easy because you should get the right price for the land which we are going to sell . So, it is something an ongoing process . As and when we get a good deal , we're going to sell further land. Whatever we told in the last quarter result s time, the same thing stands , we are looking for right buyer at the right price , that's our stand .
Moderator: The next question is from the line of Prat eek Kumar from Jefferies. Please go ahead.
Prat eek Kumar : You mentioned prices are strengthened and they are now reasonably strong -
Management: Your voice is echoing a bit.
Prateek Kumar: So, I was saying that prices have gone up and you said the re are like reasonably strong sale. So , historically I know that the contribution of cement in construction of houses, etc ., is low, but fairly enough, the builders association have revolted more in south than anywhere else in the country on the price increase . This time it doesn't seem to be happening. So , all that are like sort of settled now and likely to come.
Management: Are you asking whether there will be any cap on cement prices?
Management: I will put it differently. The way it is that the prices which we have reached now is still lower than what we used to have a year and a half back. See , for example, Chennai prices used to be Rs. Rs.44

0, Rs.4 50. What you were saying maybe true to some people , let's go and address other thing. Today, even after increase, we are still at Rs.400 and therefore there's a lot of headroom for us to increase prices f urther . We'll see as we go along . That is the reason why nobody is making any noise about it.

Prateek Kumar: So, that problem should not come forward . For the reasons of competitive intensity, the prices come back or otherwise not because of the –
Management: But I want to add that in a construction, 20% is the cost of cement. Today, the flat prices , built up buildings going up very high. Compared to th at, cement is very subdued. And really i t's not the contributor to the increase in the flat prices .
Management: In Chennai , nothing less than Rs.10,000 per square feet. About Rs. 200 per square feet is the cement cost in it , logically , they should do, but then anyway -
Prateek Kumar: What will be our volume for the quarter and other details around RMC income and windmill income?
Management: Shipping was Rs. 5.6 crores with an EBITDA of Rs.0.9 6 crores. Windmill was Rs.10.6 crores with an EBIT DA of Rs.8.7 crores . RMC was Rs.28.6 crores with an EBIT DA of Rs.1.3 crores.
Prateek Kumar: And the cement volumes for the quarter for the Company ?
Management: 23.70 lakh tons total.
Moderator: The next question is from the line of Par th Bhavsar from Investec. Please go ahead.
Parth Bhavsar: In the last few calls, we've been talking about some of the operating efficiencies that we were planning to bring in. So , is there any update on the same … where are we over there?
Management: The update is that the experts have studied the plants. They have suggested remedies , they have suggested improvements which are work -in progress.
Parth Bhavsar: What sort of CAPEX can this entail and what sort of cost savings this would bring in?
Management: See, we have been assured that at least Rs.250 per ton will be the reduction in variable cost. At

the same time , the cost is not very much. I don't know if you're a technical person, but I am prepared to explain to you.
Parth Bhavsar: Sir, can you put any timeline on this like by when can we expect this to come in?
Management: 10-12 months .
Parth Bhavsar: We've started already incurring CAPEX on it?
Management: We are looking at the low hanging fruit. First is without much CAPEX . Our CAPEX will be on the cooler s and in case we change the vertical roller mill in one of the plants. As we go along,

we will receive money which we have advanced to come back. I mean, it's an ongoing progress and we are quite happy to report every quarter.
Parth Bhavsar: One bookkeeping question. Wanted to know what was the fuel consumption cost for the quarter on kCal basis ?
Management: 2.04 per kCal .
Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.
Saket Kapoor : Sir, firstly, if you could give us the trade and the non-trade mix number for this quarter and the first half? And sir, when you are very well articulating to the fact that infrastructure t hrust has moved to south. Can you pinpoint the key projects or the states where you are seeing the activities picking up , whether these are irrigation projects, whether these are housing, where is the incremental demand that you just articulated to is propping up?
Management: Demand , Mr. Rakesh Singh will answer. Your other question, Mr. Venkateswaran, will answer .
Management: 58% was a trade , balance was non -trade . See, the demand for real estate is what we call individual housing remains very steady around between 50 % to 55% , but the areas where the growth is coming in is basically infra projects like metro and road. These are the two things where a lot of activities happening in

south especially Tamil Nadu, Kerala and Karnataka. Low cost housing is driving a demand a little bit in Andhra. And generally , growth around Hyderabad is what is driving the growth in Telan gana. This is how I can define south.
Saket Kapoor: The EBITDA p er ton for this quarter and for the first half ?
Management: EBITDA per ton for the quarter was around Rs.59 and for the first half it was around Rs.51.
Saket Kapoor: What should be the likelihood improvement as anticipated for H2? For the quarter the volume was 2.3 million as mentioned . So, what was the first half volume and what are we anticipating for H2?
Management: First half was 50.4 lakh tons.
Management: We expect around 55 -60 lakh tons going forward of cement to be sold , and we can't be making a statement of how it will look in the future. But you can be assured that the variable cost will come down and the prices should remain steady at this level.
Saket Kapoor: I think for H1, we have been posting cash loss. So, how are we funding these cash losses?

Management: In the first half, we have recovered advances to the extent of almost Rs.200 crores , plus also we have sold some land. You must have read in the papers, and it's also what was talked about by our M.D. in the initial opening remarks, Ultratech , we have sold some land for which we have received the money also , that is there as part of the notes , we have been managing it. We had about 2 40 crores of extra money came in.
Saket Kapoor: Two more questions. First of all, the capital work -in progress, that has moved up from 313 crores closing number for March to 371 crore s. So, if you could give us some color –
Management: This is particularly with r egard to cement mill in Sankar nagar, which is to be capitalized in the month of October.
Saket Kapoor: I didn't get this . Come again.
Management: Vertical roll er mill we have put in Sankar nagar, our first factory and that will get capitalized in the month of October.
Management: Balance represents the waste heat recovery and purchase of land , etc., in other plant s.
Saket Kapoor: In total, what will be our capacity for the WHRS , sir and the net debt number and the cost of funds?
Management: WHRS capacity is 8 MW. It is work -in progress also.
Management: There is 8 MW plant in Vishnupuram and 8 MW is work -in progress in Chilamkur.
Saket Kapoor: Total is 16 MW ?
Management: Yes. Eight is work -in progress what you see and p art of it is because of that.
Saket Kapoor: The net debt number and the cost of funds ?
Management: Rs.2,807 crores is the total d ebt in September '23 and cost of funds will be 9. 85%,
Moderator: The next question is from Ritesh Shah from Invest ec Capital. Please go ahead.

Ritesh Shah : Two quick questions, Sir , first, you indicated, fuel cost on a consumption basis for this quarter I think at 2.04. Sir, how should we look at this number for the quarter ahead? And if you can highlight if you have any inventory for pet coke or coal and what is the average costing over there?

Management: The cost for the current quarter was around Rs.2.04 per kCal and we expect that to continue till December approximately.
Ritesh Shah: Second question is sir, how should we look at the cement prices on north of south and south of south -- are there significant trends or the price increases what you are hearing about nearly Rs.50 per bag , is it across the entire four, five southern states ?
Management: More or less, everywhere we have got an increase of Rs. 50 at least. I understand what you're coming from. Maybe the increase when we initially started in Telangana was a little higher, but in real terms increase what we get in the marketplace is around Rs.50, Rs.60 in all the states … maybe in Kerala , it is little less . Average

of our Company has got Rs.50 for this month of October.
Ritesh Shah: How should we understand this price increase -- is it on to offset the cost inflation or are we looking at spread expansion into say Q3 and Q4, if it sustain s?
Management: See, the price increase is much needed because the cost went through the roof on the back of coal prices . So ultimately , the price of cement has gone up to offset the cost that had been incurred. As a result of which, some kind of balance is being struck.
Ritesh Shah: Would it be possible for you to quantify how much is the fl y ash and sla g procurement rate? Is there very significant inflation that we are seeing over here that's also one of the reasons for the cement price increase s?
Management: In south if you see except for a small pocket of Vizag area, slag is not used much, it is a fly ash which normally goes into blended cement and that cost is more or less in line with the contract ed rate. Only the availability became an issue in between. Otherwise , cost is I won't say the major difference coming out of that.
Moderator: The next question is from Saket Kapoor from Kapoor & Co. Please go ahead.
Saket Kapoor : What explains this increase in the employee cost , sir? It is now closer to Rs.99 crores for the quarter.
Management: You're talking about sequential quarter?
Saket Kapoor: Yes, sequential quarter also and year -on-year also –
Management: Sequential quarter, annual increments have been given , it represents the increase that was given to them . For the first quarter also, it has been given only in the second quarter because the appraisals got over only by June . So, July, August, September includes the increments given for the first quarter as well as the second quarter .

Saket Kapoor: Can you give me the volume for Q2 last year?
Management: 22.54.
Saket Kapoor: So, there is a 10% decline in volume year -on-year?
Management: Year -on-year there is an increase of 5%; 22.54 has become 23.70.
Saket Kapoor: Sir, when we look at your other expenses cost and all , that has also not been proportionate and have been rising on a sequential basis also and year-on-year basis also. So, is this a variable part?
Management: Sequential basis, majority is only on account of two items. One is with regard to some gold distribution that were done with sub -dealers in certain parts of no rth. Two is repair cost has gone up marginally. These are the two major contributors to the increase on a sequential quarter.
Saket Kapoor: I've missed your point, sir. Distribution , your line was muffled.
Management: See, one of the we have a reward function for dealers in the form of distribution of gold and this was done in Gujarat in the second quarter , and the cost of repairs.
Saket Kapoor: So, it will not be a reoccurring item for the next month. Can you quantify the absolute number?
Management: See, I think total including gold was about Rs.8 crores and repair costs went up by about Rs.6 crores .
Saket Kapoor: But even for year -on-year, this has gone up by 30 crores , so 153 has move d up to 188.
Management: Yes, because last year I don't think we had the gold distribution. This year the distribution was planned in the second quarter.
Saket Kapoor: Sir, any other non -core asset sale and I think to the land bank monetization which the Company holds, what's the thought process sir? For this year, sir, what are the current maturities … the debt repayment that are scheduled as on 31st March?
Management: See, as far as land sale is concern ed, we have quite a few parcels which we are trying to sell, but

till we get the right price, we are not going to sell it , that we are very clear about it. So , it may take time. So , I can't give you a timeline for this.
Management: The total debt repayment for the year '23-24 is about Rs.400 crores. We have

still a balance of
about 17 0, 180 crores to be met in the second -half, that is I'm talking from November to March , about Rs.130 crores are due and payable on 31st March. So , between now and 31st March, we will have about Rs.40, 45 crores of debt rep ayment .

Saket Kapoor: If you could just give the numbers again about total debt re payment , is it Rs.400 crore s?
Management: Correct , for the year '23-24.
Saket Kapoor: Out of which only Rs.40 crores are left to be paid in the coming six months ?
Management: Rs.200 crores have already been completed . Balance 170-180 crores will be paid . About 130 crores of the balance payable for 31.3.2024 .
Saket Kapoor: Where this repayment will be paid, again marked with our non -core asset sale only since we are incurring cash losses ?
Management: Till now we have been managing with whatever internal cash flows, as well as getting by way of refund. Going forward, we will be following the same line.
Vaibhav Agarwal : So just a couple of questions from my end. Sir, in your opening comments, you mentioned that the volumes for the quarter suffered because of lack of working capital. So , supposedly this working capital problem has not been there , so what kind of volume you would have expected India Cements to do in this current quarter again st 2.3 7?
Management: We would do 9 lakh tons /month , quite easy for us.
Vaibhav Agarwal : Basically sir, you are saying that we could have touched 2.7 kind of a run rate , but we have done about 2.37 , so that is the gap probably hit by working capital , is it fair to say?
Management: Yes.
Vaibhav Agarwal : The second thing I wanted to ask you, sir, in the last call, you had mentioned that BCG, we have appointed as a consultant and they are about to come up with a final report on the improvements at the Company level. So , is the report there with you now and sir, if you can highlight some of the steps initiated by them and what indications are that asked for?
Management: Our system is that every month they tell us what they are doing and what line s they are working on and what will be the benefit. It's not like they write the report every month . So, this is confidential to just to the Company .
Vaibhav Agarwal: Thank you, sir. On behalf of Phil lipCapital, I would like to thank you for the call opportunity and many thanks for the participants for joining the call.
Moderator: On behalf of Phil lipCapital (India) Private Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2024

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Dear Sirs
Sub.: Transcript of Investors Call / Analysts' Meet - Disclosure under Regulation
30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015
In continuation to our letter dated 01.02.2024, please find enclosed the
transcript of the conference call (concall) held on 01 02.2024 with representatives of
various Investors / Analysts on the unaudited financial results of the Company for the
quarter and nine months ended December 31, 2023.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
COMPANY SECRETARY
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"India Cements Limited Q3 FY24 Earnings Conference
Call"

February 01, 2024

MANAGEMENT : MR. N. SRINIVASAN – VICE CHAIRMAN AND
MANAGING DIRECTOR , INDIA CEMENTS LIMITED
MODERATOR : MR. ARCHAN VYAS – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and Gentlemen , Good day and welcome to the Q3 F Y24 Earnings Conference Call of India Cements Limited hosted by PhillipCapital (India) Private Limited.
As a rem inder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during th e conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr . Archan Vyas from PhillipCapital (India) Private Limited. Thank you and over to you, Mr. Vyas.
Archan Vyas : Thank you Michelle . Good afternoon everyone. On behalf of PhillipCapital (India) Private Limited we welcome you to Q3 and 9 monthly FY24 Earnings C alls for India Cement s Limited.
On the call we have with us the entire Senior Management Team of India Cements.
I would like to mention on behalf of the India Cements and its management that certain statements that maybe made or discussed on this Conference Call maybe forward -looking statements related to future developments and based on the current expectations . These statements are subject to a number of risks, uncertainties and other important factors that may cause actual developments and results that may differ materially from the statements made. The India Cements Limited and the Management of the Company assumes no obligation to publicly alter or update these forward -looking statements, whether as a result of new information or future events or otherwise.
I would no w hand over the flo or to Mr. N. Srinivasan – Vice Chairman and Managing Director of The India Cements Limited for his opening remarks, which will be followed by interactive Q&A and t hank you Srinivasan sir I would like you to t ake the floor.
Management: Thank you very much.
Basically, the story of the last few quarters and particular ly the last operative quarter the Company slowly, but surely turning around after successive losses we find some black somewhere. The reason for this is w e have concentrated ver y much on reducing variable cost trying to improve NPR and also improve our systems a fter all we are an old Company .
So, we have done all that one does and classic r ecovery mode . We originally thought of s elling large tracts of land which was not useful, but then we found it takes time, but we have sold smaller p ortions of land which is of no use for us a nd the performance of the Company has been much better and leading to an expectation t hat next quarter onwards we will shine like before.

One of the reasons that this see the price and NPR this quarter was sufficient for us, but our volume was low because of w orking capital constraints , we could not se ll, for example, we had planned 11 lakh tons we did the less than 7 lakhs tons. So, this has hamper ed our ability to achieve our target.
Similarly, the lack of planned volume has also hurt r ather has not naile d down the variable cost as we thought. So, going forward we have made arrangements for the working capital. So, this quarter we expect good working capital, and this is a busy quarter. So, we feel that the r esult will be very good.
This is the opening sentence and I'm very happy to respond to queries.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi: Would you please share the shipping , wind mill and RMC revenue and EBITDA?
Management: Revenue was 2.3 crores and minus 0.72 crore was the EBITDA.
Rajesh Kumar Ravi: 2.3 crores because you sold off the ship?
Management: Yes.
Rajesh Kumar Ravi:

And EBITDA is how much sir for shipping?
Management: (-0.72) then wind m ill was 0.96 crore revenue and (-0.54) as EBITDA. RMC was 29.25 crores revenue and 2.25 crores EBITDA.
Rajesh Kumar Ravi: EBITDA how much you said sir RMC?
Management: 2.25 Crore
Rajesh Kumar Ravi: And sir what is the rationale for buying a new ship? Are we using it for captive purpose ?
Management: Yes, Sir. We have got a new ship on 8th of January 2024. This is a Panamax vessel which has a carrying capacity of more than 75,000 tons. The purpose of buying the new vessel is because as you are aware we are doing the transportation where the ship has been chartered o ver to TANGEDCO and the TANGEDCO from now the tenders they are insisting on 75,000 tons of carrying capacity. So, that's the reason why we bought the new vessel. I t is currently transporting material from Indonesia to Vizag, and we have already participated in the TANGEDCO tender.

So, hopefully we are actually we have been called L1 where they have been calling us for a

discussion. So, very soon we should be a ble to finalize the tender and the ship will be o n charter for 6 months with an option to the charters for 3 more months. So, that's how I believe.

Rajesh Kumar Ravi: Sir, what was the proceeds from the ship sale you have given the profit number and what is the investment made for the new acquisition?

Management: The ship was sold for $6.45 million, about 54 crores and the new ship was acquired at $10. 45 million.

Rajesh Kumar Ravi: And sir EBITDA which you make annually is less than 10 crores, does it suffice returns on investments and what was the logic for buying a ship? Is it justifying your returns I just wanted to understand that?

Management: For a 6-month charter period we are expecting an EBITDA of about 15 crores and if the c harter period were to extend to 9 months we will probably be getting about 22 crores. So, I think it makes another sense.

Management: What you are referring to is the Supramax which was sold this is the Panamax .

Rajesh Kumar Ravi: So, I just wanted to understand that investment of 160 odd crore, right?

Management: The investment currently is 80 crores. For 9 months we are looking at an EBITDA of 22 crores for 6 months we are looking at an EBITDA of about 15 crores that's the kind of economi es of scale that we have .

Rajesh Kumar Ravi: So, annual 20 crores plus sort of an EBITDA are what you are looking at?

Management: At least.

Rajesh Kumar Ravi: We have lost substantial volume this year, volumes for 9 months are down almost 60% year -on-year. So, what is the way ahead i t is just working capital squeeze or because of the competitive intensity you have to let go of volume a nd what is your thought process going forward?

Management: Going forward in this primarily because of working capital pressure.

Management: So, let me tell you that in the Quarter 3 we could get our advances back around Rs. 256 crores advances that we have got . So, that has helped us in having some better liquidity for this quarter and we are looking at building our liquidity and operationall y. So, volume should come back. The only reason why the volume went down was the liquidity issue which we have s ort of addressed. I will put it that way.

Moderator: Thank you. The next question is from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Sir can you help me with the volume numbers for the quarter?

Management: 19.85 lakh tons.

Parth Bhavsar: What was the Kcal cost for power and fuel consumption basis?

Management: 1.99 for the quarter.

Parth Bhavsar: And sir are we like holding any inventory like where do we see this going in Q4 and in coming quarters?

Management: The inventory will be roughly around the same 1.95, b

ut with a mix of what is going to come at 1.8 and all that it's likely to be around 1.9.

Parth Bhavsar: Okay it might come down to 1.9. And sir on p ricing just wanted to understand like how are the pricing in South in Jan and like are there any price hike e xpected because we believe that prices decline in Jan and do we see any price hikes in Feb and March going ahead?

Management: See, you have to look at it, look at the price g iven that the demand was pretty bad in November, December and Janu ary because of various reasons be it floods in Tamil Nadu, Chennai, be it transporter strike or elections in Telangana or a nd then the festival in January. So, therefore the demand wa s quite muted in these periods o therwise the South has shown a pretty decent double -digit growth also.

Now we expect already going forward we think that demand will be good and therefore price should hold at a little reasonable level I mean i t was what spike we saw in October part of it got diluted between November, December and January, b ut my own view is that it will go up and stay put at little higher levels than what it is today in the month of Februar y and March, despite being year end pressures.

Parth Bhavsar: And demand has improved from November?

Management: Very c learly we can see post Pongal w e are seeing a better demand.

Moderator: Thank you. The next question i s from the line of Sanjit Tambe from Centrum Broking Limited. Please go ahead.

Sanjit Tambe: Sir you guys had hired consultant s to improve efficiency . So, what is the progress on that?

Management: See w e have given this job to the agency for three plan ts of ours. Basically, helping us in terms of fuel efficiencies, adding AFRs and adding what you call more additi ves in the OPC and PPC both. So, we are clearly seeing a benefit coming out of those three plants. W e are also based on

their advice w e are goi ng ahead with putting up a 25-megawatt solar power plant which will give us a benefit after 8 to 9 months from now. So, that also is the project we have got the clearance on the board, and we are going to put up in Tamil Nadu. So, we definitely believe that the cost is coming down because of their advi ces.

Sanjit Tambe: And sir what is the p rogress on land monetization?

Management: Land monetization it's taking longer. So, therefore we have decided to g et rid of smaller parcels of land and not wait for the huge, big one a nd meanwhile our working capital situation is improving. So, therefore we are quite alright in one sense, and we ar e not dependent only on land monetization t o take us through.

Management: Basically, we don't want to sell our land cheap. It's quite a valuable land. So, we'll wait for the right buyer to come and buy at the right price. So, that is the strategy which we are calling. In the meantime, we are addressing liquidity issues separately.

Sanjit Tambe: And just one more question like how is the demand shaping up in Tamil Nadu markets and like what is the pricing from the December exit?

Management: See as I told the earlier person who asked the question prices did slip from the highs of October and December and January because of two reasons. One was a heavy rains, second was a little bit of transport strike and third is festival, the festival of Pongal, b ut post Pongal we are seeing a demand i s going up and doing well. So, w e expect the prices to go up in next , in fact most likely from a day or two we'll start seeing prices improving in Tamil Nadu.

Sanjit Tambe: And do you see any impact of the election on the demand in near term?

Management: Not ye t because the election is not announced so far. So, normally it happens in the South, specifically after Pongal , the demand picks up and we can clearly see in l ast two days , the demand is picking.

Moderator: Thank you. The next question

is from the line of Navin Sahadev from ICICI. Please go ahead.

Navin Sahadev: Just one question I had was about the demand from the state of Telangana. I think post the state elections the re was this feedback about a sharp slowdown in that state especially the government demand because of the change in g overnment there. So, what is the update? Is there any traction or progress seen in the state or we may have to wait for some more time?

Management: I think first I think that is the right way to approach it i s we wait for little more time b ut let me tell you that I don't think government in Telangana was buying too much of cement unlike Andhra. I t was the builder segment which was buying a lot of cement because of the initiatives taken by the government of Telangana the previous government.

I personally f eel whatever we are hearing from the ground level that there is no change in that. There may be s ome amount of wait and watch which happens. So, my guess is that as we enter February the latent demand will come back, and the demand in Telangana should go back to normal or maybe better than normal is what my view is. I don't see anything changing at the ground level in Telangana because of the change of government.

Navin Sahadev: And just one bit on the competitive intensity especially in Tamil Nadu because the past couple of quarters we have seen all the large players like pushing volumes in the state. So, with that in the context you think prices hike can be hold up at a material ly higher level in coming days o r do you think volatility will be continuing to be the order ?

Management: The way we look at it is that the people who are movers and shakers in terms of increasing the volume and putting pressure on price especially in the low demand period of November, December and January. I think more or less the y are running at the full capacities in this market whatever they can dispatch they're dispatching in these markets.

So, there can't be more disturbance from them a nd therefore I personally if you ask me feel that may not be a big quantum leap, but prices will keep moving upwards going from here onwards. So, February and March, especially February month we'll see a reasonable increase in price is what my understanding of the market is.

Navin Sahadev: Just one more bit here because there was this push back to the volumes from Andhra players coming into Tamil Nadu. So, do you see those volumes also comi ng back or do you think the regional m ajor have flexed enough now to gain a sig nificant market share there. So, while prices may improve, but Andhra players may not come back, how should o ne look at that?

Management: I think you are right there. I think people have reoriented their markets in last few I would not say few month s, almost a year and a half. So, while Tamil Nadu players a re dominating Tamil

Nadu, Andhra players have started selling more in Andhra and their market.
So, I think that they will remain because the prices even i f it improves. It ma y not be given the freights and other things may not be attractive enough for Andhra players to come in a big way this is my understanding, but we don't know t hings can change very qui ckly. As of now, it looks like Andhra players will remain will be happy to sell whatever they're selling as of now, not more than that.
Moderator: Thank you. The next question is from the line of Mudit Agarwal from Motilal Oswal Financial Services. Please go ahead.
Mudit Agarwal: Can you just tell us the track number; current net debt and gross debt consolidate d?
Management: Debt is it?

Mudit Agarwal: Outstanding debt?
Management: The total d ebt as on 31st December Rs. 2,693 crores.
Moderator: The next question is from the line of Parth Bhavsar from Investec. Ple

ase go ahead.
Parth Bhavsar: Sir I have j ust one question when we say that we are facing working capital pressures. So, just wanted to understand which part of it was hitting us and since we have now g one with external financing, how it would help in coming quarters. First i s it the invent ory, is it the receivables that's hitting us or is it something else?
Management: Basically, what happened was consequen t to the losses suffered in the first and second quarter the pressure o n the cash flow was quite high with the result the money wasn't available for us. We had extended the creditors already to such an extent and fu rther extension of credit was not possible. With the result our dispatch es got constrained a little bit.
So, even though material was available we were not able to dispatch the material because the creditors were extended and in some cases we could not get the material on time. So, there were multiple instances of downtime happening in the plant, material not being available or transport not being available etc.,
So, towards the end of December, we got recovered an advance of Rs. 256 crores which sort of helped us tide over the situation and January we could have done better b ut for the holidays we don't foresee any problem in Feb and March for us to be able to achieve the volume as we had targeted and in the meanwhile we are already plan ning to come out with the debt i ssue which will augment our working capital to the extent of about 250 crores which should take care of the entire next year operation meaning it will clear the overhang and the normal sale woul d result in adequate circul ation of working capital s o that there is no stress on the cash flow.
So, the overhang would be removed by w ay of the debt raising program t o the extent of about 250 crores you would have removed the hang whatever the extended credit could have been would be addressed.
Management: We are not burning cash anymore. So, therefore we are making cash s o therefore the cash flow automatically because the coll ections are that way improving. We are in a better position compared to what we were maybe a couple of weeks or a month back and that's what we wanted to add.
Parth Bhavsar: Sir, I just wanted to know like you mentioned 200 crores o f advances were recovered, right?
Management: 256 crores.

Moderator: Thank you. The next question is from the line of Shouvik Chakraborty from D olat Capital. Please go ahead.
Shouvik Chakraborty: Just some bookkeeping questio ns. Can you share your trade mix and blended cement share for this quarter?
Management: Can you repeat the question please?
Shouvik Chakraborty: Yes. I just wanted to know the trade mix for this quart er and the blended cement share.
Management: 61% trade and balance are non -trade.
Shouvik Chakraborty: And the blended portion one sir?
Management: Blended portion was around 63%.
Shouvik Chakraborty: Sir another query I was having can you throw some color on the news that floated today like the ED check at your Chennai office if you could just throw some color like if there's some thing I would like to highlight?
Management: There was Enforcement Directorate people visited our office for survey search. They asked for a lot of information. We have provided all the infor mation required and so we said that we would provide the information some of it we have already given, some of it we will be giving. We do not foresee any major impact or anything on the quarter .

Moderator: Thank you. Ladies and gentlemen as that was the last question . I would now hand the conference over to Mr. Archan Vyas for closing comments. Over to you sir.
Archan Vyas: Thanks so much. I would li ke to thank on behalf of Philli pCapital , the entire India Cements team to take the call and give us an opportunity to host you on th

e earnings call and a ll the particip ants
who could join on the call. T hank you very much and have a great evening ahead. Michelle, you can now conclude the call. Thank you.
Moderator: Thank you sir. Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you.

Call: May 2024

K
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BSE Limited
Corporate Relationship Dept.
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Dalai Street Fort
MUMBAI 400 001.
Scrip Code : 530005 24.05 2024
National Stock Exchange of India Limited
Exchange Plaza 5th Floor,
Plot No .C/1 G Block
Bandra-Kurla Complex
Bandra (E)
MUMBAI 400 051.
Scrip Code : INDIACEM
Dear Sirs,
Sub.: Transcript of Investors Call / Analysts' Meet - Disclosure under Regulation
30 of SEBI (Listing Obligations and
Regulations, 2015 Disclosure Requirements)
In continuation to our letter dated 20.05.2024, please find enclosed the
transcript of the conference call (concall) held on 20.05.2024 with representatives of
various Investors / Analysts on the audited financial results of the Company for the
quarter and year ended March 31, 2024.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
(2 0)
COMPANY SECRETARY
Encl As above
Registered Office Dhun Building, 827, Anna Salai, Chennai - 600 002.
www.indiacements.co.in
investor@indiacements.co.in

“India Cements Limited Q 4 FY '24 Earnings
Conference Call ”

May 20, 2024

MANAGEMENT : MR. N. SRINIVASAN – VICE CHAIRMAN AND
MANAGING DIRECTOR , INDIA CEMENTS LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day and welcome to the Earnings Call for quarter and year ended 31st March 20 24 of India Cements Limited hosted by PhillipCapital (India) Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you , and over to you.
Vaibhav Agarwal: Thank you, Yashashree. Good afternoon everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q4 and FY '24 Earnings Call for India Cements Limited.
On the call we have with us the entire Senior Management Team of the India Cements Limited .
Now, I would like to mention on behalf of the India Cements and its management that certain statements that we made or discuss on this conference call may be forward -looking statements related to future development and based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors that may cause actual developments and results t o differ materially from the statements made. The India Cements Limited and the Management of the Company assumes no obl igation to publicly alter or update these forward -looking statements, whether as a result of new information or future events or otherwise.
I would now hand over the floor to Mr. N. Srinivasan – Vice Chairman and Managing Director of India Cements for his opening remarks, which will be followed by interactive Q&A . Thank you, and over to you, Srinivasan sir .
Management: Thank you , Vaibhav . I have a short opening statement. You see, the last few years we were in the boondocks. We had a tough time . Fuel prices shot up . Our costs were high. We had a number of collections of plants of various vintages . So, as a result of it getting to a low cost of production and one was difficult.
What we have done ? We have now systematized our approach to costs. For example, what was 3,500 year ago is 3050, this substantial drop is the drop of coal price plus our economies. This year we expect to go further.
Now, as far as clinker, we are installing a waste heat recovery at Chilamakuru , which will substantially reduce the power and some of the tweaking that we are doing will increase the output also.

We are installing a vertical roller mill at Sankari , which will substantially drop the cost of fly ash, because we can use wet fly ash , which is much cheaper, which is closer and use more and more of it. And the plant will become a million ton plant in no time.
We have some plans for the Raasi plant group, which will unfold as time goes on. But with the existing and the fact that we will be operating at closer to capacity, because of the availability of, we were constrained by, you can say, working capital which will not be the case in the years going and the period. So, therefore, we will out -turn a much higher quantity of cement . As a result of which , our earnings will be much better.
So, this is the broad outline I wanted to sketch to you. I am very happy to answer any questions that any of you may have. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have a question from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi: Sir, could you share the rupees per kilo cal costing in Q4 and the housekeeping numbers for revenue and EBITDA for shipping, wind and concrete?
Management: Th

e cost per Kcal for the qua rter was 1.95 and shipping turnover was 7.4 with EBITDA of 1.7 and RMC division was 27 crores with 2 .2 crores of EBITDA .
Rajesh Kumar Ravi: 2.24?
Management: Yes.
Rajesh Kumar Ravi: And windmill? Wind?
Management: Windmill was very marginal, only 0.5 crores revenue and there was a negative EBITDA.
Rajesh Kumar Ravi: How much did you say ? Revenue was how much?
Management: Only 0.5 crores .
Rajesh Kumar Ravi: Okay, 0.5 crores. And sir, this quarter we see that there is a significant improvement in balance sheet. You know , net debt has come off considerably if I look at the past few years. And s o, what is the plan in terms of non -core assets monetization in terms of asset sell -off? And secondly , how much is the profit you are looking at from the sale of Trinetra plant which you have done ,

which will be booked in Q1?
Management: Which plant?

Management: We sold the Parli Grinding Unit , not Trinetra .
Management: We sold the grinding unit at Pa rli for 315 crores.
Management: As far as we are concerned , to the extent necessary , we will dispose of f assets. But we will not dispose additional assets just for the sake of disposing.
Rajesh Kumar Ravi: Parli unit, how much is the profit book ed, sir, net of taxes?
Management: That will come in this quarter . That is only in this quarter.
Rajesh Kumar Ravi: When you are saying that , you are not looking at immediate monetization of more land or any other assets curren tly?
Management: We are looking at selling some land with parcels which happens when you get the right price and th e right buyer will look at that as we have already stated in the policy.
Management: We have no fixed ideas on this. We are looking towards monetization. Depending on the price and the parcel of land , it will go.
Moderator: Thank you. We will take our next question from the line of Shouvik Chakraborty from D olat Capital. Please go ahead.
Shouvik Chakraborty: So, can you just share some color on the pricing scenario from the exit of March, maybe how much the prices have changed in your operating regions?
Management: See, post March, the exit price from March, the prices went up in April, in fact went up smartly . But then in May again we have seen some dilution, and it is across the South . So, it is not like it is associated to any states . It has come down. So, maybe the current prices are slightly better than March exit price, but not very greatly higher.
So, this is the position today, but you know prices keep changing . Looks like in June again the prices will go up. So, this is what we expect . I think as the election thing gets over, I think the prices will go up in June is what we are expecting. It will be a yo -yo sort of a thing for this quarter. It went up , it came down and is again likely to go up.
Shouvik Chakraborty: Also , can you just share the trade numbers, I mean, trade mix for this quarter?
Management: You want the percentage?
Shouvik Chakraborty: Yes.

Management: Yes, we have sold around 57% in trade, balance in non -trade.
Moderator: Thank you. We have our next question from the line of Navin Sahadeo from IC ICI Securities . Please go ahead.
Navin Sahadeo: Sir, I had one question regarding the CAPEX . So, how much do we pencil in towards CAPEX in FY '25 and '26 given the overall efficiency enhancement works that the company is likely to undertake? Just wanted to understand potential benefits of that and how much CAPEX are we budgeting for that?
Management: You see, actually the total amount is about 700 crores, 750 , out of which 300 will go for working capital . Balance will go for CAPEX .
Management: So, j ust to explain what MD mentioned , CAPEX plan is about 500 . That 500 crores will go towards ef

ficiency improvement CAPEX and normal routine CAPEX will be about 100 crores here, which is what we have been spending all the way through . So, the next two years you can take approximately 700 crores is the total CAPEX .
Navin Sahadeo: Just to confirm, next two years, CAPEX of roughly 700 crores with roughly 350 each year, right?
Management: No, 500 crores towards efficiency improvement CAPEX , like waste heat recovery system in Chilamakuru or VRM in Sankari and so on and so forth. And 200 will be normal . 100 crores per annum is our normal CAPEX , routine CAPEX .
Navin Sahadeo: Yes, exactly. So, broadly, total outflow will be 700. We can fit between 300 and 350 each year, right?
Management: Need n ot necessarily. We are now looking to launch our modernization CAPEX as soon as possible. Once that happens, then most of the money will be s pent this year. Next year will be restricted to the balance spending and routine CAPEX .
Navin Sahadeo: So, out of this 500 crore efficiency CAPEX , you are saying there is a chance that FY '25 may see a front loading of it and '26 may see some part of that, but your maintenance CAPEX of 100 crore each year, roughly like that, right?
Management: Exactly like that .
Moderator: Thank you. We have a question from the line of Shouvik Chakraborty from D olat Capital. Please go ahead.

Shouvik Chakraborty: So, just wanted to get, could not hear the number for the windmill EBITDA. I mean, you said 0.5 crore was the revenue and how much was the EBITDA?

Management: Negative of 1. Negative EBITDA of 1 crore .
Moderator: Thank you. We have a next question from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi: Sir, could you please spell out this 500 crore improvement CAPEX that you are doing? What all things would be achieved in this?
Management: It is waste heat recovery plant in Chilamakuru, c ooler upgrade in some of the plants. Sankarnagar will have MM D crusher. Dalavoi will have a cooler and burner. Banswara will have a cooler and a burner. Cement m ill upgrade at Sankari Durg and VRM at Sankar i Durg.
Rajesh Kumar Ravi: And this WHR is what si ze?
Management: 8 Megawatts.
Rajesh Kumar Ravi: 8 Megawatts. And recently we completed one upgradation of a mill, right?
Management: '23-'24.
Management: Sankarnagar VRM got capitalized last year.
Rajesh Kumar Ravi: So, was there any capacity increase because of that?
Management: No capacity increases . It wa s a replacement CAPEX of old cement mills.
Management: And also efficiency improvement . That's all.
Rajesh Kumar Ravi: And what sort of cost reduction you are looking at through these efforts and the investments of 500 crore that you are making and by when these would start reflecting in numbers?
Management: This is, some of the projects will get over in 6 to 8 months . Some projects will take up to 12 to 15 months. It all depends on the…. . So, generally for plant by plant we can say Sankarnagar we are looking at around Rs. 300 sort of a reduction because the mines are also opening up post-election . Same way Sankari will have a reduction of around Rs. 100 to Rs. 120.
Rajesh Kumar Ravi: This is on per plant; on individual plant basis you are looking at?
Management: For each plant, the improvement will be for that plant specific. Banswara will have a volume increase as well as some reduction in cost. Each one will have an advantage of either the volume going up at higher EBITDA, higher margins are there or cost reduction or both. This is how it will be.

Rajesh Kumar Ravi: So, once you have completed this , the next 15 months , on a company level , what is the savings you are looking at?
Management: Rs. 150 to Rs. 175 per ton. That is what we are ta

rgeting.
Rajesh Kumar Ravi: And in FY '24, what sort of savings you have achieved from various operating efficiency programs which are underway?
Management: FY '24, we did not carry out any efficiency programs. Basically BCG came in and based on the ir suggestions in three of the plants we have achieved a savings of about Rs. 184 per ton.
Management: For those plants .
Management: Only three plants.
Moderator: Thank you. We will take a last question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: My first question is on regional demand. We have like 12% volume decline year -on-year for ourselves during the quarter. What was the region growth during the quarter and how is it trending for the first quarter '25?
Management: See, the demand was not bad. Demand was okay though it declined in the last quarter. We lost volume because of our constraints on working capital. Otherwise , the industry has grown most of it on double digits and the last quarter a little less , around 7%, 8% was the growth. But if you look at the year as a whole , it should be close to 9 % to 10% at least growth for the South . I am talking about South market . The country as a whole also is close to 10%, but definitely South is 10%. But we lost mainly because of the working capital constraints.
Prateek Kumar: And is it getting better in the first quarter , FY '25 for yourself and the industry ?
Management: The volume so far has been very subdued from various reasons, including election being one of the points. So , we expect it to be improving only from post June onwards only. And the 1st April and May, the demand has not been very great, because it may be flat tish kind of working.
Prateek Kumar: The industry would be lower like sharply in first quarter year -on-year?
Management: I couldn't get you. Can you repeat the question?
Prateek Kumar: The industry growth will be down sharply and negative year -on-year for first quarter FY '25?
Management: First two months i t may be flat is my guess. It is a pure guess I am making. It may be flat.

Moderator: Thank you. I now hand over the conference to Mr. Vaibhav Agarwal for closing comments. Over to you.
Vaibhav Agarwal: Thank you , Yashashree. Sir, I had a question. Sir, I just wanted to know the basic, firstly the operational impact about selling the Parli Grinding Unit on our operating numbers and volumes in terms of what kind of EBITDA it was making and what was the future impact on this part of the brand?
Management: Vaibhav, Parli was not making much of EBITDA for us. That is the reason we thought of disposing it off. And what we have planned is to add up the grinding capacity in Malkapur , which gives us a better contribution. So, that is what we have realized because our market was more towards Sholapur to the Bombay area. We were not so strong in that area. So , it didn't make sense for us to continue with the capacity , especially with the sale tax benefit gone. So , that is why we thought of disposing this project.
Vaibhav Agarwal: So, sir, for the current year like FY '24, we have made about a volume of 9.5, 9.46 around. And so with the sale of this grinding unit, do we expect to kind of achieve a 10 million volume for FY '25 or your internal targets?
Management: Our plan is to do more volume because we are still at 61% is the utilization only. So , we have a headroom of almost 40% on existing plant. So, it is actually, as I said, the volumes will not be lost because we will add that capacity in Malkapur itself.
Vaibhav Agarwal: And sir, one last question would be, I just wanted to understand the broad management thought process since Parli was a core asset for us and we have all been making, we maintain that we will be looking to sell non -core assets to fund the working capital requirement

or address the balance sheet issues , but this time this was a sale of a core asset. So, in going forward, if you identify new plants which are probably not making good EBITDA or good profitability in line to Parli, would we be looking to sell or what?
Management: We are not looking at selling plants . We are looking at selling waste land.
Vaibhav Agarwal: Exactly. So, that's what I was asking. So, any more plants which potentially in the future we will consider, or we look at the non -core only from here on to if there is any sale?
Management: Yes, only non -core.
Vaibhav Agarwal: Thanks a lot, sir. That addresse s the question. Thank you very much , sir. On behalf of PhillipCapital (India) Private Limited , we would like to thank you for the call and many thanks for participants join ing the call. Yashashree, you may now conclude the call. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes th e conference call. Thank you for joining us , and you may now disconnect your lines.

Call: May 2025

E: investor@indiacements.co.in

SH/ 02.05.2025

BSE Limited
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MUMBAI 400 001. National Stock Exchange of India Limited
Exchange Plaza , 5th Floor ,
Plot No.C/1 , G Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI 400 051.

Scrip Code : 530005 Scrip Code : INDIACEM

Dear Sirs,
Sub.: Disclosure under Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call
In continuation to our letter dated 28.04.2025, please find enclosed the
transcript of the Earnings Call held on 28.04.2025 on the audited financial results for
the quarter and year ended March 31, 202 5.
The same is available on the website of the Company i.e.
www.indiac ements.co.in.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED

COMPANY SECRETARY
Encl.: As above

UltraTech Cement Limited
Registered Office : Ahura Centre, B – Wing, 2nd Floor, Mahakali Caves Road, Andheri (East), Mumbai 400 093, India
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L26940MH2000PLC128420

2nd May, 2025

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 Listing Department
The National Stock Exchange of India Limited
Scrip Code: ULTRACEMCO

Sub.: Transcript of Q 4 FY-25 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find attached transcript of the Q 4 FY-25 Earnings Conference

Call conducted after the meeting of the Board of Directors of the Company held on 28th April, 2025 , for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

Luxembourg Stock Exchange
BP 165 / L – 2011 Luxembourg
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and US90403E2028 Singapore Exchange
11 North Buona Vista Drive,
#05-07 The Metropolis Tower 2,
Singapore 138589
ISIN Code: US90403YAA73
and USY9048BAA18

SANJEEB KUMAR
CHATTERJEEDigitally signed by SANJEEB
KUMAR CHATTERJEE Date: 2025.05.02 16:24:26 +05'30'

“Ultra Tech Cement Limited
Q4 FY 25 Earnings Conference Call ”
April 28 , 2025

M
ANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA –CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen good day and welcome to the UltraTech Cement Limited Q4 FY '25 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore, viewed in conjunction with the risks that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Atul Daga, Chief Financial Officer of the company. Thank you, and over to you, Mr. Daga.

Atul Daga: Thank you so much, Michelle and good evening, and a very warm welcome to all of you for this earnings call for Q uarter 4 , FY '25 for UltraTech. It's a maze of numbers, which we'll try and help you decipher.

I believe the world is redefining its ways of working. The uncertainties around the U.S. tariffs are making people wonder what to do next. I believe investors and industry captains globally must be revisiting their business strategies. But we, in cement in India, continue our work with a renewed focus on the growth opportunities that are unfolding in the country.

To give you a heads up, this year cement industry has ended with a capacity of about 655 million tons, up from 625 million tons . And at UltraTech, out of this 30 million tons of new capacity addition, almost 57% has been added by UltraTech. However, our overall capacity share in the country has gone up from 140 million tons to 184 million tons, an addition of 42.6 million tons under our fold with the 2 new acquisitions that we had done.

We believe that this quarter, cement demand overall for the country would have grown around 4%. And in that backdrop, UltraTech has done close to 10% volume growth. Last quarter of fiscal '25 was very eventful for us at UltraTech. After a tedious long -draw n process, we successfully completed the transfer and registration of mines in Telangana and Karnataka for the cement units that we acquired from Kesoram.

With effect from 1st of March 2025, we have fully taken charge of these units. After obtaining an unconditional CCI approval, we had started working with these units earlier on, helping them improve their performance. Happy to inform that our efforts have been reflected in their performance in the first month of operatin g control that we took charge.

We started operating these assets from the 1st of March '25 , though as per NCLT approval, the financial performance of Kesoram with effect from 1/4/24 has to be consolidated with the financials of UltraTech. As a result, in the quarter ended March '25, whilst effectively we were

managing the operations from 1st March '25, the results for the quarter are a mix of performance by old management and the new management.

India Cements, we took over the company from the Christmas of December '24. I'm delighted to inform you that the company has achieved an EBITDA breakeven in the first quarter after the takeover. Second case of sweet success was sales of more than 1 million metric tons in the month of March by India Cements.

With prices improving in the South markets from April, this will only reflect in further improvement in the company's performance. During this year, we target to cross an EBITDA per metric ton of INR500. FY '27 should be crossing INR800 and thereafter, a 4 -digit mark. The team has chalked out

a capex plan of about INR1,500 crores for India Cements, out of which INR1,000 crores is towards WHRS and other profit improvement opportunities with a payback period of less than 3 years. This will be spent in fiscal '26 and '27 and the benefits will start reflecting in the performance of the company in the quarter of Jan, March '27.

We have also identified brownfield expansion opportunities in the network of India Cements for future. At UltraTech, we never have a dull moment. We grabbed a small opportunity to strengthen our position in the white cement business with the acquisition of cement putty manufacturing facility. This is a small transaction, which should get concluded in the next few days.

Good things have a cost. Yes, we have leveraged our balance sheet, but are not alarmed at all with the current position. Net debt -to-EBITDA is what we ended with 1.16x at the end of March '25. With the sales volumes continuously increasing, performance of the company continuously improving, EBITDA profile improving, the debt will start receding rapidly.

To tell you about capex plans, we spent about INR 9,000 crores on our organic capex this year. FY '26 also would amount to about INR 9,000 crores to INR 10,000 crores of capex , out of which INR7,000 crores is towards strategic investments, the ongoing expansion program, which will take us from the current capacity of 184 million tons , 184 million includes India Cements and Kesoram capacities also from 184 million to take us to close to 212 million tons of capacity in India .

Cost improvements, we are on course to deliver the overall plan in the 3- year time window. Last quarter, several questions had been asked, and I promised to present to you the annual performance because quarter -to-quarter measurement might not be meaningfu l. Hence, we have disclosed a detailed calculation of the cost improvement, efficiency improvement that we have achieved already by the end of fiscal '25. This program will continue as promised.

We will deliver upwards of INR300 per ton in efficiency improvement. As for demand, we are seeing positive movement in government spending. Several new projects have been contemplated, which will assist in a steady cement consumption year -on-year. The beginning of the year is slightly weak becaus e of very heavy heat or high heat that is prevailing, the heat wave that is prevailing in the country, which slows down the construction activity in a bit.

States like Andhra and Bihar, in particular, are seeing renewed focus in terms of spending on roads and other infrastructure growth. I believe once this heat subsides, in fact, Bihar, I understand rains have already come in and temperatures are coming down , we should start seeing improvement in sales performance or volume uptick in all the parts of the country.

Urban real estate has shown some signs of slowdown, but this, I believe, as per experts is only temporary and will start seeing -- we will start seeing urban housing demand to go up further.

As for costs, fuel prices, as you're all aware, increased during the early days of the quarter.

However, it seems to be in check with the continuous increase in oil output of the U.S. refineries and softening global crude prices, the overall cost of coal, pet coke have not seen too much of movement.

We've also seen the various initiatives or various announcements which the U.S. government has made about the tariffs, which are having an indirect impact on ocean freight also, but we'll have to wait and watch on how things settle down and how the costs behave. As for prices, the quarter and the current month saw some improvement in prices, but I'm sure you are all very aware of how things are moving, and you have more information around that.

To conclude, this quarter, our organic capacities, if I were to measure like-for-like, we did an EBITD

A per ton of INR1,270 per ton . With the performance of Kesoram added for full quarter January, February, March '25, this INR1,270 drops down to INR 1,238 per metric ton. I think the going is good.

The capacity utilization that we achieved was 79% on an effective capacity available for the year of 150 million tons . Mind you, the effective capacity is important to know, whilst our year - ending capacity was significantly higher, the effective available capacity weeds out the impact of non-availability of capacity through the 12 months.

New capacity that were added have already given us a head start. This 150 million tons becomes about 158 million tons of capacity available. And further to that, the 25 million tons of the acquisitions, that is what makes up our available capacity to take advantage of the growth opportunities that will be available in the country.

Thank you, and over to you for questions.

Moderator: The first question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar: Congrats for great results. My first question is on your remark in the press release. I understand like most other sector part -- industries are saying that there is generally an improvement in on the ground macro overall. But we have mentioned that the sector may face short -term challenges while the long term is better. Any specific reason for this remark? And how should we look at volume?

Atul Daga: Prateek, I'll define my short term as this quarter. As I mentioned, the heat impact is very high. Otherwise, things are going very good.

Prateek Kumar: What is the expectation on volume growth? I mean, while you mentioned like 7% to 8% like long term, but for FY '26 because heat wave impact was there last year also.

Atul Daga: Prateek, we expect to grow double digit this year on a higher base.

Prateek Kumar: Double digit on like -for-like or this is including -- of course , including India Cements, you should probably grow 20%, including the 2 new entities?

Atul Daga: Yes, like -for-like double digits. So I think I was informed about the concerns about the last line in our press release. But short term is really short term from that perspective, it's perhaps April and the month of May, which is essentially linked to the high temperatures that are soaring in the country.

Prateek Kumar: Lastly, on prices, can you just throw some light on the current pricing versus average last quarter pricing?

Atul Daga: I think I would have asked you that question. You know the prices on the ground better than we do. So generally, in fact, I had mentioned that prices have seen improvements in this month as compared to last quarter or as compared to March end.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: A couple of questions. First, the 10% volume growth that you mentioned, that is organic like - for-like, right, versus 4% for the industry?

Atul Daga: No, that takes into account the Kesoram volumes also that we have rebranded as UltraTech also.

Indrajit Agarwal: Broadly, excluding that, we will still be above mid -single -digit, right? I mean organically?

Atul Daga: Yes.

Indrajit Agarwal: And you mentioned about the profitability trajectory for India cement and that the benefits come through in 4Q '27. So in this period in FY '26, '27, what are the levers that will take the
profitability from breakeven to let's say 500 and 800...
Atul Daga: So let me again clarify or explain properly what I mentioned. The investments which are being done in things like WHRS, alternate fuel, renewable energy, et c, renewable energy will happen earlier. WHRS is the most long lead. There are some cooler upgradation. All those elements will start delivering returns after completion of work, which is the last quarter of fiscal '27. So that is one aspect.
Second, from here

onwards, where this quarter, their operating EBITDA or total EBITDA was INR40 a ton , improvement in volumes, which is capacity utilization at India Cements,
improvement in margins by way of prices, by way of cost efficiency, improvement in logistics cost, overhead optimization, practically, all elements of the P&L are getting addressed f or improvement.

Indrajit Agarwal: Sure. And lastly, one more. In terms of Kesoram, are we looking to rebrand it entirely to UltraTech or we retain that brand?
Atul Daga: Over a long period of time -- long period as in short period, long period is very confusing. Over a period of time, yes, it will get rebranded.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: So just on India Cements as well. So Kesoram will be gradually rebranded, but India Cements will stay an independent brand? Or will you enter into some tolling arrangements?
Atul Daga: We will -- same thing, we will enter into a tolling arrangement and gradually convert India Cements brand also into UltraTech. India Cements, they themselves have some very powerful brands. So it will be a mix and match. And we will get into the rebranding exercise for India Cements also.
Amit Murarka: Sure, sure. So any sense by when can we expect a full transition of India Cements into UltraTech brand?
Atul Daga: 2 years' time, which is fiscal '27 -- by end of fiscal '27.
Amit Murarka: Sure. And I believe by then the upgradation program also gets completed for India Cements, as you mentioned.
Atul Daga: Yes, please, because quality upgradation is very important. So...
Amit Murarka: Okay. And the last question will be on the blending ratios. So there has been a consistent increase in your CC ratio now 1.45. So what is the number that we should think of 1 year hence or maybe like ultimately, if you have any target in mind to go to 1.6 or something like that?
Atul Daga: So we have already spelled it out. By the end of fiscal '27, we are targeting to reach 1.54.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: A couple of questions. First is, sir, on the leverage.
Atul Daga: Nobody is saying good set of numbers, why is that?
Ritesh Shah: Good set of numbers, sir. Congratulations.
Atul Daga: Thank you.
Ritesh Shah: Sir, a couple of questions. One is, what sort of leverage will we be comfortable with on net debt to EBITDA?
Atul Daga: 0.5x.

Ritesh Shah: Any time lines to reach that?
Atul Daga: Then I have to give you a forecast.
Ritesh Shah: That's what I want.
Atul Daga: I'm a little smart.
Ritesh Shah: Okay, fine. Sir, my question...
Atul Daga: On a serious note, Ritesh, you have seen UltraTech's performance. In the past, when we had leveraged, in fact, to 3x, we brought it down rapidly in about 2 years' time. I think this is -- and now when we are at 1.16x on India balance sheet, volumes growing up, EBITDA improving, we will bring it down rapidly.
Ritesh Shah: Okay. Sir, second question is on the supply at the industry level. As per your estimates, what are

we looking at 40 million tons , 50 million tons for FY '26, FY '27 as future average?
Atul Daga: Anywhere between 40 million tons to 50 million tons and our 16.8 million tons is guaranteed.
Ritesh Shah: Okay. And sir, have you noticed anything difference in pricing and discounting trends, specifically in South? Given demand hasn't moved much, but pricing is one way up. How should we understand this?
Atul Daga: I don't think so any difference is there.
Ritesh Shah: Okay. Sir, possible to indicate the current prices versus March exit or Q4 averages?
Atul Daga: No, too difficult, yes, it's 28th of the month. But all I had said was, yes, we have generally seen an

improving trend.
Ritesh Shah: Sure. And sir, just last question. You indicated on India Cements, we are looking at certain brownfield optionalities as well. Can you provide some color over here? And we understand there's a lot of lease expiry, which India faces come 2030. So how are we looking to overcome that particular variable?
Atul Daga: So as I mentioned, there are opportunities identified. Timing not decided. Timing will be decided taking into account the demand opportunity that exists in the marketplace. And just one second, Jhanwarji, go ahead.
Kailash Jhanwar: Yes, KC Jhanwar here. So I think as Atul said rightly, because it is a little early, yes, we have identified certain areas where we can do the brownfield expansion. And the lease of 2030 may not pose a problem because even as per the first right of refusal would be to the existing leaseholders. So it can be a little bit price, but not anything to do with the rescope the lease .
Atul Daga: So nobody will lose their min e, Ritesh, rest assured.

Ritesh Shah: Sure. Sir, just a follow -up. There was expectation about basically mines being auctioned in the state of Tamil Nadu. Has there been any progress over here? And would UltraTech also be interested if any of the events play out?
Atul Daga: We will be interested, but there is no date yet. As of now, I think May 4. We are in April. May 4 or 5 is a technical bid submission, the last date, which I remember. No extensions have been announced as yet.
Moderator: We'll take the next question from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: Atul sir, I have one question, just a clarification on medium - to longer -term understanding of cost improvement. So you have guided for INR 300 cost improvement and towards that, we have already achieved INR 86 in fiscal '25. Now how do we see this from the lens of Kesoram and India Cements consolidation, given majority of the cost benefits will start reflecting from fiscal '27 end? Does this mean that we will see some tail benefits on the consolidated entity fiscal '28 and beyond? Just trying to understand how should we look going forward?
Atul Daga: Let me try and answer that question. When we made this plan, this was on our existing UltraTech operations, did not include India Cements and Kesoram operations. As for India Cements, we have started off this quarter with an EBITDA per ton of INR40, which will cross a 4 -digit mark in fiscal '28, which is I'm giving us 3 years to deliver that. So their efficiency improvement program, of course, there are investments which are being done.
The efficiency improvement will be carried out in parallel for India Cements set of operations. So is the case for Kesoram set of operations. There, I believe they are already -- they are ahead of India Cements, and they will start delivering by 1 year pri or to India Cements. So the efficiency improvement program for those entities or that capacity, 25 million tons of capacity will run in parallel without compromising on our 300- plus efficiency improvement for UltraTech as is. I hope I am able to answer yo ur question.
Rahul Gupta: Got it. So just to understand this -- just one small clarification. So we may not have apple-to - apple comparison by fiscal '27, but we would continue to see benefits and India Cements and Kesoram would really start seeing fiscal -- every year actually.
Atul Daga: Every year, every quarter.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: And thanks for putting that slide where you've spoken about individually which are the cost line items and what is the contribution. Now if I look at the numbers that you have, your guidance for FY '27 and in case of renewables FY '30, plus what you are sa ying for India and Kesoram in terms of EBITDA improvement, then even if the ind

ustry doesn't take any price increase, for us as a consolidated entity to go up about INR 250 to INR 300 EBITDA per ton from here till FY '28 should be fairly easy. Is that understanding correct? Or in your assumption, there is some

price increase that you have baked in when you talk about India's INR 500 and Kesoram slightly
higher EBITDA per ton next year?
Atul Daga: Pulkit, on our Excel spreadsheet, everything kept constant, yes, INR 250, INR300 is very likely.
It is happening. But there are so many moving parts in the country. Take the case of the royalty,
which was imposed in the state of Tamil Nadu, which is INR 150 a ton or something else that
happens. So those factors have to be taken into account as well or pet coke prices moving up.
So many moving parts, it's really difficult to put all of them down in the Excel model. However,
these efficiency improvement programs and if somebody were to do a math on lead distance,
my team is so specific that they have calculated the advantage only o n primary freight, okay?
So we are very, very specific. If you look at the calculation on renewable energy, it is on the
basis of capacity utilization. It is on the basis of PLF that the renewable energy projects will
deliver. So we are going very, very specific, very precise inst ead of giving you a rounded ad hoc
number.
This 300, which is actually going to be upwards of 300 on our existing capacity will happen.
Whether that amount gets translated into -- 100% of that amount gets translated into EBITDA
per ton, I have -- I don't have an answer.
Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Thanks for the Slide 24 with a lot of granular details. Just a few clarification on this. So this
INR300, which you are saying is above this INR 86 or it includes this INR 86? Just what is the
base here?
Atul Daga: I can be greedy. You don't be greedy. So we had made an INR 300 program, out of which this is
INR86 delivered.
Sumangal Nevatia: Okay. Understood. Understood. Got it. Okay. Atul, on FY '25 industry growth of 4% and our
growth, is it possible to share some region-wise color, I mean, in terms of volume growth?
Atul Daga: So capacity utilization, if I look at, UltraTech operated at an average of 90% capacity utilization, which would vary,
range from 85% on the lower side to 97% on the higher side.
Sumangal Nevatia: All right. Can I just ask one last question on the CW segment, since the time we had this call
last month, any new update in terms of hiring, any tie -up, anything which you would like to
share?
Atul Daga: Critical positions, 1 or 2 critical people have been hired or sorry, offers have been made. Orders
have been placed for long lead item, drawings work has been completed, and we are committed to start revenues as planned
by December '26.
Moderator: The next question is from the line of Raashi Chopra from Citigroup.
Raashi Chopra: And just on India Cements, Atul, you said that the EBITDA per ton should likely cross about
INR500...

Atul Daga: This year, Raashi.
Raashi Chopra: Yes. So this is essentially -- I mean, is this largely to do with the whole rebranding? I mean if
you could sort of break up the slide a little bit.
Atul Daga: Difficult to break up, a lot of efficiency improvement, which is being driven by working capital,
improving the working capital cycle, which means cost of purchase is coming down, production
efficiency is being improved.
Raw mix -- technical team is changing the raw mix design, which is helping reduce the costs.
Prices will support overhead rationalization, which is taking place because we don't need same set of -- same kind of
overhead, what else? So fuel efficiency is co ming in. Everything is helping
add to the improve

ment program.
Kailash Jhanwar: And just to add, I am Jhanwar here, because there are multiple moving parts, so it starts right
from the cost side up to the marketing cost stage, as Atul already explained. It's difficult to
quantify. But yes, the plan is very much in place.
Atul Daga: So Raashi, all elements are being addressed and attacked. I mean I was so thrilled when I saw
March volumes, and I mentioned it on my -- in my commentary. March volumes, India Cements
have never done 1 million tons in their history. It speaks for itself.
Raashi Chopra: Got it. Just to rephrase my question, is any of the INR 500 going to come from pricing? Or this
whole thing is on the cost and efficiency as in rebranding price?
Atul Daga: Price improvement also to the extent Jhanwarji you tell.
Kailash Jhanwar: Yes. Maybe the logistic cost optimization.
Kailash Jhanwar: Because fundamentally the NCR is also driven from the logistic cost. So the logistic cost, again,
is in the 2 parts. One is the cost optimization, then the placement of product and some synergy
benefits here and there. So it's an overall game plan to impro ve the working.

Atul Daga: To supplement what Jhanwarji just mentioned, it's market mix change. So we -- as we add one more plant to the network, our efficiency keeps on improving. There, I will not shy away from saying that prices can play a benefit, but we are not counting on that.
Raashi Chopra: Understood. And on Kesoram, if you were to exclude the Kesoram volumes and how much -- what was your volume growth or if you could just share the Kesoram volume?
Atul Daga: 6% to 7%.
Raashi Chopra: And here, I would imagine that there's not a lot of scope for the EBITDA per ton improvement.

Atul Daga: There is. No, no, there is. So we would touch a 4 -digit mark for Kesoram set of assets in the last quarter fiscal '26. But mind you, again, it is very difficult for us to draw a P&L by plant because it's at a zonal level. Now just to give you further -- let me try and explain again.
We have Sedam one plant, which we acquired from Kesoram, and we have our existing capacity also in the same -- very close to the same location. Both combined start meeting the market requirements. So drawing up a P&L at a plant level is not practical from our perspective.
Moderator: The next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: A couple of questions. One on capital allocation and the other one on the acquisition. First, on capital allocation, given you have now 2 assets that you're looking to integrate, you have the wire and cable business also. Would you say that your plate is f ull and maybe any additional opportunity would not be of interest at this stage? Would that be a fair assessment?
Atul Daga: No. I think we are always hungry for growth and a good opportunity. Good opportunity has several parameters. So if something exciting is there, we will not shy away.
Satyadeep Jain: Okay. Second, on the acquisition. So first on the profitability for India Cements, you are suggesting INR800 per ton by next year.
Atul Daga: Fiscal '27.
Satyadeep Jain: Initially, the expectation was that this would be similar to UltraTech asset. So once the entire heat consumption, heat rate and power consumption comes down, would you expect this to be at parity with UltraTech assets or there are structural issues which might limit...
Atul Daga: It will be at par with our South assets. Because when we look at UltraTech EBITDA per ton of INR1,270, North markets would be doing significantly higher. So you cannot compare it with our average.
Satyadeep Jain: So typically, your southern assets would be at the lower end of that entire pie of EBITDA per ton that you...
Atul Daga: As of now...
Kailash Jhanwar: As of now, but maybe a year back or 2 years back, Southern was doing extremely well. So on the cost side, if I may add, actually, we would be well aligned with UltraTech, but the cost cannot be average of UltraTech because the zone to zone, even within Ult raTech cost differs depending on the quality of limestone and so much -- so many technical parameters, hardness of the limestone and so on. So -- but yes, broadly, we would be in line with UltraTech.
Atul Daga: Tamil Nadu at one point in time was delivering more than INR 2,000 of EBITDA per ton. So it will be in line with our South performance.
Satyadeep Jain: Just a follow -up to that EBITDA per ton that you mentioned in Tamil Nadu ...

Moderator: May I request you to please re-join the queue for follow -up. There is a long queue that is awaiting to ask questions . Thank you.
We'll take the next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Sir, two quick questions. Sorry, I missed this. Kesoram volumes in Q4 was how much?
Atul Daga: Ankit, how much volume?
Atul Daga: 1.53 million tons .
Navin Sahadeo: 1.53 million tons. And just my second question sir was since we took charge of this asset from 1st of March, so brand transition will happen over time in the sense or there is a fair amount of brand transition already happened? I'm only asking to understand from a perspective that South as a region has seen, I think, a decent price improvement in April. So will it be fair to assume that Kesoram gets a higher delta of brand conversion and the price hike?
Atul Daga: Difficult one. But yes, as brand conversion progresses, they will get an advantage.

Navin Sahadeo: And just one last clarification. When you give capex guidance of around INR 9,000 crores to INR10,000 crores for FY '26, it includes the one for cables and wires business, right?
Atul Daga: Yes, they won't have too much of spending.
Moderator: The next question is from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services.
Sanjeev Kumar Singh: I have 2 questions. First, on the Building Products segment. So revenue is at INR 921 crores, impressive growth of 21%. How are we looking at this segment in next 3 to 4 years? And can you guide us on the return ratios, ROCE which we make in this segment? Because we believe that it's largely related to construction chemicals.
Atul Daga: So easier questions first and nicer questions first. The ROCEs are upwards of 30% to 40%. Growth trajectory, we have achieved, let's say, INR 1,000 crores of revenues. This should go up to INR3,000 crores to INR 4,000 crores in -- INR3,000 crores not INR4,000 crores, sorry, INR3,000 crores in 3- year time window. So every year, we should see an expansion of INR 1,000 crores of revenues.
Sanjeev Kumar Singh: Okay. And second question is regarding the South region prices. It has been discussed a lot on this call also. And historically also, we have seen that the price hike announcement is much higher in the South region. And that also follows the pricing in the East region. But over the next 2, 3 months, historically, we have seen that entire price hike, which has been taken over and that gets diluted. So are you seeing any change in the competitive intensity or any change in the player beha vior in the South region, which gives us...

Atul Daga: I really don't know. I think it's a wait-and -watch game. You guys know about prices far higher than we do. We come to know only after we draw up our monthly accounts. And prices, to my mind, will remain a play of demand and supply.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Congratulations on strong numbers for sure on the margins front. On the demand front, could you share what was the industry growth in Q4?
Atul Daga: Our expectation

is that it should be around 4%.
Rajesh Ravi: Okay. So it did not like inch up to 8%, 9% as was anticipated at the start of the quarter?
Atul Daga: No.
Rajesh Ravi: Okay. Because your like -to-like volume growth also seems to be around 5% for the quarter, excluding Kesoram and India Cements?
Atul Daga: 6% or thereabouts, yes.
Rajesh Ravi: And for the full year, how much is the Kesoram volumes which you are incorporating in the numbers?
Atul Daga: Full year Kesoram volume is 6.86 million tons or 6.87 million tons .
Rajesh Ravi: 6.87 million tons . Okay. And sir, if I compare the presentation with previous presentation, the corporate presentation, I see the WHRS expansion program has been curtailed because in the current program, which you have shared, I would assume you would be incorporating 50 m illion tons for India as well as Kesoram, including 9 so -- around 60 million tons , so 60 megawatt. But if I look at the numbers in the presentation that is absolute number for FY '27 is lower versus what you had guided earlier. So ideally, it should have gone up by 50 megawatt, 60 megawatt, but the reported numbers are 10 megawatt, 15 megawatt lower for FY '27 target.
Ankit Sodani: It will come in FY '28, till FY '27 number which is...
Atul Daga: Till FY '27, the number. So, we are adding -- I have given you specifically the numbers on Kesoram assets, 24 megawatts. And ICL is about 22 megawatts. That's about -- 22 and 24, 46 megawatts of additional which will get added into our network.
Rajesh Ravi: Correct. So now FY '26 -- for FY '27, say, you have guided 500 megawatts, which will include this 46 megawatts plus 9 megawatts of India Cements so around 56 megawatts. So this 500 megawatts would otherwise -- the earlier presentation was 511 megawatts, wh ich would obviously not be factoring in India and Kesoram's number.
Atul Daga: Correct.

Rajesh Ravi: So your organic expansion, are there any -- you have curtailed on any WHRS programs on the like-to-like assets?
Atul Daga: No. No. So once second, just go back to the Excel, that sheet you have. This does not include

these assets, the Kesoram. I'll have to do a reco on that. No curtailment on our WHRS, 44 megawatts will get added further, but to the larger capacities.

Rajesh Ravi: Okay. And lastly, as you guided India Cements, for Kesoram, what was the total EBITDA for the year as a whole, which you are factoring in?

Atul Daga: For the year as a whole?

Rajesh Ravi: FY '25.

Atul Daga: INR112 per ton .

Rajesh Ravi: INR112 per ton , okay.

Atul Daga: I think somewhere around INR 112 or INR115 per ton . Previous periods, I really don't have a handle. I'm just doing a console...

Rajesh Ravi: Lastly, if I just -- the volume growth for FY '26, have you given any guidance, if I missed out? Factoring in the 2 new assets in place?

Atul Daga: We will be growing double digit on our organic capacity.

Rajesh Ravi: So excluding Kesoram and India Cements, you're saying you'll be growing double digits.

Atul Daga: Yes. So that will be an added.

Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Good set of numbers. I wanted to know some details on the region- wise profitability and volume growth.

Atul Daga: Very difficult. As I mentioned earlier, the average capacity utilization for us is about -- for our like-for-like is 90%, lowest being 85% and highest being about 97% capacity utilization. That's the best that I can give. Average...

Pathanjali Srinivasan: Industry level, would it be possible for you to share?

Atul Daga: Average EBITDA per ton of INR1,270 on our existing assets. North would be higher -- highest and others would fall in line because it's best to measure contribution instead of doing an EBITDA profiling at a regional level.

Pathanjali Sr

inivasan: Sure. And one question related to our acquisition. So the remaining stake that is, what is the plan there for us? And what would be our payback period for these assets, sir?

Atul Daga: Payback period for cement acquisitions would go to 7, 8 years. We are holding 81.49% 81.49% of India Cements. The first requirement will be to do an MPS to bring it down to 75%.

Pathanjali Srinivasan: Okay. So we -- would that mean that we would not be acquiring the remaining? Is that the right understanding or...

Atul Daga: Yes, yes, not required. With 75%, we have good control on the performance of the company.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I just want to understand your Northeast strategy. Any change in thought process over there? We have a stake in Star. So how do we wish to progress more organically or increase stake there?

Atul Daga: So we've been exploring the geography there. We created our entity to comply with all the regulations. There's something called single -window clearance that approval we have taken. But when we go down in that geography, there's a lot of issues that are sur facing.

It's not an easy terrain to operate because even if you find mines and plant land, the access roads are not really there and the economics of operating the plant go for a toss depending because of the various issues that are existing. And hence, we -- since that opportunity came about, we are investing and holding that -- our position in Star Cement. That's all.

We will continue to work on the Northeast market for a good clean mines and land parcel become available with access to the various things that are required for a cement asset, access to railway siding, close proximity to railway siding, access to the highway, if such an opportunity comes up, we will be the first ones to pounce on that.

Indrajit Agarwal: Sure, thank you so much.

Atul Daga: Just one second.

Kailash Jhanwar: One second, but as far as our presence is concerned, we are present in Northeast. We are supplying from our existing plants, and we are ramping our volumes in Northeast. So that would be -- continue to be there. So we have reasonably good presence, not to the level of the local players. But yes, we are moving forward as far as our presence is concerned.

Moderator: Ladies and gentlemen, we'll move on to the next question, which is from the line of Devesh Agarwal from IIFL Capital.

Atul Daga: Take the next question. He's dropped out.

Moderator: As the current participant is not answering, we'll move on to the next question, which is from the line of Raashi Chopra from Citigroup.

Raashi Chopra: Just a bookkeeping question. The realization increase sequentially was 1.6%, including India Cements and Kesoram. Do you have that with both of them, sequential move?

Atul Daga: This was only UltraTech, I mean, like -for-like.
Raashi Chopra: Yes. So if you -- do you have it with India Cements and Kesoram?
Atul Daga: No, we haven't computed that way. India Cements is a separate balance sheet and P&L. It will be an arithmetic exercise, Raashi, I don't have it.
Raashi Chopra: Okay. And I don't know if I missed this, but you gave INR 112 as the EBITDA per ton for Kesoram for the year. And what was it for this quarter?
Atul Daga: INR400 -- INR399.
Raashi Chopra: And 1.53 was the volume.
Atul Daga: Yes.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Most of the questions have been answered. A couple of things. Just to understand, sir, if I remove the India Cements and the Kesoram volume for this quarter, the number on like -for-like comes -- the growth is 5% and for year also 6%.
But do we think that this is -- are we satis

fied with this number or given even the organic expansion that we have done, obviously, it is throughout the 4 quarters, though the capacity is not available for full year, but still don't you think that this num ber is on the lower side?
Atul Daga: What should I say? I mean, we want more -- obviously, "Dil Mange M ore wali baat hai" . We will definitely want to increase our volumes and growth. As I mentioned, next year, we are targeting a double -digit growth for UltraTech stand -alone, which will get further bolstered with the capacity -- the sales volumes of Kesoram assets. India Cements assets will be visible separately in their own P&L.
Shravan Shah: Got it. Second, sir, what was the clinker utilization for the fourth quarter and if possible, for full year at consol level or whatever way you want to say?
Atul Daga: I think I focus more on cement utilization. Clinker utilization is obviously higher than cement utilization. So we achieved 90% cement utilization this quarter, 79% cement utilization for full year on UltraTech.
Shravan Shah: Okay. Got it. And second, sir, the INR 300 cost reduction that we have spoken, so this is by FY '27 or FY '28, we are saying?
Atul Daga: '27.
Shravan Shah: Okay. Got it. Got it. And for FY '27, what would be the capex number, sir?

Atul Daga: '27. We'll talk about it next year. But it should come down because most of our -- the expansion plan will start coming to a close. So it will not be as high.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: Quick 2 questions, sir. Any update on the JP asset under arbitration? Any time lines?
Atul Daga: No, it's still -- award is still awaited.
Ritesh Shah: And sir, any time lines?
Atul Daga: I'll ask a judge and come back to you, Ritesh.
Ritesh Shah: Okay. Sir, second question, you -- basically, pet coke prices haven't come down as probably was anticipated. You did indicate in the initial remarks around indirect impact of ocean freight. Can you provide some more color over here? Is it specific with res pect to the dry bulk cargoes we are looking at? Or are there any other variables which are coming to play?
Atul Daga: No. So see, ocean freight is spiking up, could spike up further. That is one. I have noticed Brent prices have been going down. U.S. output is going up. U.S. crude output is going up, which means availability of pet coke from U.S. refineries should be better. I don't know how China - U.S. trade will behave, how much pet coke will China consume. This will -- this is too difficult to quantify, Ritesh.
Ritesh Shah: Sir, just possible to break up the freight part out of, say, $120, $122 what you have indicated in the presentation?
Atul Daga: $37 to $40 is freight.
Moderator: Ladies and gentlemen, we'll take that as the last question for today. Thank you, members of the management. On behalf of UltraTech Cement, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2025

E: investor@indiacements.co.in
SH/ 24.07.2025
BSE Limited
Corporate Relationship Dept.
First Floor , New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street , Fort
MUMBAI 400 001. National Stock Exchange of India Limited
Exchange Plaza , 5th Floor ,
Plot No.C/1 , G Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI 400 051.
Scrip Code : 530005 Scrip Code : INDIACEM
Dear Sirs,
Sub.: Disclosure under Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call
In continuation to our letter dated 21st July 2025, please find enclosed the
transcript of the Earnings Call held on 21st July 2025 on the unaudited financial results
for the quarter ended 30th June 2025.
The same is available on the website of the Company i.e.
www.indiacements.co.in.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED
COMPANY SECRETARY
Encl.: As above

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24th July, 2025

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q1 FY26 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q 1 FY26 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 21st July, 2025, for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

Luxembourg Stock Exchange
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US90403YAA73 and USY9048BAA18

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Date: 2025.07.24 17:18:52
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"Ultra Tech Cement Limited
Q1 FY '2 6 Earnings Conference Call "
July 21, 2025

M
ANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Atul Daga, Chief Financial Officer of the company. Thank you, and over to you, sir.

Atul Daga: Thank you so much , Reyo. G ood morning, good afternoon, and good evening to everyone, and welcome to our Q1 F Y '26 Earnings Call. Let me straight away dive into burning issues with demand. We believe that the markets have been steady to say the least. Fundamentally, the government spend on roads continues with announcements of some new projects and push for expediting land acquisitions. The government capex program has shown a marked improvement in the first two months of this quarter on the low base of April -May '24. We are seeing rising state government spend . States like Bihar, Andhra, Gujarat, Maharashtra are doing much better than the other states Y -o-Y. The country has already built 2,108 kilometers of highways in the first quarter of the current financial year, marking an 8.9% increase Y -o-Y.

Mega projects like Vadhavan port, some dams, Maharashtra Shaktipeeth Expressway - the 802-kilometer Expressway between Maharashtra and South Konkan are starting off. On a full year basis, we believe that the government capex will generate a good growth, marked by a low base of FY '25. This should be all in al l, very good for cement demand.

Diving into our current quarter , actually, we had got used to the double -digit growth until FY '24 year after year, quarter after quarter, and anything less seems to be slow. Consolidated UltraTech Cement has grown at 9.7% Y -o-Y, including Kesoram in both the periods, though for all ends and purposes, Kesoram cement business got consolidated with us or we started managing the operations effectively from 1st March '25. It's been just 4 months. But as per the NCLT scheme, we have consolidated the financials of Kesoram in the last reported quarter, which is April -June '24 which also has been recast ed to include it in our results.

Weather gods, as usual, have been generous this quarter, giving the country relief from the heat waves, but the heat waves caused a lot of turmoil in the initial part of the quarter. T he monsoons now having spread across the country wil l be good for the rural market. Rural markets continue to be doing their swan song and we expect them to grow favorably in the future months and future quarters.

As per some IPC reports, u rban housing has been slow in first half of the calendar . But the number of deals being signed up, land purchases already registered and transactions being undertaken, clearly speak about a rebound, which should be visible in the future quarters in the redevelopment market. The redevelopment market remains strong for Mumbai and Pune, and we are seeing continuous launches of new projects. These new projects, which get launched, would see cement consumption commencing only after 12 months to 18 months of their launch.

This is very important to mention because Mumbai as a city might be close to 3% of all India Cements demand.

One more important point that I want to make at this juncture , we had stated during the last quarter, and this is just anecdotal, we have stated in the last quarter that cement demand in the country was around 4% for January-March '25 and there were talks and reports of the growth being actually 6.5% to 7% from various quarters. Well, I admit I was wrong because considering the performance of 9

0% of the installed capacity of 655 million tons in the country,
Q4 '25 was not 4%, but 4.3% growth. This is just to set the record straight about UltraTech and its analysis of the cement markets.

I want to talk about India Cements now, the company that we had acquired , concluded the transaction on 25th of December 2024. It's been 6 months or 2 quarters that we have been in charge of that company and the company is on a recovery path and growing and working as per the plan. The team has done a full assessment, as mentioned earlier, and we will be undertaking a capex plan for efficiency and productivity improvement going forward. Most of these projects will have an attractive payback period and will generate positive returns. Projects would include WHRS , speed modification, cooler upgrades, alternate fuel technologies to name just a few. Today, the cost of production is higher than average, but FY '28 will see substantial improvements in operating costs as we complete the capex program. We are increasing the renewable energy quotient with 21 megawatts of WHRS and 219 megawatts of renewable energy, thus taking the green power quotient for India Cements from 3% to 86% of their power requirement in FY '28, helping us reduce its carbon footprint.

Capex program s, the details of which we will definitely share in the next quarter , will be all funded with debt and internal accruals and we expect to reach debt level of under INR50 crores by the end of the program. And thus, reaching almost a net cash on the balance sheet.

Fuel costs, as you have always been tracking have been in control, which will also help the operations of India Cements . This performance of India Cements , which recorded about operating EBITDA of INR 400 per ton was after taking into account, the introduction of limestone royalty of INR160 per metric ton in the state of Tamil Nadu.

We are rapidly integrating the operations of India Cements with UltraTech and are getting the advantage of brand UltraTech as we move along, and we are confident of reaching an EBITDA per metric ton in excess of INR 1,000 by FY '28. Beyond that, we are nearly completing the
integration of Kesoram assets which have blended in very smoothly with our operations and are on a course for capacity expansion in terms of capacity utilization and improving their efficiency further with WHRS installations.

Costs have had some impact. There were global price volatilities. Fuel costs have been higher. In fact, they went up. Pet coke prices consumed during the quarter were slightly higher as compared to previous periods, which is reflected in the overall fuel c ost. Other than that, there is nothing much that we are concerned about.

In conclusion, I would like to reiterate that UltraTech Cement continues to be well positioned in
the Indian c ement s markets. Our strategic investments in new capacities, cost optimization
initiatives and commitment to green technologies position us for continued growth in a competitive environment. We believe our results this quarter demonstrate our ability to adapt to the changing market scenario whilst we deliver on our financial commitments.
I'd like to thank all of you for joining us today and look forward to taking your questions now.
Thank you so much.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta : Hi, thank you for taking my question. Fi rst of all, congratulations on a very good set of numbers.
I have two related questions Atul, sir. First, we have seen India Cements numbers improvin g at a fast pace over the past two quarters. Now I understand cement pricing was supportive in first quarter. But is there a case that operating performance f or both Kesoram and India Cements run faster than yo

ur earlier guidance of clocking INR1,000 per ton by F Y '26 and FY '28, respectively?
Atul Daga: It could happen. Pricing, as such, nobody has a control. As of now, the prices are favorably poised in spite of heavy monsoons . The prices have not taken beating yet or they hold. I have seen prices improving in July also over the exit quarter. So , prices are holding up, obviously, which could help us achieve our targets earlier. But besides prices, most important is the integration effort and there's a lot that happens in an integration effort. It's not just pricing. It's right from people, processes, product, quality, logistics, everything is getting integrated, which helps us realize our goals.
Rahul Gupta : Got it. Now my related question is, I understand South price hikes sustained a month after month during the quarter. Now this was also on back of multiple months of unsustainable weak pricing in the region. And second, demand was pretty good in the region during the quarter. Now my question is how should we look South from here ? I mean, should this continue or is there elevated competitive landscape can bring back what we saw last year? How should we look at the entire region? What's your view on this?
Atul Daga: So you want to look South, go North, don't go S outhwards that's in the lighter vein. O ur sense is that the South markets is getting consolidated are in good shape. So we should not feel any negative pressures as of now. Luckily, there are mega projects, which are happening in the Southern states. If I look at the c ommercial markets for data centers, offices, warehousing, everything is adding up. So it should be good. Let me request Jhanwar Ji to add his thoughts.
Kailash Jhanwar: Just to further add upon what Atul said, the S outh prices were so low that the entire industry suffered very badly in last one year. So that's number one. Number two, I think there is a good trigger on the demand side, particularly the change of state leadership in Andhra Pradesh where now again, the new capital is being planned and a lot of infrastructure projects have been announced. Even in the Telangana, which is still not up to the market, actually, but there are

good green shoots that they will also pick up. Tamil Nadu is also going for election after some time. So I think S outh in terms of demand should do well.
Atul Daga: So South could be a new North.
Rahul Gupta : We look forward to it, sir. A ll the best. Thank you so much.
Atul Daga: Anything Rahul ?
Rahul Gupta: No, I'm good. Not much in the results.
Atul Daga: There's so much in the results here. I am thrilled with my results.
Rahul Gupta : No, my point is that your boarding number should be good.
Atul Daga: All right. Thanks, Rahul.
Moderator: Thank you. The next question is from Raashi Chopra from Citigroup.
Raashi Chopra : Just a question on the realization that 2.2% increase that you see sequentially , is that when you say it's UltraTech brand that includes Kesoram as well?
Atul Daga: No, that's at UltraTech level. Because Kesoram still has its own brand sales and fast migrating India Cements also has its own brand. Of course, India Cements is not included in the number.
But this is speaking about UltraTech as a brand. And that's what I've highlighted on the slide also.
Raashi Chopra : If you could give us a stand-alone realization as an UltraTech plus Kesoram, not India Cements , but UltraTech plus Kesoram, what is that differential sequentially?
Atul Daga: Considering the volumes, Raashi, it might be up, 0.1% or so lower. That's it. The size is very small . So it will be 2.3%, not beyond that, Raashi.
Raashi Chopra : Got it. All right. And possible to share the building products number for 1Q last year revenue?

Atul Daga: Around INR185 crores, Ankit tells me that.
Raashi Chopra : And lastly, what was the

capex during this quarter?
Atul Daga: It has been around INR 2,000 crores. Generally, that's been the run rate every quarter. I don't remember the exact number, but it should be around that level only.
Raashi Chopra : This doesn't include what you are planning to spend on Indian c ements or what have you spent on?
Atul Daga: No, no. So India Cements will fund its own capex.
Moderator: Next question is from Amit Murarka from Axis Capital.

Amit Murarka : Just firstly, on the brownfield expansions, like so you will be reaching 21 2 million ton and I believe like that's going to happen in like 15 to 18 months of time. One is like how much more brownfield expansion scope is already there in the expanded portfolio? And by when can we expect the next round of expansions to be taken up?
Atul Daga: Amit, I think I must have told you also that we have the blueprint for the next phase of growth. It is getting stitched and ready and we will present it to our Board. And before the end of this calendar or worst case, before the end of this financial year, we will come back with the next phase of organic growth. You'll have to wait for that . Let me request Jhanwar Ji to add his thoughts .
Kailash Jhanwar : So fundamentally, as Atul said, rightly, I can only say that the UltraTech would continue to partner in the growth story of the country. So, we all know the cement demand is growing anything between 5% to 7%. So obviously, UltraTech would like to partner in that growth journey. And as Atul said, we have to plan out our growth on a regular basis.
Atul Daga: So Amit, you've got the answer. If industry is growing at 5% to 7%, we will not get left behind to be able to support the growth of the economy and the industry. T here are enough opportunities for us, for doing brownfield and greenfield opportunities are also coming up. And this will be our fourth phase of growth that we'll be announcing, there will be a fifth phase of growth which the team has started working now, which will come up at an opportune time.
Amit Murarka : That's great to hear. And also on the rebranding strategy for Kesoram India Cements and is there some tolling happening between India Cements and UltraTech?
Atul Daga: Yes, please. So the way we are dealing with it, whatever output is getting converted into UltraTech brand and the prices that UltraTech is able to realize on that , everything is passed on to India Cements , except for a small margin which takes care of the marketing expense, which UltraTech incurs, which is roughly INR10 a bag or INR200 a ton. And if I were to account that component in India Cements ' P&L, the reported INR400 per ton would actually be INR458 per ton.
Amit Murarka: So you mean to say the volume that you are selling the UltraTech name, that benefit is also being passed on to India Cements ' P&L ?
Atul Daga: Yes, absolutely . And in Kesoram, t here is no pricing because Kesoram sits as part of UltraTech P&L. So there's no differential.
Amit Murarka : Right. Any volume you could provide , like how much is in Coromandel brand and how much would be UltraTech coming out of India Cements ?
Atul Daga: Yes. So actually, I wouldn't want you guys to your mind getting diverted with quarterly numbers because month -after -month, the volumes are ramping up, and we should be able to conclude the brand transition program before the end of fiscal '27 next year, we should be able to compete 100%.
Moderator: The next question is from Prateek Kumar from Jefferies.

Prateek Kumar: Congrats on good results. My first question is on pricing. You said it's like 2%-2.5% increase in pricing. I guess, is this largely related to South ? How are the other regions just stand out in the quarter?
Atul Daga: South and East to which had trail

ed behind took the maximum advantage or maximum gain followed by North and West.
Prateek Kumar: I was saying that in July also, you said like prices are slightly higher. So how are that region-wise?
Atul Daga: I would say East continues to rise. And we've seen increases in other markets, except North. North and West, we

have not seen any increases because they are already very well priced. Other
markets are seeing very small increases.
Prateek Kumar: Is it possible to give out Kesoram volumes in the base so that we can adjust our quarterly base
of volumes?
Atul Daga: 1.58 million tons was Q1 fiscal '25 .
Prateek Kumar: No. I mean quarterly, like for next 2 quarters also.
Atul Daga: Prateek, I'll ask Ankit to give it to you offline. I don't have it readily. You want each quarter
breakup?
Prateek Kumar: Yes.
Moderator: The next question is from Pulkit Patni from Goldman Sachs.
Pulkit Patni : Sir, mine is also a bookkeeping question. If you could just break down the volume a little clearer.
So 2.18 million is India Cements and 32.46 is the rest of it. Now within this, what is UltraTech
and what is Kesoram, if you could help us split that?
Atul Daga: It's 34.64 is including India Cements . India Cements was 2.18. Now further splitting is very
difficult because we go on market basis and markets could be operating from various plants. So Pulkit, it's next to impossible
because when we have multiple plants in the same market, for
example, Kesoram, Sarlanagar plant and our Rajashree Cement plant, both are in Karnataka.
They supply to Kanataka, they supply to Maharashtra and various other market s so it becomes
a little difficult for us to segregate. I'll request Jhanwari to add further.
Kailash Jhanwar : No, I think it has been explained very well. I have nothing to add because it's the question of the
overall optimization of UltraTech, whether it's a product optimization, cost optimization, the market optimization and at time,
the customer optimization. So we don't look now as a separate
unit or a separate company. The entire focus is fundamentally the integrated approach, what makes sense for the company.
A t times, some plant is inefficient, we don't operate plant to that
extent.
Pulkit Patni : Sir, I fully appreciate that. What I'm trying to come to is what is the kind of annual volume growth that we are
looking at, given the base has changed, it's making a little difficult for us to

be able to calculate it, which is why a base number would help ? But if not, if you could give us
a sense of what's the annual volume growth approximately that you are looking at ?
Atul Daga: We would target a double -digit growth given the fact that we have got new capacities into our
fold. We would be commissioning. We have already commissioned 3.5 million tons this quarter ,
which will get stabilized by the time we reach January, March. We'll have further close to 10
million tons of new capacity, which will get commissioned as we move along. But on the base
of FY '25, we'll do a double -digit growth, definitely.
Pulkit Patni : Sure. Sir, my second question is on your finance cost. Again, at the consol level has come down
meaningfully. Is there scope for that to come down more? Has the interest rate been reset across
the board? How should we look at that also?
Atul Daga: So there's one more reset . The last RBI rate cut, which happened has not yet come in, and I
believe there could be 1 or 2 more rate cuts within the Indian interest rates, which will benefit
us. My average cost of borrowing would be 7% . For the previous quarter was 7%. This 7% will
come down with the rate cut, which have already been announced and further, if at all, anything happens. Pulkit , we have
also been able to reprice, refinance India Cements borrowings also.
They are also getting rated A AA with more or less the same kind of range, s

ame rates.
Moderator: Next question is from Ashish Jain from Macquarie.
Ashish Jain: Sir, firstly, the double -digit growth you spoke about in fiscal '26 is with Kesoram in the base or
that is without Kesoram?
Atul Daga: With Kesoram in the base. Ash ish, long story short, we will grow higher than the industry.
Ashish Jain: There's no doubt on that because Kesoram can make a big difference to that. That's why.
Atul Daga: Not really. Because Kesoram is 14 million tons and out of our 186 million tons, it's less than 8%
or 9% of our total capacity. We will not make too much of an impact. We'll still be able to grow .
As a moot point, w e made an investment. So , it will generate returns.
Ashish Jain: Sir, secondly, just on capacity, I had 2 questions. One is if I go back 3- 4 years, when you first
spoke about this 200 million ton target by 2030, if I remember right. Now we have achieved that
or we will achieve it much, much ahead of 20 30. So, would you be able to put a number to
capacity that we can think, let's say, in the following 3, 4, 5 years because at some point of time,
shall we start thinking that there's enough capacity in the industry and that can reflect in our
expansion or do you think we are far away ?
Atul Daga: Ashish, l et me give you a bigger picture answer. All of us know India requires a lot of growth,
a lot of cement is required as yet. W hilst we call ourselves fourth largest economy, but look at
Japan's infrastructure and look at our infrastructure and everything else that is around
infrastructure. There's a huge amount of growth potential. And I think next 10, 15 years and I'll

request , once I finish, I'll request Jhanwar ji also to give his inputs. But there is a long way that India will keep seeing growth. And as long as India keeps seeing growth, I don't have a number,

but we will grow in line with India's growth requirements of cement. Yes, we might reach a saturation point in the distant future.
Ashish Jain: I just want to add one more point. Sir, because we have heard this for many, many years, and some of it has played out also in terms of growth. But then I'm just struggling to understand why cement growth is through volatile let's say, even 4Q, if it was 4.3% growth, I mean, why are we not seeing that prolonged period of high single -digit growth or, let's say, 7%, 8% growth at least.
Atul Daga: Ashish, we can have a long discussion offline and to understand what happens in the industry. But there are multiple factors. Last year, what happened and year before last year, fiscal '24, we saw double -digit growth after COVID , coming out of COVID. The industry saw double -digit growth year after year , fiscal '25 had its own challenges. If I recall, fiscal '17 had its own challenges because GST was introduced , then RERA was introduced. So there have been structural changes in the economy, which have had their share of impact on demand. But structurally, as you see the number of kilometers of roads that need to be done in India is
humongous . And once the infrastructure growth comes, the big incentive is all around the development of newer town cities, social infrastructure, commercial spaces, etcetera, which will get developed. Jhanwar Ji, do you want to add?
Kailash Jhanwar : That's what I was about to say. Fundamentally, even if we see the that demand model or the growth model in any country, actually, the first trigger is infrastructure growth actually and once
the infrastructure growth happens , then as Atul said, just now the housing, social infrastructure, new cities coming , there will be a lot of migration of people moving from cities to the suburb and the distant places because the infrastructure becomes very efficient commut ing from one place to another. So , we believe it is going to follow at some point of time once we reach a reasonably good infrastr

ucture. Number two, because just now, I said and Atul also explained,
we are very clear that the countr y has huge potential for the overall economy to growth and the cement is a basic building block. So we would definitely like to partner actually in this growth journey. And I don't see personally at least this growth is going to taper down, at least in next one decade actually. And you must have seen that recently, the day before yesterday, even our road ministe r, Mr. Gadkari also says that we are targeting 100 -kilometer per day rather than 35 years. We have challenges in the country in terms of land acquisitions, slow award of contract , executions and so on. But I think government is conscious about it and speeding up all infrastructure projects and so on. So huge potential.
Atul Daga: Let me delve into one project example, Vadhavan port. It's 300 million ton cargo handling capacity. Do you know what is the peak cargo handling by JNPT, it maybe less than 100 million tons. Somewhere around that . It's a huge project. Whilst it consumes cement, but the ancillary industry growth that takes place, the employment opportunities, the increase in housing income that takes place. opens up the floodgates of growth for companies like us. And there are going to be several such projects in the country. I think we will be bus y producing and selling cement.
Ashish Jain: Okay. So just last question on power and fuel, will we see further increase?
Atul Daga: No, no. I think we will see declines now.

Kailash Jhanwar : I think it should remain in the range bound. Yes, range bound, not really increase .
Atul Daga: This is one element which we don't have a control on at some global event takes place and prices go haywire , which will impact consumption going forward. So as of now, as Jhanwar ji also mentioned, range bound or it should not go up, let me put it this way.
Ashish Jain: Okay. Thank you so much. Thanks.
Atul Daga: Thanks, Ashish.
Moderator: The next question is from the Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hello.
Atul Daga: Yes. Hi, Ritesh.
Ritesh Shah: Yes, hi . Hi, sir. A couple of questions. Sir, first is the...
Atul Daga: Did you like my numbers , Ritesh? Ritesh, you didn't like my performance.
Ritesh Shah: No, no, sir, it's pretty much in line. Thanks for that. Sir, a couple of questions. First is intercompany elimination has been mentioned by value and volume. How should we be read into this? And how should we look at this number going forward?

Atul Daga: So intercompany elimination is between UltraTech and IC EM now, right? Sorry, this is between like cement, which is supplied to our own captive consumption for RMC . This is going to be part of life. But on a INR20,000 crore s of revenue, this quarter is about INR500 crores. On a current scale of operations, you can factor in the INR00 crore s number. Because we are growing our RMCs. We are growing our BPD , the construction chemicals. We are growing organically on our projects where we consume our own cement . So that elimination has to be done.

Ritesh Shah: Okay. Sir, my second question is, you did indicate on pricing trends. But would it be possible for you to give some color on the trade and non- trade price gap, specifically in South, given what we understand that the price increases on the non -trade side have been significantly sharp versus trade?

Atul Daga: I always ask you guys to help me with this information, you know it better than I do.

Ritesh Shah: Okay. So I'll move to the third question, sir, how should one link Birla Pivot to UltraTech? How are the linkages between the 2 entities? And does UltraTech benefit out of Birla Pivot by any means?

Kailash Jhanwar : No, not really , only sometimes if they use our network. .

Atul Daga: So cement and our product , any other produ

ct that we manufacture under our Building Product division, we deal with it directly. They are selling any other product directly.

Ritesh Shah: Okay. And sir, any update on wires and cables?

Atul Daga: Major orders have already been placed, long -lead items. People have started joining , land leases being finalized. We 're looking at some locations in Gujarat. And last I checked, we are on track. We'll remain within our capex plan of INR1,800 crores, we might have some savings only on that capex plan.

Ritesh Shah: And sir, just last one question. Sir, any specific plans you would like to lay out on RMC given competition is actually moving quite quickly? I'm referring to the unlisted player who is there in the marketplace.

Atul Daga: As my late Chairman once said, Mr. Aditya Birla , we are not afraid of the competition , let the competition be afraid of us. So that's a very serious statement. And I think, we are focused on our growth. We know that RMC will keep growing. We have already crossed 400 mark this year, we'll keep growing. And Ritesh, you know that they are all margin accretive, which means over and above the EBITDA, they generate a contribution.

Ritesh Shah: Sure, sir. Thank you so much for the answers. Thank you.

Atul Daga: Thank you.

Moderator: The next question Navin Nameshwar Sahadeo from ICICI Securities . Please go ahead.

Navin Sahadeo: Thank you for the opportunity. My question was on demand. So if I adjust to the volumes of India Cements , I think organically, our volume growth is just 2%. And I believe UltraTech grow s much higher than the industry. Is this observation correct in the first place? And if the industry is nearly flattish in Q1, we are into monsoon season. So then what gives the confidence of a 7%, 8% growth for the full year ? Thanks.

Atul Daga: So Navin, let me answer the second part of the question first. More than 40% to 45% of demand for cement in the country is in the last quarter. January-March is the biggest quarter. Second point to make is cement is very, very seasonal in India. The real season for cement starts post festivals , post Diwali actually. So when labor starts returning. So it is effectively, I don't remember when is Diwali this year, but let's say, post middle of November till the heat wave start setting in the real season is November to April or May. That is the real season for cement.

I believe, yes, we will grow much rapidly in the subsequent quarters. As to your point on some numbers that you were looking at. I don't think so that's a number. And Pulkit had asked me this question on the call, I don't have the ability to split between what is Kesoram sale because now it's all part of our system integrated. There's one billing mechanism excluding ICS.

Navin Sahadeo: It's a very simple arithmetic. I don't see a reason of any confusion actually. It's a very simple arithmetic. From a domestic volumes, I simply reduce India Cements and to last year's domestic volume, I simply add Kesoram. That's a 2% growth that I'm getting.

Atul Daga: No. Firstly, I don't like your aggressive tone . Secondly, the way to look at is if I look at UltraTech brand because as I mentioned, we have been rapidly rebranding UltraTech which has grown

6.5%. So I know there will be some amount of jigsaw puzzle in our sales mix because what we will focus on is UltraTech brand sale, which has actually grown 6.5%, whichever way you want to cut it, that's the real number.

Kailash Jhanwar : Yes. I think because the entire focus is on the s ales, sometimes it depends on which plant is more accretive in terms of the delivery cost and from where the dispatches are to be made. So it is really difficult to differentiate actually the plant-wise kind of thing. But the brand has grown by 6.5%.

Navin

Sahadeo: Great. Great. And if I may just ask a second question. Lead distance is like very happy to see our lead distance reduction from 384 in the previous quarter to 370, as we say. B ut I'm just trying to see the savings in actual numbers in the sense of 14 kilometers of sequential savings even if I assume a ballpark INR3 like per ton per kilometer, even then that's almost over INR40 per ton of sequential savings. I'm not able to see that in the numbers. Am I missing anything here , sir? Thanks.

Atul Daga: So in our graph that we show you, INR1 ,182 to INR1 ,158. This is a INR24 saving, which is visible . My accounting might not be as aligned and linear with the costing. That's the only answer I would have. But the fact is, yes, the lead distance has gone down. And if I do the math of PTPK, it should reflect. But besides the lead distance, there are lots of other costs which are attached, let's say, handling cost, warehousing costs, everything would get added in my logistics cost, forwarding costs, agents involved. So there will be lots of other elements of costs involved. So Nav in, maybe I don't think mathematically, it will stack up. You will have a INR40 benefit .

Kailash Jhanwar: Railroad.

Atul Daga: Then there's a railroad, Jhanwar Ji pointed out , there a railroad mix also . Rail is 40% lower than road costs, lots of moving parts to this. And as I said, quarter -on-quarter, last time also I had mentioned, and we disclosed transparently our savings due to all these efforts. At the end of the year, Navin, we will definitely show the outcome. Quarter -to-quarter, next quarter, you never know the lead might go up. INR370 could become INR371, INR372 or it could fall further. My hunch it will fall further because as the network of number of plants is increasing, our lead distance will come down.

Moderator: The next question is from Satyadeep Jain from Ambit Capital . Please go ahead.

Satyadeep Jain : Hi. Thank you. Mr. Daga , first question on India Cements and then second was UBS. The India Cements , I just wanted to understand, I think you're mentioning that adjusted for marketing spend, maybe adjusted EBITDA was INR458 per ton . Last quarter, you mentioned southern plants, typically for UltraTech would be lower EBITDA per ton given lower pricing historically, given where pricing is, just trying to understand the profitability gap between India Cements and rest of UltraTech plants in Sout h maybe ballpark directionally ? And how do you plan to bridge that gap? We see you have preheater, WHRS, maybe just some ballpark directional number.

Atul Daga: So as for the two ways, this is a good question, certainly. The UltraTech brand being generated from ICL plants gets the same price barring the INR10, which I'm keeping in UltraTech . Cost of production of that output might be still be higher because of the inefficiencies that exist. And

as we progress , fiscal '28, the costs also will get aligned, prices will also be aligned. We will have parity between the profitability of ICL plants or UltraTech existing cement plants in the southern markets. Jhanwar Ji?

Kailash Jhanwar: Yes. So as far as the cost side is concerned, we have once we carry out this capex plan actually. And once it is completed, then compared to the UltraTech, I would say it would be almost near to the UltraTech level, subject to some structural differences at the plant to plant level because even despite the modification, you may not able to reach at a UltraTech level plants because there are some plants at UltraTech which are the most modern and recently constructed plant. But I think we would be by and large, it could be very well aligned with UltraTech, and not a very big difference where we should have any worry . That's what I can.

Atul Daga: So, certainly, we'll start capex work, we'll announce it next quarter. We h

ave not yet completed
stitching the program. Next quarter, we start, which is middle of '25,'26,'27 and we will hopefully complete, and first quarter of '28, April, June '27, you will start seeing the benefits in the P&L of ICL .

Satyadeep Jain: The reason why I'm asking this is twofold. One, these are old assets. So I understand these are all integrated. There is no concept of strict grinding generally. And also in Southern part of Kerala, if you see Coromandel brand is so strong. I'm not sure if it is possible to completely go with Ultra Tech given the strong recall there. So given all these, you think 100% of branding can move to UltraTech given the asset base itself that the way it was structured earlier with all the preheater and WHRS, you can achieve almost parity with UltraT ech on all these efficiencies.

Just trying to understand.
Kailash Jhanwar: Yes, yes. Let me give you the flavor. We have already done a deep d ive actually putting a number of people, te ams, et cetera, identified plant -by-plant, line -by-line what modifications are to be done. And this modification will take us to at what level in terms of heat consumption, power consumption. And that is why with the confidence or with the com fort I'm saying we would be in the ballpark number of about at least 90% of the UltraTech level because we don't have the best heat recovery system practically anywhere except one plant and so on. We don't have the alternate fuel usage actually. We need to optimize in terms of preheater to improve the heat efficiency and so on. So if I may say, honestly, it's any worry to bring those plants in the range of UltraTech, not at the 100% at the level of UltraTech. But it's a matter of only time it may take another one and a half year to one year to, as Atul said, at max two years' time actually .
Atul Daga: So, certainly, two more points to address. You mentioned the strength of the existing brand of ICL in deep down south. We will evaluate, and as I said, that's why we have kept time in hand to do the integration of our brand. If required, that will continue . If the markets convert, it will transition into UltraTech. Its jury is still out. Second point, you mentioned about split grinding units that they don't have as compared to the way the UltraTech network is operating. But the way we work, it's on a total delivered cost. We have our own network of grinding units from UltraTech, which will be able to share their capacities. Because ultim ately, we work on a total delivered cost basis. That is why, again, going back to the questions which were raised earlier on the call, beyond a point it becomes difficult for us to split here. But just because we are operating at total delivered cost, by the end of fiscal '27, take a guess, we will be having a

network of physically 82 plant locations in the country and rising. South itself, we will be about 60 million tons and growing with multiple facilities. So we'll be able to capitalize on our existing network also. Hope that helps.
Moderator: The next question is from Chintan Shah from JM Financial.
Chintan Shah: Hi. Thank you so much for the opportunity. So I had three quick questions and all three on India Cements . So first one is just a clarification of what you mentioned. So basically, the UltraTech rebranding from India Cements that will be sold to the UltraTech entity and all of that will retain around INR10 per bag or 200/t and rest of it will be retained in India Cements .
Atul Daga: That's correct.
Chintan Shah: That's correct. Okay. Perfect. And second and the third one are more strategic. So first is what is the end plan with respect to India Cements ? I mean, considering the synergies and integration would be at some point looking to merge this with UltraTech or be open to keeping it as a separate entity and what would be the rationale if we w

ant to keep it as a separate entity? That's the second ques tion.
Atul Daga: So as of now, we don't know which side we will move. First and foremost, it's very important for us to clean up the India Cements operations, bring it up to speed, which is a turnaround of the company, align people's processes, product, as I mentioned earlier, and then we will take a call on whether to merge or not to merge. We are fully cognizant of a huge amount of stamp duty that would be involved. Why spend money on that? But if it's worthwhile, perhaps in '27 or '28, actually, we will revisit the decision. As of now, it will continue as a separate entity.
Chintan Shah: Got it. Understood. That's very clear. And third and the last question is, I mean, in terms of capital allocation, capex, where we highlighted right now, we're focusing on WHRS and AFR. But would there be a consideration or a scope for further debottlenec king or brownfield or any sort of expansion in India Cements ?
Atul Daga: There exist opportunities for brownfield expansion in India Cements also. And as I mentioned, we are now getting ready for our Phase 4 of growth of capex. Phase 5 will also be there where we'll see brownfield opportunities of India Cements location getting tapped.
Chintan Shah: Got it. Perfect. That's very clear answers on my question.
Moderator: Next question is from Shravan Shah from Dolat Capital .
Shravan Shah: Hi. Thank you, sir. Just to clarify, sir, when we say, we will grow 10% volume growth in FY '26, this is on 135.8 million tons. That's what we have done at consol level in FY '25?
Atul Daga: Yes. Okay. Yes, please.
Shravan Shah: Yes. So I'm just trying to clarify on that, we are seeing a 10% growth. So that means including the India Cements also where maybe we would be doing close to 9- 9.5 million tons. So if I remove that, then maybe a 3% to 4% kind of a growth would be there, if I take a 10% growth?

Atul Daga: If you're wanting to do a math check, then do that separately. I'm not doing a math right now.
Shravan Shah: Okay. Got it. Second, sir, in terms of the cost reduction, what we have talked about last time, INR300 odd, INR86 we have done in '25. So that remains intact. By FY27, we'll be seeing another INR200, INR215.
Atul Daga: I don't know how much. Whatever we are able to achieve, we will report it. Because as somebody just picked up, logistics cost is coming down. Nobody has asked me or complimented me on the way clinker conversion factor has gone up. Can you imagine the quantum of gain which the operations have now with a clinker conversion factor of 1.49? It's jumped from 1.44 last quarter. So there are lots of efforts, sir, which are happening and which we will report at the end of the year. Month -to-month, day-to -day, quarter -to-quarter, it's next to impossible to measure.
Shravan Shah: True. True. True. So I understand. I was about. Sir, lastly, on the capex, if possible for FY '26 and '27.
Atul Daga: We have close to INR10,000 crores this year. We'll come back for the next year capex in due course.
Moderator: The next question is from Raashi Chopra from Citigroup .
Raashi Chopra: Sorry, just following up.
Atul Daga: You're still there, Raashi. I thought you wouldn't be there.
Raashi Chopra: No. I'm just following up on the previous question. One is, I don't know if I missed this, but did you give the industry growth number for this quarter? Last quarter you said was 4%.
Atul Daga: No. No. I didn't give it. I didn't give it.
Raashi Chopra: So what is it? I mean, what in your estimate would be?
Atul Daga: We'll discuss it tomorrow, Raashi.
Raashi Chopra: Okay. That is one. Second is this tolling arrangement that you have with India Cements . So, when I'm trying to look at the India EBITDA per ton, that is basically standalone plus UltraTech, is there any sort of intercompany

elimination that I need to take?
Atul Daga: Which means including India Cements operations. Is that what you're looking at?
Raashi Chopra: I'll ask you differently. Like last quarter, the India EBITDA per ton was INR1,175 in the fourth quarter. Is that number INR1,230 now in this quarter?
Atul Daga: India EBITDA per ton. I will give it to you if not on the call then later on. I don't have it immediately.
Raashi Chopra: Okay. Okay. No problem.

Moderator: Thank you very much. We'll take that as the last question. On behalf of UltraTech Cement Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.
Atul Daga: Thank you.

Call: Oct 2025

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Dear Sirs,
Sub.: Disclosure under Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call
In continuation to our letter dated 18th October 2025, please find enclosed the
transcript of the Earnings Call held on 18th October 2025 on the unaudited financial
results for the quarter and half -year ended 30th September 2025.
The same is available on the website of the Company i.e.
www.indiacements.co.in.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED

COMPANY SECRETARY
Encl.: As above

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27th October , 2025
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Sub: Transcript of Q 2 FY26 Earnings Call of UltraTech Cement Limited (“the Company”)
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ar Sirs ,
I
n terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015, please find attached transcript of the
Q2 FY26 Earnings Call conducted after the meeting of the Board of Directors of the Company
held on 18th October , 2025, for your information and record.
The s
ame is also available on the website of the Company viz. www.ultratechcement.com .
Y
ours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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“Ultra Tech Cement Limited
Q2 FY '2 6 Earnings Conference Call ”
October 18 , 202 5

MANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, Good day, and welcome to the UltraTech Cement Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Atul Daga, Chief Financial Officer. Thank you, and over to you, sir.

Atul Daga: Thank you. Good evening, everyone, and welcome to the earnings call of UltraTech Cement for the quarter ended September '25. I realize it is a Saturday, and for those who are attending the call, a sincere thanks for taking time out on your weekend.

Let me straight jump into the nitty -gritties. Firstly, demand. I think it's very important to note that we have sold more than 31 million tons of cement this quarter , when rain gods have been in full fury till almost a few days ago. On ground, things are looking up, looking better for premium cement all the more. We will talk about it in a bit.

UltraTech is a very large company , we operate almost 75 physical locations, 400 -plus RMC plants. And in that phase of rapid growth, the sales volume growth will be a little complex to understand for 3 or 4 quarters. If we were to look at our sales volumes without ICL and Kesoram in the base for the last year because we were not managing them, we have grown 22.3%. Without considering India Cements in our base for the last quarter , we have recorded a growth of 9.6%. With both ICL and Kesoram Cement assets in the base, we have grown about 6.8%. India Cements has already declared its results yesterday with a growth of 6%.

Most important points to note is UltraTech as a brand has grown about 13.2% this quarter Y -o-Y. That is real hard number. Rural markets are also delivering a growth of 13%, and we believe that the industry will achieve a growth of a round 10% in the rural markets.

We have been rapidly converting India Cements and Kesoram brands into UltraTech with a sharp focus on improving the quality of the product manufactured at the acquired plant locations.

The results are quite exciting. As I mentioned, UltraTech, as a brand, has grown 13.2%, thanks to the rapid conversion of output generated from the acquired assets.
Let's talk about GST. GST, whilst there's no impact on profitability, an important benefit of GST 2 is a reduction in Clean Energy Cess levy on coal. We believe this will be in the long -term interest of UltraTech. We balance our fuel portfolio with a mix of coal and pet coke. The strategy has always helped manage our risk. This quarter, with slightly higher coal consumption, the ratio is skewed in favor of coal at about 48% and pet coke being about 44%. This quarter, our fuel costs are higher than last quarter, increasing to INR1.8 per Kcal as compared to INR1.78 per Kcal , it's a mix of coal and pet coke essentially and timing.
The next few quarters will be a mix of our existing high -performance assets of 166.76 million tons and the acquired assets, which, are ramping up rapidly, namely Kesoram Cement assets, 10.75 million tons and India Cements, 14.75 million tons.

Our existing operating assets 166.76 million tons of capacity have delivered an EBITDA per metric ton of INR966. India Cements reported its performance yesterday, delivering INR386 per metric ton and Kesoram assets this quarter were at INR755.
For your reference, India Cement's brand conversion has already happened 31%, and Kesoram has already converted 55% at the end of this quarter. This will clearly give you a perspective of how the overall average numbers will p

an out when full brand convers ion will be completed.
We are expecting to complete the brand transition for these acquired assets, not later than June '26.
There have been some specific cost items one -off slightly higher, which have had a dampening effect on our performance. First one, maintenance costs , you will be shocked to know that we operate almost 56 kilns across the country in UltraTech's balance sheet. And if you were to take into account India Cements' kilns also, a total number of 65 kilns are being operated by us. In UltraTech, out of the 56 kilns, we had 617 kiln days shutdown as compared to 207 kiln days last quarter or 511 kiln days last year fo r the same period. This is one of the reasons why our fixed costs are slightly higher. When we do an internal calculation, it's about an impact of INR100 per ton. Secon d one was the advertising cost , during this quarter, our advertising efforts had been taken up. We spent INR50 crores higher than the last quarter, resulting into an impact of about INR15 per ton. Third item was staff costs, which were again slightly higher in this quarter and all employees obviously enjoy this quarter because the increments and the annual bonus payments are mad e in the July -September period. Quarter -on-quarter, additional cost of INR94 crores were incurred, but you don't have to worry as this impact will come down next quarter by INR30-35 crores. The per ton impact is roughly INR25 per ton. Oper ating leverage impact due to lower Q-o-Q sales volume is close to INR70 per ton. If I count all these items, then there is a delta impact of anywhere around INR200 per ton. But that doesn't mean that these costs will not exist in the next quarter. There will be some element of cost, but not such a high impact.
Capex . Our expansion plans are going on full swing, and we will complete or exit this financial year with 200 million tons of capacity under our belt. Projects like Vadhavan Port, Amravati, development around the new Mumbai Airport, data centers coming up in the country, urban real estate, Google committing $15 billion to build its AI hub in Andhra. All such mega projects are very positive for cement industry for consistent growth demand. And GST 2 will definitely boost demand for premium cement because some peo ple will be able to buy their aspirational brands due to a reduction in the cost of purchase.
You would have also seen our next phase of growth. I have mentioned it in the past. After completing our consolidation in the Southern markets in fiscal '25, we have focused our guns on North and West. With an intent to further strengthen our position in these markets, we are embarking on the next phase of our growth with 22.8 million tons of incremental capacity, which is a mix of largely brownfield and some greenfield expansions. Out of these 22.8 million tons , 18 million tons is focused on the Northern markets and 4.8 million tons for the Western markets. A very important point for you to note is we will always be fully invested in clinker. At the end of this expansion, we will be reaching 148 million tons of clinker capacity with a clinker conversion factor reaching close to 1.6x. This expansion also will be funded largely by internal

accruals. There might be some temporary borrowings that will be done but by the time we complete our expansion, we will be again less than 0.7x net debt EBITDA.

Cables and wires business. The business is on track to launch production in Q3 CY '26. Land and buildings have been secured, long lead machinery items hav e been placed. We expect delivery to start from January '26, and the plant should get commissioned in time for Q3 production launch. Key managerial people have also started onboarding.
I touched upon ICL and Kesoram assets. As I mentioned, India Cements brand transition has been completed up to 31% of th

eir sales as UltraTech and it will cross the 40% mark by
December quarter and then further up; thereby, helping us realize the benefits of synergy in the books of India Cements on a very rapid pace. As a post -balance sheet event in India Cem ents, we have exited the coal assets held in Indonesia and the cash flows that will be realized from the sale of these assets will help reduce their de bt.
Another important point to highlight about India Cements is the capex program of INR1,592 crores, which has been initiated for debottlenecking of a small capacity 21 -megawatt s of WHRS, 192-megawatts of renewable energy and other e fficiency improvement programs. Over and above that, we are expanding the capacity at Chennai and Rajasthan plants with 2.4 million tons at a cost of INR422 crores. These are high -performing markets and the investment will yield an IRR of upwards of 20%.
We acquired India Cements with a capacity of 14.45 million tons; within no time, there was a debottlenecking done. And further brownfield expansions that I've just mentioned, will take us to a capacity of 17.55 million tons. We will be able to fund these investments with internal accruals and a mix of debt. However, by the time we complete the expansion, which is January March 28 or by the time the expansions are fully operational, the ICL assets will start generating EBITDA per ton of INR1,000 and a net d ebt EBITDA of around 0.5x.
Kesoram assets have also streamlined and a capex of around INR500 crores is in progress for WHRS and other efficiency improvements. The brand transition program, as I mentioned earlier, has already been completed to about 55% of its output, and we shall complete the rest of the program by the end of June '26.
Another important point, which I must leave with you, is our retail footprint. We have a presence with almost 5,000 stores in the country, these retail stores, what we call the UBS stores, sold 21% of our total sales this quarter, and also support the drea ms of many individual homebuilders to procure other materials required for building a house.
RMC is another important aspect of our business. We have crossed almost 400 plants in the country. Today, RMC has become about 4% of cement volumes for us.
For some of you, the dessert is the most important in terms of EBITDA per ton, but at UltraTech, this quarter has been a wholesome meal.

Thank you. And before taking questions, we wish you all a very happy Diwali. Over to you for questions, please.
Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Amit Murarka from Axis Capital.
Amit Murarka: Just on this expansion plan that you've announced. So , like after this, I just wanted to know like how much more scope is there given that this is just focused on North and West. And I'm guessing there is scope even in East, South, those markets as well. So , what is the additional scope for brownfield expansion that exists in the portfolio?
Atul Daga: Amit, so we are now sticking our program to reach about 240 - 245 million tons, which will get completed by fiscal '29. There is definitely scope for 20 - 25 million tons more. I'm talking about beyond '29, '30, '31 and in those times, there will be further possibilities. There will be possibilities of greenfield clinker -based units also since we continuously keep acquiring mining rights, and land acquisition is an ongoing process. So , it's not only brownfield, but we'll also have greenfield expansions depending upon the market appetite, which we believe will be very high.
Amit Murarka: Understood. And also, while we spelled out the other expenses, reasons for the other expenses jump, even raw material has moved up, is there some one -off even in that ?
Atul Daga: There's no one -off. There might be some purchase p

rice impact, other than there's no one -off.
Amit Murarka: And out of the INR200 per ton, which you summed up under various items, how much of it will go away essentially in Q3, if you could just give some number on that?
Atul Daga: So, maintenance will come down. At least ballpark INR100 will come down.
Amit Murarka: Right, right. And just lastly, on the fuel cost, we have seen pet coke move up while you have only 44%, but will net fuel cost go up given that there is coal compensation cess positive benefit as well?

Atul Daga: So, we'll have a bigger benefit because UltraTech consumes higher amount of coal as compared to rest of the industry, so that will also be a benefit to us. And now it is always possible that the flavor of pet coke starts going down and coal is becoming more i mportant.
Amit Murarka: Sure. So on a net basis, basically, fuel cost may not go up too much for you?
Atul Daga: So it will not go up. All the spot purchases is the only thing, which could move up or down. But in our overall scheme of things, we will not have any inflation in fuel costs.
Moderator: Our next question comes from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: Two questions. First, congratulations on such low capex per ton on the next leg of expansion. Now keeping that in mind and the cost -saving initiatives across the industry, how do you see the

pricing environment or the intensity of taking prices up in the medium term among the players panning out?
Atul Daga: Thank you, Indrajit, for noticing that. Well, as far as the efficiency improvement program is concerned, I think UltraTech is the only company, which has demonstrated item -by-item actual delivery of efficiency improvement. Capex cost, I don't know whether anybody else can deliver this kind of an efficiency in capex cost. So , it remains to be seen. Third point you mentioned about pricing. Pricing is not determined by capex cost or efficiency improvement. Pricing, I will repeat again, it's always been demand. If demand is good, there is always an opportu nity for improvement in prices. If there are cost inflation pressures on , let's say, just now when we discussed about fuel costs, in case fuel costs go through the roof or any other costs go through the roof, if the industry, if we can't absorb it, it will get definitely passed on. Pricing decisions will not be taken because of lower capex cost.
Indrajit Agarwal: Sure. This is helpful. Secondly, on industry demand, on your best estimate, how was the demand in second quarter? And do you think the earlier guidance of 6% to 7% industry growth for the full year is achievable?
Atul Daga: I think so, yes, it is definitely happening. My confidence is going up higher if I look at my own volume growth. And as far as industry growth is concerned, it has to be somewhere around 4.5% to 5% for this quarter.
Moderator: Our next question comes from the line of Pinakin Parekh from HSBC.
Pinakin Parekh: Sir, my first question is on the commissioning time line for the expansions. It says FY '28 onwards. So , will it get bunched up in FY '28, or will it be spread over '28, '29, '30?
Atul Daga: Not bunched up. It would be mostly evenly spread out. We will come out with detailed schedule in the next quarter, but it's not getting bunched up.
Pinakin Parekh: Sure. And sir, secondly, just more granular color on how does the company see demand between government capex and individual homebuyers? Because from a pricing point of view, for the trade segment, we need the individual homebuyer segment demand to pick up. So as per you, where do you see stronger demand over the second half of the year?
Atul Daga: I think the rural markets, as I talked about it, we have seen about 13% growth in rural markets, which is a very positive point. So IHB segment will continue to drive demand. And also , we a

re
seeing continuous announcements of new Infra projects, which will help the overall demand sentiment. Jhanwar Ji, would like to add something .
Kailash Jhanwar: Yes. So very good afternoon to all of you. So , I think, Atul has said rightly, the housing sector would be the key driver for the growth and particularly the rural housing, the demand has been good and with the good monsoon actually this year and the revision in the MSP price and kind of thing, I thin k the rural I ndia is likely to do very well. On the urban side, obviously, with the change in the income tax rates, personal income tax rates, softening of interest, there are good green shoots and the urban demand is also likely to move further.

Coming on the Infra side, I think, as Atul said, I think the Infra is now likely to fire on all fronts right from the road, rail, aviation and the port side actually because in the recent few months or the few days, there are a lot of announcements actually in terms of building new highways, widening of th e highways and the metro, port. And now if the Sagarmala projects pick up, then further it will provide boost to the demand.
And commercial side, I think, again, that's likely to be the good story with the GCC. Recently, a few days back, there is an announcement on the big data center, Google. So , I think we believe, hopefully, demand side do well.
Atul Daga: So, Pinakin, it's not about a quarter. I think if you are looking at a longer term, and we had put

out one chart on how we see the long -term growth also, it's 7%, 8% CAGR growth. I'm very confident that this is going to happen in the country.
Just imagine, if you were to delve a little bit more in Google's investment of $15 billion over a period of 5 years. It's not just a data center, but there'll be employees and their housing and the related schools, hospitals, blah, blah, blah, everything will be coming up. So , this is one -off.
Vadhavan Port, INR76,000 crore s project, 300 million ton cargo handling capability. The project will go on for 5 - 6 years or even more. But that will change the fortunes of entire Western market.
Moderator: Our next question comes from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Firstly, I appreciate all the detailing on the expansion plans and also a lot of more disclosures in the regular quarterly presentation. Sir, my first question is on the North market. You shared in the presentation that last couple of years, the peak utili zation has been approaching 90%. Any thoughts on how are we looking at over the next 4 to 5 years, given a lot of peers, JK, Dalmia, JSW, all focusing on North in the next leg of expansion. So any analysis, which you can share on our estimates, is there a risk of an oversupply situation gradually building in North given the supply?
Atul Daga: No, Sumangal, no, I don't think so. And I think the more important from UltraTech's point of view is, we have always grown better than the rest of the industry at a pace higher than the industry. We are confident that our capacity share, which today stands at 28% will go up to 32%-33%, and there's no stopping us there. So UltraTech will continue to gain market share.
UltraTech does not see any risk in being able to sell more volumes of cement.
Kailash Jhanwar: Yes. To further add upon, I think, also it is an overall function if you talk about the capacity utilization where your plants are located actually. Once we'll share you the more details in the next quarterly discussions actually based on our footprint and the location, I think UltraTech would be stand out in terms of the...
Atul Daga: Yes, I didn't want to say it, Sumangal, but deserts are desserts and city is a city. So , we can discuss later offline, yes.

Sumangal Neva

tia: Okay. So on the green power mix, we've reached 42%. One is over the next couple of years, where do we settle at? So just want to understand, incrementally, any thumb rule we can kind of use as to what cost is in every percentage increase or something like that to estimate the cost savings?
Atul Daga: We will reach about 65% of green power by the end of our current phase of growth. And I've already started disclosing my cost mix. So , when you are reaching 65%, thermal power will come down. You can do an estimation from there.
Sumangal Nevatia: Okay. And just one last thing. In the opening remarks, sir, you alluded to some sort of a premiumization benefit out of GST. Can you explain what's the thought there?
Atul Daga: So what I believe is everybody has an aspiration, not only for cement, for any other asset. Now if that particular product comes within my striking distance, which I was deferring or not going that part. Now if that asset is within my striking distance, I would definitely want to use that asset.
Now let's talk about cement. Cement, when a person is building his house, which is once in a lifetime, if that person was not able to buy UltraTech as a premium product, roughly INR30 impact has happened favorably in the hands of the end consumer. The affordability was INR360.
There are 2 ways. The person who was wanting to buy at INR360 either will switch down to INR330 for a category B brand or might be incentivized to buy a premium brand at INR360.
That's premiumization.
Moderator: Our next question comes from the line of Prateek Kumar from Jefferies.
Prateek Kumar: I have a couple of questions. Firstly, on premium cement, how do you think the premium segment pricing can pan out over the next 12 months versus the regular product for yourself or for market?
Atul Daga: It again depends upon demand. Prateek, if demand is robust and there's a cost pressure also, then obviously, there's an opportunity to push it into prices.
Prateek Kumar: And where do you envisage your 33% premium mix going to over the next 12 to 18 months?
Atul Daga: I don't have a number immediately, Prateek, take it offline. I don't want to give an ad hoc answer.
We can discuss on Monday. I'll share some more highlights.
Prateek Kumar: Sure. You have reported like like -for-like growth of 7% for the overall consol operations. How is that split in region -wise? And also, your total 71% capacity utilization for first half, how would that be region -wise?
Atul Daga: So if I look at regional capacity utilization, North and, in fact, South are in the 70s and West is in the high 60s and Central and East is low 60s.

Prateek Kumar: And what about the volume growth region -wise?

Atul Daga: Volume growth region -wise. I think the capacity utilization should be a good parameter for you. I don't have immediately the regional growth numbers.
Prateek Kumar: Sure, no problem. One last question on your expansion into Northern markets. So , while some of the capacity appears to be in Central, you are allocating all those capacity to North, like we generally...
Atul Daga: I was expecting somebody to ask this question. For us, we split UP and MP into UP East, UP West and MP East and MP West. The Western parts of MP and UP are more North -centric. Because let's take Vikram Cement, which is in Madhya Pradesh, but it is an hour away and you're into Rajasthan. So that is part of our Rajasthan or Northern markets as compared to calling it a Central market. Similarly, Dhar is very suitable for servicing Northern markets. Dadri, which is sitting in Delhi is in UP, but it serves Northern markets. So that is why we look at UP West and MP West in our internal scheme of things as Northern markets. So these, while even if you want to classify them as Central areas, but the output or their distribution is in the Northern markets

.
Moderator: Our next question comes from the line of Rashi from Citi.
Rashi: Just a quick question on Kesoram. The EBITDA per ton that you've given is at INR755, and I understand the first quarter was about INR1,000. So , this entire decline, I mean, barring the realization has got to do with all these maintenance?
Atul Daga: Yes, shutdowns, maintenance, that's it.
Rashi: But was there any offsetting impact with the improvement in the rebranding to UltraTech?
Atul Daga: Obviously, because I have at least INR15 to INR20 delta on pricing between UltraTech and Kesoram old brands. There is an advantage.
Rashi: I'm just trying to understand how we think about Kesoram going forward from here.
Atul Daga: So my sense is December, I should be back to INR1,000. And once we are completing our brand transition in Kesoram, it should be operating at -- because again, the Kesoram asset while it's in South, but services Mumbai market. The 9-million -ton plant, Sedam plant is closer to the Maharashtra market, so it should enjoy the profitability of the Western markets. Once WHRS and everything is implemented, we will be crossing INR1,000, INR1,100, INR1,200 mark by the end of June '26.
Rashi: Got it. And just a bookkeeping question, sir, India EBITDA per ton, which was about INR1,230 in 1Q, is it working out about INR900 in this quarter on a blended basis?
Atul Daga: INR966.
Rashi: India, all in, as in including Kesoram and India Cements?
Atul Daga: That includes India Cements. Also , India Cements is INR386 a ton.

Rashi: So INR966 includes India Cements.
Atul Daga: Then I think you would look at INR914, if that is the number you are looking at.
Rashi: Okay. Got it. And from like spot pricing versus what you had in the second quarter, is it largely stable?
Atul Daga: Pricing in cement prices, coal prices?
Rashi: Cement, cement prices.
Atul Daga: I thought you're asking about cement bag prices. So no, prices are stable.
Rashi: Okay. Do you see an improvement in the cost, the INR100 reversal that you're talking about, offset by higher pet coke prices going forward?
Atul Daga: As I also mentioned, our fuel prices are not going up because we will also have the advantage of coal sales getting knocked off and the maximum benefit without a doubt will be to UltraTech.
Moderator: Our next question comes from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: Congrats on a good set of numbers. Firstly, I'd like to thank you for giving such a good presentation with this like very good amount of transparency in reporting in terms of numbers with organic and inorganic. It really gives us a good amount of confidenc e in what you're doing. I have a few questions. First question is this pricing actions post GST, is there any kind of a window or time line for which we're not allowed to increase prices?
Atul Daga: No, there is nothing like that, but prices will go up if there is pressure on cost, if there is a huge amount of demand or if there's a shortage of material, then prices go up. There's no prescription around that.

Pathanjali Srinivasan: Okay, sir. And like just on a quarter -on-quarter, like we have seen a small fall in prices in terms of realization. What are the regions where you would say the impact of this is more?
Atul Daga: So I would say quarter -on-quarter, Central was the most impacted.
Pathanjali Srinivasan: Okay. And when we mentioned about margin profile, what is the margin profile difference be for regular cement versus premium, sir? Because you're saying that premiumization could be something that could play out. I just wanted to figure out what would be t he difference?
Atul Daga: But it is very difficult to do -- it becomes a theoretical calculation. So lot of overhead allocation will be done. If we were just doing the contribution

analysis, that is different, but EBITDA analysis is very theoretical. So , we don't do that.
Pathanjali Srinivasan: Okay. Got it, sir. Sir, and last question is you had mentioned about like some plants have been dropped in the presentation, and we've also done a little bit of a rejig there. So , is this more of a strategic thing? Or is there any other reason why we've done this?

Atul Daga: Strategic. Because when we had started off on that expansion plan, India Cements was not acquired, and we were doing, let's say, a bulk terminal in Chennai. Now we have the grinding unit in Chennai. So , on the contrary, we have decided to increase the capacity of Chennai grinding unit of India Cements and drop our investment in the bulk terminal in Chennai. Now because we are dropping the bulk terminal, the corresponding clinker, which was coming up in Tadipatri, which is Andhra Pradesh, which was going to serve this location, we have dropped the grinding capacity in Tadipatri unit. So what should I say, balancing, no other compulsions.
Pathanjali Srinivasan: So in West Bengal, we have dropped a grinding unit I think to some 1 million tons. Any specific thing there?
Atul Daga: Because, again, that was rebalancing. We dropped Kharagpur and we have increased our presence in Dankuni. So it's again, locational advantages that we had, net logistics advantage that we could get. That's how we have tried to optimize our capex .
Moderator: Our next question comes from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services.
Sanjeev Kumar Singh: Our current CC ratio is around 1.48x. And when we gave the clinker capacity addition schedule, we said that it's based on 1.56x of CC ratio. So , should we assume that gradually we want to increase our clinker conversion ratio to around 1.55 x, 1.56x over the next few years? And if we do that, what will be the cost advantages, which we would see?
Atul Daga: So, as I mentioned, we will actually reach 1.59 to1.6 post this expansion, obviously, which means a higher amount of blending will take place. And the current expansion program itself, we had said we will reach 1.54. So obviously, we are focusing on increasing our blending, which helps our sustainability efforts also, and it is cost advantageous as well.
Just a housekeeping question because of the previous question, which was raised, I think there's a small error in my presentation when we have talked about dropping off 3 assets, there were a couple of assets, which we rebalanced, for example, Dankuni, whi ch was not part of our plan. So instead of Kharagpur, we have gone into Dankuni.
Sanjeev Kumar Singh: Secondly, sir, when there has been a drop in or reduction in green energy sales, but we believe that at the same time, there has been some increase in overall GST on coal from 5% to 18%. So , considering that, what kind of cost benefit we would see if considering both these numbers?
Atul Daga: GST increase in coal is input tax credit does not impact us. Like when GST on cement has gone down, it does not impact the profitability. Similarly, GST changes in coal does not impact the profitability; however, Cess, which was not allowed as an input, it 's a cost, that going down is directly advantageous.
Moderator: Our next question comes from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Sir, my question pertains to this clinker expansion, which you are doing. Dala voi IU, you have mentioned, Tamil Nadu, there is a brownfield expansion of 0.4 million tons in the India Cements. Is there any clinker expansion also expected at that plant?
Atul Daga: That's a grinding capacity. India Cements, no, there's no further clinker capacity. But clinker we have enough available in the region to service it.
Rajesh Ravi: Okay. An

d this 22 million tons, your capex cost is less than INR500 crores per ton. So in this, how much is the clinker capacity cumulatively that you're planning to add?

Atul Daga: Total about 15.68 million tons. So, 8.04 are 2 specific plants and there are debottlenecking across the regions.
Rajesh Ravi: Okay. That is great. And sir, what would be the total capex number for next 2 years on the ongoing projects?
Atul Daga: I will have about INR10,000 crores minimum per year, outgo.
Rajesh Ravi: Okay, INR10,000 crores. And lastly, you mentioned earlier in the call, due to higher maintenance and advertisement cost in Q2, on a per ton basis, how much of these costs will get reversed in Q3?
Atul Daga: Give or take INR100 per ton.
Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. On behalf of UltraTech Cement Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Atul Daga: Thank you.

Call: Jan 2026

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SH/ 30.01.2026

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Scrip Code : 530005 Scrip Code : INDIACEM

Dear Sirs,
Sub.: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call
In continuation to our letter dated 24th January 2026, please find enclosed the transcript of the Earnings Call held on 24th January 2026 on the unaudited financial results for the quarter and nine months ended 31st December 2025.
The same is available on the website of the Company i.e. www.indiacements.co.in.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED

COMPANY SECRETARY
Encl.: As above

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30th January, 2026
BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO
Sub: Transcript of Q3 FY26 Earnings Call of UltraTech Cement Limited (“the Company”)
Dear Sirs,
In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q3 FY26 Earnings Call conducted after the meeting of the Board of Directors of the Company held on 24th January, 2026, for your information and record.
The same is also available on the website of the Company viz. www.ultratechcement.com .
Your
s faithfully,
For UltraTech Cement Limited

Dhiraj Kapoor
Company Secretary and Compliance Officer
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"UltraTech Cement Limited
Q3 FY '26 Earnings Conference Call "
January 24, 2026
MANAGEMENT :M R.KAILASH C. J HANWAR –MANAGING DIRECTOR
MR.ATUL DAGA –CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good evening, and welcome to the UltraTech Cement Limited Q3 FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a gu arantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an ope rator by pressing star then zero on your touchstone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Atul Da ga, Business Head and CFO of UltraTech Cement Limited. Thank you, and over to you, sir.

Atul Daga: Good evening, good afternoon, ladies and gentlemen. Once again, a very warm welcome to yet another call on a Saturday evening for UltraTech for the third quarter results of fiscal'26. Before I begin, let me assure you, we will not make this a habit of spoiling your Saturdays, but this Saturday is worth spending time. Let me get on to the main core topic for discussion, which I have in mind today. Demand, that is the most important aspect for our business. Everything else becomes secondary and falls in line. And as we see the progress, Government's focus on infrastructure is translating into a robust pipeline of new projects nationwide with several marquee investments announced across every region, translating into solid demand. You must have all read about it in the media at different points in time, but let me put a perspective together in one place, region by region.

In the North, Punjab is taking extensive road development initiatives, spending about INR16,000 crores in its markets. New corridors have been announced in Delhi Metro for about INR12,000 crores. Uttar Pradesh is developing 1,575 kilometers metro network across major cities. Of course, that goes till 2047, it's a long horizon, multi-city infrastructure pipeline, indicating sustained demand and significant opportunity for cement. Highway projects, continued investment in road connectivity and logistics corr idor across the state, like the 4-lane greenfield highway project between a place called Barabanki and Mustafabad.

Let's go to West India. Maharashtra is seeing a significant pipeline of large transport and mobility projects, signaling strong multiyear demand for cement and construction materials.

Mega projects like the Uttan-Virar Sea Link, about INR58,000 crores, Mumbai Metro expansions, Pune Metro multiple lines and road concretization in Mumbai. Center clearance of Pune-Chhatrapati Sambhajinagar Expressway highway spanning 245 kilometers with a particular focus on improving connectivity for rural communities, nearly 350 kilometers of state highways, 2,577 kilometers of rural roads, some rehabilitation initiatives. All of these are going to boost urban cement demand. Expressways and ring roads, Nashik-Vadhavan, Bhandara-Gadchiroli, et cetera, add to further boost for demand. Gujarat's 9 high-speed corridors covering about 800 kilometers are fast tracking connectivity and will add further. Cabinet has approved 2 major highway projects worth INR20,000 crores plus, Nashik-Solapur and one more, signaling continued momentum in India's integrated high-speed connectivity push under the PM Gati Shakti.

Stepping down into South India. Bangalore is undergoing a major mobility transformation with the metro network set to expand from 96 kilometers to 175 kilometers by the end of December ’27. Karnataka government has unveiled an urban infrastructure program which will have longest 40-kilomete

r twin tunnel, a 41kilometer double decker metro, 110-kilometer elevated corridors. Center has approved INR10,000 crores expansion of 4 key highways
measuring about 273 kilometers, which will improve connectivity across Telangana. New Mangalore Port has announced capacity expansion to handle 100 million tons by 2047.
We can't forget the Eastern corridor. West Bengal has its own challenges, but is planning largest road initiatives, about INR8,487 crores program, 15,000 kilometers of rural roads, 5,019 kilometers of urban roads. All this just goes to say that India is developing very fast. Bihar is rolling out 3 major Ganga Road projects worth INR70,000 crores. Digha-Sherpur-Bihta-Koilwar (35 kilometers); Munger-Bariyarpur –Ghorghat –Sultanganj (42 kilometers), Sultanganj-Bhagalpur-Sabour (41 kilometers). So, I'm not advocating or speaking on behalf of NHAI, but this is what the story is surfacing.
Chhattisgarh, Center has approved 774 kilometers roads covering 2,000-plus kilometers under the PMGSY-IV. The state has already completed 8,753 roads and bridges are also under the same phase. Major rail expansion across Maharash tra, Chhattisgarh, Gujarat, MP reflect the scale and diversity of investment underway.
To give you a perspective, roads and highways require approximately 350 to 900 metric tons per kilometer. With thousands of kilometers under construction or planned across all regions, this is going to be huge. Elevated metro requires 11,000 metric tons per kilometer. Underground metro
requires anywhere between 17,000 to 19,000 metric tons per kilometer. Railways, 90 to 100 metric tons of cement, ports and airports go up to 50 kgs per square feet.
Housing, if I were to look at low-income housing programs, affordable housing and rural connectivity projects sustained steady demand. With a strong project pipeline, demand for cement will remain very continuous and as strong as possible. Infrastructure is seeing the next big wave of growth. What does that imply - more jobs, more demand for housing and social
infrastructure, i.e., schools, hospitals, comme rcial complexes, office and all. We are present across the country. Just to tell you about our RM C network is about 163 cities, which we are already covering and rapidly expanding. UltraTech is so sweetly positioned to meet the demand like nobody else. We are witnessing unprecedente d growth in new avenues like data centers, GCC, renewable energy projects, you name it, and things are happening. As somebody just said, India has arrived. It's the market with a population of over 1.4 billion people, youngest working class and an opportunity across the land bank for development.
At UltraTech, we are fully geared up to capture these opportunities. Our approach remains rooted in disciplined execution, advancing our next phase of capacity expansion while ensuring every investment is backed by rigorous cost control and operational efficiency. In our fourth phase of expansion, large part of orders has already been placed, work has already commenced, and we will be on time. Importantly, we are funding all our growth through internal accruals, maintaining a prudent balance sheet and a healthy leverage profile.

This, combined with our pan-India network and deepening retail footprint positions us to capture incremental demand at a very rapid pace while sa feguarding our margins. You would have seen our leverage position this quarter end. On a consolidated basis, we are at 1.08x net debt EBITDA.
I believe and I'm very confident that we'll reach the mark of 1x and be in 0.8, 0.9x net debt EBITDA by the end of this fiscal year.
Integration of recent acquisitions is progressing very well with rapid brand transition. Kesoram and India Cements are ahead of the initial plan s, with brand conversion at Kesoram having reached 69% in December '25. And today, if we speak, it must have

crossed further. India
Cements has already crossed 58% at the end of December '25. For both these assets, we have begun our cost improvement capex program, which will result in benefits and will start reflecting in the P&L of January-March '27. At Kesoram, we have already spent INR263 crores, out of the commitment of about INR382 crores. At India Cements, we have committed already INR601 crores and spent INR144 crores on the program.
Talking about capex, the other initiative, cable and wires is progressing as per plan. About INR500 crores worth of orders have already been placed. We have spent INR197 crores. 30% of the planned team is already onboard, civil work has started, and we are on schedule to see the
launch of our product in the October-December '26 quarter as was committed earlier.
Talking about our efficiency improvement program, we continue to deliver solid and measurable results. In fact, now I am very confident that we should be doing better than what we had committed. We shall give an exact quantificatio n and financial impact with our annual results for the year. However, you would have noticed the lead distance has dropped to 363 kilometers.

The clinker conversion factor has improved to 1.49.
The most important factor, I believe, for us is to have a strong demand pipeline. And you will notice that January-March quarter, God willing, we will operate at more than 90% of our existing installed capacity, clearly demonstrating growth in the trade markets as well as non-trade markets. If the demand is good, everything else falls in line. Ultimately, it is about the bottom line where it comes from, doesn't really matter.
Quite often, everybody is focused on cement prices, which has remained subdued post GST change. Last week of September, October, November saw some softening prices. But with growing demand, we are witnessing improvement in prices in all segments across the country.
There have been cost increases in the cost of pet coke and coal, new labor code will have its own impact, rupee depreciation. All these will have an impact on the cement industry. And obviously, there is reason to pass on these cost escalations into prices.
We are very confident of a very bright future for the next quarter and after that quarter and after that and after that. That doesn't mean I'm restrictin g myself to a fiscal '27, but the story is far longer. As India embarks on the next decade of development, UltraTech is proud to play a pivotal role in building the nation's future. We remain confident that our strategic initiatives in building capacities across the country in critical market locations, coupled with sector's positive outlook, we will continue to deliver growth faster than the industry. And we welcome all of you to participate in our journey. Don't miss the bus. Thank you, and over to you for questions.

Moderator: Thank you very much. The first question is from the line of Amit Kumar Murarka from Axis Capital. Please go ahead.
Amit Murarka: Congratulations, Mr. Daga, firstly, for a great resu lt. I don't think anyone expected both volume and the margin beat actually, which is quite hear tening to see. Just on pricing, wanted to get a sense from you, like there is a lot of industry capacity addition that is going to come through this year. What do you think industry's stance will be in this kind of a high expansion scenario?
Atul Daga: The reason I talked about all the demand footprint and demand new initiatives, I think cement will easily get absorbed. And if the demand remains strong, we will not see any problem in prices.
Amit Murarka: Understood. Sure. And just also on India Cements, like in Q3, I see that the EBITDA per ton was about INR400. You had earlier guided for INR1,000 exit in Q4 '27. So, most of this improvement will be through cost? Or will there also be some pricing required to achi

eve that.
Atul Daga: So, what will happen is the brand conversion, which has already taken place. Actually, had the brand conversion not taken place, the performance would have not been where it is today.
Balance almost 40% or 45% of brand conversion has to be completed and prices are going up in the southern markets as well. Further, as I called out, the capex program has begun for efficiency improvement. So, we have to have all the players playing the match in a positive manner - prices, efficiency improvement and capacit y utilization. All of them will deliver as planned.
Amit Murarka: Understood. Yes. And lastly, just if you could give the CC ratio for the quarter.
Atul Daga: 1.49.
Moderator: We have the next question from the line of Pulkit from Goldman Sachs.
Pulkit: And I echo Amit's views that these are good numbers. And on a lighter note, your opening remarks sounded a lot like the budget speech. But si r, I don't see the capacity addition plant-by-plant guidance for Q4 and for the next 2 years. Just the numbers around how much capacity would be added in Q4, how much in FY '27 and FY '28, that will be helpful.
Atul Daga: So, we should have approximately 8 to 9 million tons more coming in this quarter. And the balance,12 million tons in fiscal '27 and then balance remaining will be in '28.
Moderator: We have the next question from the line of Jashandeep Singh Chadha: from Nomura.
Jashandeep Chadha: Congratulations on a great set of numbers, sir. And I must start by saying that the information and detail that you gave on the project is much better than most of the department who are actually working on those projects, I must say. So, my first question is you have covered most of the demand aspect and in a lot of detail?
Just wanted to shift the focus on rural demand. How has rural demand recovered in third quarter?
How are you seeing in the fourth quarter? And what are your expectations for the year ahead?
And just related to that, any expectation from the budget for the cement sector or anything?

Atul Daga: The last question first, I won't comment on that . Rural demand, simple way to look at rural demand is look at our trade ratios. If our trade ratios remain strong, rural demand is equally buoyant. We are not witnessing any depression in rural demand. Q4 also will be solid is what my expectation is.
Jashandeep Chadha: Understood, sir. And sir, on the cost saving front, UltraTech has given a target of INR300 to INR350 per ton over the next couple of years. I understand it's very difficult to tell the details quarter-by-quarter, but if you can give us the sense how much of this has been realized? And how much of that will be coming in the coming quarters?
Atul Daga: So you're asking 2 things in the same question. First, you are saying it is difficult to quantify and then you are saying quantify. So please have mercy. No, it's very difficult and it's not logical, Jashandeep, because July-Septembe r quarter will be weak, so costs can go up. January-March will show extraordinarily high delivery. So, it is best to see the results on an annual basis. Now to give you directions on how things are moving, and we had given our program with item details and with the targets. I recall we had mentioned with the base of 400 kilometers of lead, a 25-kilometer lead reduction, which would have taken us to 375 kilometers. We have already reached 363 kilometers. So, it's not only the lead distance, which helps, there is a lot of other initiatives which the team is taking, which helps to take efficiency improvement. Similarly, we have taken a target of clinker conversion factor of 1.54. We are moving on that direction. In 1.54, we have reached INR1.49. So, you can do your own math, but it will be best that we do this math at the end of the year. All I can say is we are moving and in line with the target set. Last year, full

year,
on those quantified measurable targets, we have delivered INR86 per ton. My guess is we should be crossing INR100 mark on those efficiency improvement programs in this financial year.
Jhanwar-ji, you want to add.
K.C. Jhanwar: Yes, I think Atul has already explained because it's not item-wise see, we have moved from clinker conversion from 1.45 to 1.49, and we are still away from our target actually. And if you talk about the renewal energy, our renewal energy has gone to almost 41% kind of thing, and it is further likely to go to 60% going forward actually.
So, I can say that fundamentally, we are by and large, on track because quarter-to-quarter, we have seen in 1 quarter because of the cyclical nature of the industry, we may be up and down. But year as a whole, I think we are very much on the right track.
Atul Daga: Thanks, Jhanwar-ji.
Jashandeep Chadha: Just one last, if I can squeeze in. Any impact of increasing input costs you are seeing in fourth quarter?
Atul Daga: You tell me where the dollar will be in fourth quar ter. So it's very difficult, but I think we are managing our middle line very well. You would have seen our fuel costs have remained at INR1.8 per kcal in this quarter. I don't expect the cost to go up. Raw material costs are already matured. These are the 2 big cost items, mainte nance costs, which spikes typically in July, September will be normal maintenance costs in January-March quarter.
Jashandeep Chadha: Understood, sir. I'll join back the queue.

Atul Daga: Thank you.
Moderator: We have the next question from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: Again, sorry to echo again, a very good set of numbers. You talked about cost inflation and improved demand will support cement prices from here on. Now it looks like the infra demand is coming back, which should drive low pricing non-trade segment higher. Does that mean that even if cement prices move up, realization may remain under pressure over the next year or so? Any color on this will be very helpful.
Atul Daga: So firstly, Rahul, I like the echo that you talked about. Always good to hear good performance from as many people. Coming to your first question, even if infra demand is going, non-trade prices will also harden. So, I don't see any reason why there should be any problem. In fact, if you go back 2 or 3 quarters, the gap between non-trade and trade prices had narrowed dramatically. Rahul, are you there? Hello?
Rahul Gupta: Yes, yes. No, this is very helpful. I don't have any other questions.
Atul Daga: Thank you.
Moderator: We have the next question from the line of Pinakin Parekh from HSBC.
Pinakin Parekh: Sir, again, many congratulations, very good number. We understand that demand and pricing both have improved in January. But to go back to what happened in the December quarter. Now we understand that in the last 2 years, there have been multiple acquisitions done in Southern India, you and other industry players, expectations of Southern India pricing seeing more stability with upward bias, but somehow that has not taking place. What in your view needs to change in industry dynamics in South for pricing to be more stable with upward bias?

Atul Daga: More demand. I think demand is opening up, and I stand by my statement South will be new
north. That doesn't mean North is going away anywhere. North is stronger and stronger. South is witnessing large institutional demand, the Am ravati City project, which is going at its
breakneck pace, the IT complexes. Complexes which are coming up, data centers which are
coming up, which are so cementitious in nature, highways, et cetera, that we have talked about. And the young population in these IT hubs will demand more housing and more social
infrastructure. So, I'm not talking about 1 quarte r, Pinakin, but as we as strategic players are
looking at a long-term s

tability and reliability of the sector.
Pinakin Parekh: Got it, sir. Sir, just to follow up in your view and given what the position UltraTech is at, if
finally, the institutional demand, as you highlighted, starts coming up in a big way in Southern India, can 2026 see a break in terms of South India's historically volatile cement pricing? Or do
you see this as something evolving more over the next 2, 3 years?
Atul Daga: I think '26 will be a fabulous year.
Moderator: We have the next question from the line of Ritesh Shah from Investec.

Ritesh Shah: Good numbers, congratulations. Sir, 3 questions. One is, would you be able to spell out industry
demand growth for Q3 and 9 months?
Atul Daga: Don't hold me to it, but we would expect anywhere between 9% to 10% all-India demand.
Ritesh Shah: Sir, would you speak for Q3?
Atul Daga: I was talking about Q3 literally.
Ritesh Shah: Yes, yes. And sir, for 9 months?
K.C. Jhanwar: For the year as a whole must be about 7.5% kind of thing.
Atul Daga: 6.5 % to 7%, 9 months.
Ritesh Shah: Sure. Sir, my second question is, basically, if you could provide some detail around sourcing of
fly ash and slag. What is the sort of nature of contracts that we have on tenure and how is the
pricing that's trending?
Atul Daga: So, one is there's enough new supply coming up. Power plant capacities are going up, steel plants
are coming up. And we have a mix of long-ter m, short-term domestic and import sourcing, fully
secured.
Ritesh Shah: Sir, so putting this demand aside, if we had to improve a clinker factor, is there any limiting
factor?
Atul Daga: No. No, none whatsoever.
Ritesh Shah: Okay. And sir, when you say imports, it means imports for both fly ash as well as slag?
Atul Daga: No, slag.
Ritesh Shah: Only slag, okay. That's helpful. Sir, third question on India Cements. Anything on non-core asset
sale? And any thoughts on merger, basically simplifying the structure? Any time lines around
that?
Atul Daga: Noncore there are land parcels essentially. We just sold off the coal mining company in
Indonesia. The monies have been realized, and that's how you see the debt remaining under
control. There are a couple of big land parcels, which we are discussing with potential buyers. I
would expect further generation of up to INR500 crores minimum, which we should be able to get. We are now getting into, exploring the legal options in terms of there's an ED case, which
is attached to the company, the assets of the company are also attached. There's a property in
Hyderabad and some financial securities, which are attached. We are seeking legal opinion what
will be the implications of that case, and then only we'll take a decision further.
Ritesh Shah: Sir, just a follow-up over here. I think just corre ct me if I'm wrong, for India Cements, you had
indicated INR144 crores spend out of INR601 crores, are those numbers right?

Atul Daga: Correct.
Ritesh Shah: Okay. And sir, when we say non-core asset sa les, incrementally, it's INR500 crores. And what
has been realized so far?
Atul Daga: Close to INR200 crores or INR250 crores. I'll give you exact number. Th at's a very easy number.
If I can't give it on the call, you can reach out to, Ankit, later.
Moderator: We have the next question from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: Just one clarification question on the capex. Mr. Daga, you mentioned having 12 million ton
next year and balance in '28. Just wanted to clarify the phased 22 million tons that you've
announced, all of that is likely to get commissioned in FY '28 given you've already placed

orders?
Atul Daga: Yes, please.
Satyadeep Jain: Okay. Nothing still. As of now, you're not expecting anything to spill over into FY '29?
Atul Daga: No, '29 is too far.
Satyadeep Jain: Okay.
Atul Daga: At best

a delay by a quarter. Some project will get preponed and some project could push over
to the next quarter at best.
Satyadeep Jain: Okay. Maybe in the next one, is it possible like historically, you used to have this quarterly projection for when you expect capacities to commission for the next one that you have since
you already have what...
Atul Daga: Sure. We'll send it.
Satyadeep Jain: And on the power cost, I see your captive power cost has been declining each quarter. Just what is driving that?
Atul Daga: No, that is the average cost of power. So, capex on the power, which has gone from INR7.1 crores to INR6.5 crores. Look, fuel efficiency is the only reason which I could think of, nothing more.
Moderator: We have the next question from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, my first question is like all the demand...
Atul Daga: My first question to you, Ashish, how are my numbers?
Ashish Jain: Numbers are fantastic, sir, a lot of pe ople have spoken about this, sir.
Atul Daga: Okay.

Ashish Jain: No, no, numbers are fantastic without doubt it. So, sir, like given most of the drivers you spoke about, are all infra-led demand, right? And so, can we see a change in mix moving from PPC to OPC, you think that will happen in the next 3, 4 years in the industry?
Atul Daga: In fact, what we could see is intra demand conv erting to non-OPC also. There's a lot of strong advocacy happening, and there is a gradual conversion. You will know that most of the institutional players do the conversion or mixing at the project site. So instead of we doing it, some of them have started adopting and accepti ng the product from the cement manufacturer. RMC, it's about 3% of our total volumes of cement and growing rapidly, where it is getting consumed, large portion goes to institutional markets. Bulk cement is going up significantly, which will help the institutional market, gives us better margins, price remaining the same margins improve. So that's very important.
Ashish Jain: Sir, sorry. But in fact, that was the context of my question that if on-site blending is going up, can it mean that...
Atul Daga: No, it's going down.
Ashish Jain: Okay. Okay. Because of RMC I think but...
Atul Daga: That is what I talked about advocacy and there is a conversion happening, slowly it's happening.
Ashish Jain: Right. Yes
Atul Daga: Okay. Hello? Are you there? I think he lost the connection, take the next person, please.
Moderator: Yes. We have the next question from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: I have 2 questions, sir. Sir, first, can you highlight what is the spot pet coke price versus the booking levels in 3Q?
Atul Daga: Around 118, 117.
K.C. Jhanwar: 118, 119, ranging in the trend.
Indrajit Agarwal: Sure. This is helpful. And second, in 3Q versus, let's say, a 3% kind of price decline sequentially, how would you split it between trade and nontrade? Was non-trade drop much sharper?
Atul Daga: N on-trade was sharper.
Moderator: We have the next question from the line of Raashi from Citigroup.
Raashi: Sir, just continuing on the pricing question, where are we on pricing versus 3Q at the moment?
Atul Daga: I think we are roughly INR3 to INR4 on a naked cement realization basis up. If naked cement realization is up INR3 to INR4, prices are up , it's somewhere around INR6 to INR8. Are you there?

Raashi: Yes, what I'm trying to get to is that you also made a comment, of course, on demand, but on that you will be able to pass on the higher cost impact in the form of better pricing.
Atul Daga: I think what is happening is, I'm sold out. What do I do? So obviously, if I'm in a sold-out

position, I have to service my highest paying customer.
Raashi: Understood. Fair enough. Okay. Got that. Again, on the capacity, is it p

ossible to just for India
Cements capacity, what would be the number by the end of '26, '27 and '28 in the asking. Sorry,
I didn't mean India Cements, I meant your Indian capacity not of India Cements.
Atul Daga: 235 by FY fiscal ' 28.
Raashi: Fiscal '26 and '27, if you have the number?
Atul Daga: '26 should be 198, 199 and then 12 more million tons in towards '27, yes. We missed that chart,
we'll circulate that chart separately.
Raashi: Got it. And just on Kesoram in the second quarter, you had indicated the EBITDA per ton was
INR755, what is that number in this quarter?
Atul Daga: Would be around INR600 this quarter.
Raashi: And the full rebranding is still maintaining June '26, okay for now?
Atul Daga: We should be doing it in time. Because we have already crossed the 70% mark for Kesoram as
we speak. And India Cements also, we have crossed around 55%. I don't remember the exact
number, but every day is a new high.
Moderator: We have the next question from the line of Siddharth Mehrotra from Kotak Securities.
Siddharth Mehrotra: Congratulations for a great set of numbers. Sir, just wanted to understand, given the strong
volume growth we've witnessed this quarter, what is your approximation of UltraTech's market
share going for this quarter? And sort of where do you sort of aspire to be, say, 2 to 3 years down
the line?
Atul Daga: I wouldn't know a number on market share, but if you see that we have been growing or our
capacity utilization has been higher than the industr y, then obviously, there is a gain in market
share also. There's no published data available to capture that number realistically. And going
forward, I expect to see the same trend. As for aspiration, there's no aspiration. I think we are
looking at how India is growing, where the growth opportunity is, and we will keep growing
with India's growth story.
Siddharth Mehrotra: Got it, sir. And just coming back to consolidation, do you think there are additional targets which
you would want to sort of look at just from a consolidating point of view so that you have better
control on perhaps the industry dynamics as well? Are there any potential opportunities still
under consideration, so over the next 1 or 18 months?
Atul Daga: It's highly opportunistic. We would love to examine opportunities if they come to the table.

Siddharth Mehrotra: Okay. But nothing is in progress as we speak? Okay, sir, then that's it.
Atul Daga: Thank you.
Moderator: We have the next question from the line of Harsh Mittal from Emkay Global Financial Services.
Harsh Mittal: So, my first question is that what has been the cl inker capacity additions till date in FY '26? And
what will be the addition in quarter 4, this ongoing quarter?
K.C. Jhanwar: Yes, we have added 2 lines actually one is almost 10,000 TPD, yes, and translate into almost 3.5
million tons per year. And another one more line of 3.5 million ton in Rajasthan.
Atul Daga: That's 7 million tons of capacity. One in Nathdwara and one in Maihar.
Harsh Mittal: Sure. Sir, second question is what is the premium share this quarter? It's not been there in the
PPT?
Atul Daga: We missed that. Premium share is 36%.
Harsh Mittal: Okay.
Moderator: We have the next question from the line of Andrey Purushottam from Cogito Advisors.
Andrey Purushottam: Congratulations on great set of numbers. And I wanted to ask, when I was going through the
presentation, I found that your EBITDA is up considerably. But your costs, some have gone up, some have gone down, right?
Your raw material costs have gone up and your fuel and logistics
costs have gone down. Now given that your net realizations are also slightly lower, can one
assume that the increase in EBITDA is almost entirely out of operating leverage? And if that is
the case, if you're adding 8 million and 12 million tons capacity in the next quarter/next year,
respectively, wh

at can we see as the trajector y and the effect of operating leverage going
forward? Could you just lend some color on that?
Atul Daga: So operating leverage, obviously, will keep on playing a positive impact on efficiency
improvement. Prices were a dampener on the profitability, but volumes, which gave me
operating leverage and cost management, very e fficient and tight cost management. Of course,
you cannot manage all the line items of cost, but the management team's focus always remains
on running a very tight P&L. So that's what is reflected in the performance in the quarter.
K.C. Jhanwar: And the third one you asked about the raw material pricing. It's obviously, the clinker conversion

ratio has improved. So, the raw material price will definitely increase, but the benefit we will
get partially in the power and fuel side.
Andrey Purushottam: Okay. So, we basically should see an increase in EBITDA per ton over the next 15 months?
K.C. Jhanwar: Definitely, without a doubt.
Andrey Purushottam: And would there be a numerical guidance that you would be able to provide in the range.

K.C. Jhanwar: No, we don't give guidance.
Andrey Purushottam: Okay.
Moderator: We have the next question from the line of Girija Ray from YES Securities.
Girija Ray: Congratulations. This is a superb number I can say, which is beyond market expectation. So, sir, my question is related to employee cost. Is this a one-off for this quarter? And second question, can I expect INR1,100 to INR1,200 kind of EBITDA per ton for fourth quarter?
Atul Daga: To your second question, we will do much better than what we did this quarter. I don't want to get into any specific number. And 916 employee co st going up Y-o- Y because what happens is our annual compensation increases that take place and new plants, of course, new capacity getting added. That is what will reflect in this cost. What you ideally should compare, if you look at Q2, you will not see dramatic movement.
Girija Ray: Okay. And thanks for saying that fourth quarter, we'll be doing a very good EBITDA per ton. That's all from my side, sir.
Atul Daga: Thank you.
Moderator: We have the next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Of course, congratulations on the robust volume growth that you have demonstrated. Two questions. One is your other operating income, just the difference between the net revenues and net sales that you report. Sequentially, it ha s got increased by almost about INR88 crores. And this was also the first wherein quarter in the incentives would have likely dropped on a pro rata basis in the sense, if earlier we got incentives at 28%, now we get at more like 18% on a base. I'm just comparing. So, is there anything one-off that we got in this particular revenue item?
Atul Daga: So, Navin, what happens is that new incentives kick in, sometimes old incentives get exhausted. Case in point, our Dhar line 1 got exhausted, whatever was the balancing quantum of money left and Dhar 2 kicked in. Then also a bigger thing and very difficult to show a trend line is volumes moving from the plant to which market. Depending upon the concentration of demand in the local market, the incentives will go up or down.
Navin Sahadeo: Helpful. My second question was on India Cements. And of course, the company has done a remarkable performance there on the cost front. This quarter, in particular, the freight cost flipped, I would rather say, plunged significantly, almost 27% plus quarter-on-quarter on a per ton basis. So, wanted to understa nd, is this the new normal because a higher brand transition has happened, so you can sell in a lower lead catchment area? Or this is anything one-off? That's my question.
Atul Daga: Yes. So, it's a combination. And obviously, when brand transition gets completed fully, you will see the real benefit. New foot

print will also get captured. So, this is not a one-off. We're ready to go down further. Difficult for me to say at this juncture. Perhaps we will talk about it in April-June quarter.

Moderator: We have the next question from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Congratulation on strong volume growth. Most of the questions answered, a couple of clarifications and questions. So first, 9-month capex, what was the number? And for full year FY '26, '27, '28 previously, we said INR10,000-odd crores. So that guidance remains intact?
Atul Daga: INR7,000 crores to INR7,200 crores is 9 months and yes INR2,000 crores to INR2,500 crores will get spent in this quarter. So anywhere around INR9,500 crores, INR10,000 crores.
Shravan Shah: Got it. And sir, in the next year, FY '27, when we say 12 million tons we want to add, any ballpark idea in terms of 1H FY '27, will it be a 5 million, 6 million tons that we will be adding?
Atul Daga: You want me to tell you what date will we be co mmissioning and at what hour we will start the shipment, give us that flexibility to commission as fast as possible, Shravan, don't hang me for exact number or exact period.
Shravan Shah: No, no, I'm saying. 1H FY '27, in this -- so in the first 6 months of FY '27, will it fair to assume 5 million, 6 million tons we will be adding?
K.C. Jhanwar: 4 million to 5 million tons, but it all depends, as you know, Shravan, because there are multiple

moving parts. So sometimes things get delayed and kind of thing. But yes, I can guess maybe 4 to 5 million tons.
Shravan Shah: Okay. And in terms of the demand for fourth quarter of this quarter, FY '26, will it 7% to 9% that we are expecting? And for next 4, 5 years, normally what we guided in corporate 7% to 8%. So that number remains intact.
Atul Daga: That remains. That remains, Shravan.
Shravan Shah: And then for this quarter, fourth quarter, would it be a 9%, 10% or 7%, 8%.
K.C. Jhanwar: No, I don't think. 9%, 10% may be a little optimi stic, but difficult to say because the last year base itself was, all we know is the good base. But yes, all I think it is going to be the robust demand actually.
Shravan Shah: Okay. Got it. And this 1.54 CC ratio target, that is by FY '27, we are looking at?
Atul Daga: In the middle of FY ’27 and FY ’28, when we complete the previous phase of expansion between FY '27, FY '28.
Shravan Shah: And the green share from currently 42% to 60% by FY '27, we will be reaching?
Atul Daga: Yes. So '27 or first half of '28, so just giving us a flexibility of some delays.
Shravan Shah: Okay. And last a clarification, in terms of price, when we said INR3 crores, INR4, price hike would have already happened versus third quarter of average, though this is including trade non-trade put together?

Atul Daga: Average, yes.
Shravan Shah: Okay. All the best.
Atul Daga: Thank you.
Moderator: Thank you very much. Ladies and gentlemen, as there are no further questions from the participants. That concludes the question-and answer session. On behalf of UltraTech Cement Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: May 2026

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(A subsidiary of UltraTech Cement Limited)
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SH/ 02.05 .2026

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First Floor , New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
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MUMBAI 400 001. National Stock Exchange of India Limited
Exchange Plaza , 5th Floor,
Plot No.C/1 , G Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI 400 051.

Scrip Code : 530005 Scrip Code : INDIACEM

Dear Sirs,

Sub.: Disclosure under Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call

In continuation to our letter dated 27th April 2026 , please find enclosed the
transcript of the Earnings Call held on 27th April 2026 on the Audited Financial Results
for the quarter and year ended 31st March 2026.

The same is available on the website of the Company i.e.
www.indiacements.co.in.

Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED

CHIEF FINANCIAL OFFICER
Encl.: As above .

UltraTech Cement Limited
Registered Office : Ahura Centre, B – Wing, 2nd Floor, Mahakali Caves Road, Andheri (East), Mumbai 400 093, India
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L26940MH2000PLC128420

1st May, 2026

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q 4 FY26 Earnings Call of UltraTech Cement Limited ("the Company")
Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q4 FY26 Earnings Call conducted after the meeting of the Board of Directors of the Company held on 27th April, 202 6, for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Yours faithfully,
For UltraTech Cement Limited

Dhiraj Kapoor
Company Secretary and Co mpliance Officer

Encl: a/a

Luxembourg Stock Exchange
BP 165 / L – 2011 Luxembourg
Scrip Code:
US90403E1038 and US90403E2028 Singapore Exchange
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ISIN Code:
US90403YAA73 and USY9048BAA18

DHIRAJ
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"Ultra Tech Cement Limited
Q4 FY '2 6 Earnings Conference Call "
April 27, 202 6

MANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only

mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.
I will now hand the conference over to Mr. Atul Daga, Chief Financial Officer, for opening remarks. Thank you, and over to you, sir.
Atul Daga: Thank you. Good evening to everybody. I want to begin not with numbers, but where we stand as a company because fiscal '26, in my view, is a year that will be looked back on as a genuinely significant year in UltraTech 's story. And fiscal '27 started with an achievement of major milestones. UltraTech crossed 200 million tons of cement production capacity in India, a first for any company in a single country outside of China. Let me put this in context. We reached 100 million tons in 2019, added another 50 million tons in 5 years by 2024, and we completed a journey from 150 million to 200 million tons in less than 2 years. This is a feat, even more remarkable since we are a full year ahead of our targets as what we had set for ourselves. Let's be clear on what the number means. It's not simply a headline. It's an expression of our strategy to build scale that compounds in cost efficiency, in market reach, in raw material security and in sustainability. Every ton of capacity we add reinforces every ton that came before it.
Let's look at our position globally. Outside of China, UltraTech is today the largest cement company in the world by sales volume. And we are the only cement company anywhere in the world to have over 100 million tons of production capacity within a single country. We are 200 million tons. These are not rankings we have stumbled into. These are the results of a very deliberate strategy, disciplined organic growth, timely acquisitions , at the right price and a relentless focus on execution. From somewhere around 65 million tons in 2016 to 200 million tons today, we have more than tripled our capacity in a decade. Our next horizon is already set. We have committed to add a further 37 million tons, which will take us over 242.5 million tons in a phased manner by fiscal '28.
Now I want to speak to something that is very much on everybody's mind, the conflict in West Asia and what it means for us. Whilst I have given an indicative chart in our presentation on where the impact of these rising prices could be, let's be straightforward, it's a real headwind on fuel costs, packing bags and freight, on certain import -dependent supply chain s, on near -term sentiment in some demand segments, and the way oil prices are, we could see an increase in domestic prices of petrol and diesel. The government's monthly economic review for March '26 also acknowledged that the outlook has become slightly uncertain. And yet, India's structural growth story is entirely intact, government capex is flowing , infrastructure execution continues , housing demand is robust , IMF has also raised the growth forecast for the country. Just to rattle some numbers out for you, India did approximately 10,660 kilometers of highways in fiscal '25 and has maintained a similar pace in fiscal '26. The PMAY housing program is driving cement consumption at scale. That tells us something important about the underlying demand base. On the construction cost environment, cement prices have been

largely stable in the last financial year with movement of maybe 0% to 5%. Steel prices have seen volatility. West Asia situation is near -term cost moderator

, not a structural demand
reversal. And we believe UltraTech, with our domestic strength, our 1.8 gigawatt green energy platform, our scale -driven cost efficiency is much better positioned to manage through this environment as well.
Fiscal '26 was a year of extraordinary execution. We crossed 200 million tons of capacity . We completed brand migration for both India Cements and Kesoram ahead of schedule. We continued building our green energy capacity, and we delivered volume growth and improved profitability. We said we would do these things, we have done them and we enter fiscal '27 in a stronger strategic position than at any point in our history.
Let me look at the Q4 performance and the full year performance. And we'll also share some insights on the integration stories and our cost efficiency program. Consolidated sales volumes, as you have already seen, has crossed a rocking 44 million tons this quarter. Most important aspect about it is to note that UltraTech as a brand year -on-year has grown 19%. Nobody can take away that thunder from us. Realizations improved during the quarter, gr ey cement pricing strengthened about 2.5% in most geographies, supported by an improving trade mix and premiumization. Our blended cement share , premium portfolio contribution both moved higher, which is a conscious and a deliberate strategy going forward. EBITDA per ton, excluding acquired assets, is at INR1,296 per ton for the quarter. For the context, this metric was INR1,225 in Q4 '25. The trajectory has continued. On an aggregate basis, we have

reported INR1,253 per ton in Q4 '26. If I were to split between India and overseas, thanks to our UAE operations doing very well, they have contributed substantially. But India has been no less. Remember, the India capacity is almost 196 million tons during this year. If I were to remove the aberrations of West Asia crisis, we have achieved EBITDA per ton of very close to INR1,240 per ton. What am I knocking out from here? The last month increase in the cost of bags and impact of exchange loss, the highly volatile and the frantic devaluation of rupee that happened in the last month. So, I believe we have done very well on EBITDA per ton as well.
Our renewable energy platform has been growing from strength to strength. Today, almost 43% of our power needs are being met from green sources. We have committed to reach about 85% of our power requirements from green energy by the end of fiscal 2030, and we are very confident of reaching that position. On the fuel side, we are actively managing our mix, optimizing between petcoke coal, alternative fuels and increasing the share of domestic coal wherever required and wherever possible. On the logistics front, our lead distance has reduced to 367 kilometers, our ever -expanding bulk terminal network, including the new Lucknow facility and other facilities are helping us reach the customer faster, thus helping us reduce our lead distance and our overall costs.
Let me spend a few minutes on the two acquired businesses, where the progress is, I believe, fantastic. Brand migration - 100% brand migration has been completed at the end of March '26. In second quarter fiscal '26, 31% of ICL volumes and 55% of Kesoram volumes were carrying UltraTech brand. December '25, they had moved to 58% and 69%. We have completed at the exit of March '26, 100% brand conversion. The EBITDA trajectory - India Cements EBITDA of INR497 per ton in Q4 '26 up from INR333 in Q2 and INR305 in Q3.

Sequential improvement every quarter since acquisition. This quarter, the company declared a PAT of INR60 crores for the quarter, which has been after a very long time. And this INR497 EBITDA per ton, please understand how we read it. As you know, under the related party transactions, we had put in place a tolling arrangement. India Cements manufactures a

nd sells
the UltraTech brand, but does not carry any direct marketing and distribution costs. Those sit with us at the consolidated level. At UltraTech, we charge a markup per bag on ICL volumes, which offset that element on a net basis. So India Cements' underlying operational progress towards UltraTech system is much higher than INR497 per ton. And the selling price improvements that happened in the southern markets will give it a further boost.
The investment phase is now underway. We had committed INR1,592 crores for India Cements for efficiency improvement, plus another INR400 crores for capex on capacity expansion, this definitely is going to take us over INR1,000 per ton, as committed by the end of fiscal '28. We are spending INR400 crores to INR500 crores for Kesoram cement assets. They are already operating at INR1,000 EBITDA per ton more or less in line with the other cement operations in South. These two assets today represent about 13% of our consolidated capacity. They are moving from integration drag to earnings contributor. As their cost improvement capex matures, they will be a meaningful and growing source of group -level EBITDA accretion.
Let me now look at how we see fiscal '27 and beyond. We expect a sustainable volume growth of 7% to 8% per annum. The structural drivers are firmly in place, India's urbanization story, the government's infrastructure commitment , you would have read about Mumbai City itself spending about $60 billion in improvement of infrastructure , the PMA Y housing targets, rising rural demand, none of these have been diluted by the West Asia crisis. These are very strong structural forces and UltraTech is better positioned than anybody else to capture that demand in the long-term. The near -term environment has its complexities, nobody knows what will happen tomorrow. What will be the new comment that gets made, which could move the market. We will wait and watch.
On the integration side, we are through the hard work, both India Cements and Kesoram are fully migrated to the UltraTech brand. Cost improvements are underway, and fiscal '27 P&L will start reflecting the benefits of this investment.
I should definitely mention about the dividend the Board has discussed, debated and proposed. Our balance sheet remains robust with a net debt -EBITDA of 0.94x at a consolidated level and 0.92x at UltraTech India level. This gives us financial flexibility to continue investing in growth without compromising on returns to shareholders. We have already started charting out our growth story beyond 240 million tons, and we'll come back to you next year. The Board has recommended a dividend of INR240 a share for fiscal '26. This dividend has been stress tested against retained earnings remaining adequate for all planned investments and commitments. Credit metrics and debt covenants are unaffected by the proposed distribution.

We'll maintain our leverage below 1x year after year after meeting our growth capex. And our growth capex requirement is not shrinking. We see a plan of investing around INR8,000 crores to INR10,000 crores every year for the foreseeable future. Future capex pipeline remains fully funded and th e growth story is intact. It's a cumulative outcome of disciplined capital

allocation, operational excellence and consistent strategic execution over many years. We know it. You know it. Our operating cash flows are growing, and our Board has already taken a stance of improving the returns to shareholders. You would have seen our dividends grow from 10% of profits in 2020 to 37% of profits last year. And today, we are where we are. Dividend is not simply a financial transaction. It is a communication of our confidence and commitment to our shareholders and investors. It says we are confident in our earnings quality, in our forward outlook and in ou

r ability to generate and sustain value. We are not keeping cash on balance sheet out of uncertainty. We are sharing it because we can and because we have planned carefully enough to do so without any constraint. I want to close with something very simple. UltraTech has made commitments to investors on capacity, on integration, on brand transition, on cost efficiency, on sustainability and on returns to shareholders. Year after year, we have delivered on these commitments, FY26 being the top -notch performer.
We said we would reach 200 million tons ahead of schedule, we did. We said we would complete brand transition for ICL and Kesoram, we did and a quarter early. That consistency of delivery, ladies and gentlemen, is what defines UltraTech. And it is what will continue to define us in the decade ahead.
Thank you, and we are now ready for your questions.
Moderator: Thank you. We take the first question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Hi. Thank you for taking my questions. First of all, congratulations on hitting 200 million ton domestic capacity and a very good set of numbers. So I have three questions. First, just continuing on the capital allocation point that you made, Atul, sir, thanks for the clarity on that. Just to be clear on this, is it fair to say that given balance sheet strength and you funding your capex through internal accruals, we may see payout ratio staying higher for foreseeable future?
Atul Daga: I think so, but it will depend on the Board and company's performance . If we perform, if the cement markets do well, I think it should be possible.
Rahul Gupta: Got it. That's very helpful. My second question .
Atul Daga: And most important , Rahul, I would want to make is and I think I already said it, but I want to repeat, next few years, we are '26 till 2030, '31, I will see INR8,000 crores, INR10,000 crores of capex happening fr om our balance sheet every year. And as the operating cash flows grow because of our existing size, existing capacities, delivering more and more. The size of operating cash flow keeps increasing, making it very easy for the company to reward its shareholders.
Rahul Gupta: That's exactly the point. Yes. Very, very helpful. My second question is on realization. You, to some extent, have clarified how realizations have been better this quarter, your share of trade has improved, direct sales have improved and a brand transition of acquired assets have also ramped up fully during the quarter. So am I missing something over here o r is that the brand

transition completion has helped in giving you the edge in terms of realization during the quarter?
Atul Daga: Significantly because if I were to look at, let's say, India Cements volumes for the quarter of 3.12 million tons, non -UltraT ech volume was 0.39 million ton s only. And everybody knows that UltraTec h enjoys a premium positioning with brand transition tha t has definitely helped.
Jhanwar -ji, do you want to add?
K. C. Jhanwar : Yes. Very good afternoon a nd I would add further what Atul said, actually fundamentally I think it is working on all engines. Actually t here are a number of moving parts in the cement actually. S o one, yes, of course, the brand transition Atul has clarified, which is rightly so. But there are at least four , five, six critical moving parts, actua lly, which also helps to improve the efficiency and at the end of the day, resulted into improved cost structure o ver the higher profitability.
Rahul Gupta: Got it. And my final question is, first of all, thank you so much for sharing data on Slide 6.

Now my question is that in one of the slides you have mentioned that other opex got some impact of the West Asia crisis. Can you help us quantify what that would be a nd how should we see June quarter, assuming this current si

tuation continues?
Atul Daga: So firstly, on Slide 6, I've just given an indication with what could be a potential impact and this cannot be annualized for the quarter. So please don't panic too much. And yes, in the last quarter, the immediate impact was because everybody has inventories of fuel, so nobody would have really felt the heat of rising prices of fuel. But bags became a crisis in the month of March and everybody got impacted, the costs went through the roof and our incremental cos t on bags was approximately INR 90 crores, which is reflected in other costs for the quarter on account of bag costs going up.
Rahul Gupta: Thank you. A nd any color on how should we look at the power and fuel cost for the June quarter?
Atul Daga: I don't think there will be too much of an issue in the June quarter and I will urge you, Rahul, to fly down to the White House an d do something about it.
Rahul Gupta: Well noted, sir. Thanks.
Atul Daga: Well, I don't think so it will be too much of a pain. Prices are going up, which is a reality. Selling prices have also been increased to cushion the impact of rising input costs. Another important one -off, which we are not even talking about, but the fact is the way rupee devaluated, I have $950 million of foreign currency borrowings fully hedged. But when you have to do a mark -to-market, you have to take the impact of that currency into acc ount. It hits your EBITDA. INR 94.85 was the rupee to dollar 31st March. It strengthened by almost INR1.8 sort of on the 2nd of April, but we have to account f or the dollar borrowings at INR94.85. So still it's noncash debit to the P&L but so be it.
Rahul Gupta: Got it. Well understood. Thank you so much and wish you all the best, sir.

Atul Daga: Thanks, Rahul.
Moderator: Thank you. Ladies and gentlemen, in the interest of time an d fairness to others we request you to restrict to two questions per participant and re -join the question queue. W e take the next question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir thank you for taking my questions and c ommendable results, very good quarter. So my first question is, you spoke about brand conversion having completed it in March. Could you highlight between March end and now how much has been the impact of this on India Cements and Kesoram?
Atul Daga: So Kesoram, if I look at January, March quarter, it was already operating at INR 1,000 -plus EBITDA per ton. And everything else remaining the same, India Cements will improve further because again, I called out of 3.12 million tons, only 0.39 million tons was non -UltraTech brand, 2.73 million tons already rebranded. So everything else remaining the same, the impact will be felt on this less than 0.5 million tons of volume in Q4.
Having said that, price improvements and the real efficiency and integration benefits will start flowing now. To better explain, Pulkit, now it will be one product, which is leaving from all the 9 factories of India Cements as compared to earlier days, there were multiple brands going out, not just two, but there were more than two brands going out. So the real efficiency, which will be visible in logistics now seamless operation will be visible now. My performance will go up further in terms of earnings potentials from India Cements.
Pulkit Patni: This is very clear. Sir, secondly, I'm just following up on the question from the previous participant on the Slide 6 where you speak about the impact of West Asia conflict. And while clearly, longer term you've been able to manage costs really well, et cetera. I'm just wanting to understand these costs are quite meaningful because you mentioned in one of your remarks saying that these are manageable. I just want to understand like based on just rough math, this looks to be fairly high in terms of it

s impact. So any mitigating measures that you can highlight, which gives you confidence that you'll be able to manage through this?
Atul Daga: Yes, there are several measures and for the sake of confidentiality, I might not be able to reveal trade secrets. But diversifying my sources of procurement, identifying newer opportunities to deal with the situation, doing long -term contracts for fuel, which are going to be beneficial to us now. Last 2 years, our long -term contracts were unfavorable , these will become favorable for us and nobody has them. So UltraTech will be one step ahead. Again, for bags, we have nearly 150 -odd suppliers across the country. And when there is a volume advantage for a supplier, obviously, their inclination to service a high -volume customer is much higher. Diesel impact, nobody knows. We are waiting , it might surface its horns next month. We'll have to

wait and watch.
Pulkit Patni: Fair point, sir. Maybe can I slip in one more que stion if you allow?
Atul Daga: Yes, go ahead.

Pulkit Patni: Okay. Sir, you've mentioned the capex you've incurred on your cable and wire business and I know the numbers are small, but just to get an understanding, INR 800 crores out of INR 1,800 crores has been spent. Does it mean we are on track for an end of th e year launch or it could get split?
Atul Daga: Yes, Pulkit. And since you cover this sector in so much detail you know what the implication is. I don't have to spend so much money.
Pulkit Patni: Yes. Sure. So we are on jump track?
Atul Daga: It speaks for itself. And my guess is we should be on track, on time. We had committed Q3, in the first month of Q3, we might launch instead of waiting for December.
Pulkit Patni: Superb. Thank you and great results as always. Thank you.
Moderator: Thank you. W e take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Yes, good evening sir and c ongrats for the great results. My first question is, can you discuss sequential improvement in your performance stripping out international operations, which was also done very well during the quarter?
Atul Daga: Sequential as in quarter -to-quarter, what do you mean?
Prateek Kumar: Yes. Quarter -to-quarter, I mean, it seems like international operations have also contributed to sequential improvement of overall business .
Atul Daga: Yes. But they are only 5 million ton s of capacity. One thing is that before the war broke out, they were operating at 100% capacity utilization. There was a drop in capacity utilization, which went down to about 80%. Now with the permanent peace program being there, capacity utilizations have started going up. Prices have started going up. So, they are doing well for themselves, but the bigger thing, Prateek, is that is only 5 million tons, I have had INR1,250 of EBITDA per ton in India on a much higher volume. Of course, I'm knocking off the impact of exchange rate and cost of bags, which we had to face. UAE operations are all bulk volume, so there's no bag cost over there.
Accounting for all the expenses in India, we are still at INR1,200 per ton out of the INR1,253 average per ton. UAE, I believe they are doing well now. Volumes are picking up. Prices have not fallen. And knowing the UAE econom y, I think they will be the first one to turn the leaf, come up with some new programs for reviving the economy.
Prateek Kumar: And obviously, the UAE operations benefit from the construction demand wherever it is required ?
Atul Daga: Yes. And sequentially, UAE had EBITDA of INR267 crores in Q3 and INR278 crores in Q4. So it's a stable journey.
Prateek Kumar: So it's stable Q -on-Q EBITDA of UAE operation?

Atul Daga: Yes.
Prateek Kumar: Okay. Other question is, can you split your pendi

ng efficiency improvement program, wh ich you have given the INR185?
Atul Daga: Actually, I forgot to talk about it. I should have thumped my hand on the table and told you. As promised and we have delivered it. So we are at almost INR185 per ton on nominal basis , we have completed. And all these programs which are there, which will take us beyond INR300, whilst we had committed INR300, because I'm keeping, let's say, an emergency or a buffer in my pocket, but I think we will deliver higher than INR300 is what we're looking at. So yes, we are looking at a number higher than INR300 per ton. Fiscal '27 also, we should cross significantly higher, without giving a number upfront, I have a paper in front of me. But yes, we will deliver higher than INR300 by fiscal '28. I've highlighted all the parameters and how they are getting quantified and measured. I don't know what else to add further.
Prateek Kumar: Sure. Thank you. These are my questions.
Atul Daga: All right. Thanks, Prateek.
Moderator: Thank you. We take the next question from the line of Amit Kumar Murarka from Axis Capital. Please go ahead.
Amit Kumar Murarka: Thanks for the opportunity and congratulations on a great result. Just on the couple of data

points, we just wanted to understand better. So , in the presentation, you mentioned that your other brand sales volume was 7.4 odd million tons, I think, in FY26. So is it fair to assume this number will be close to 0 in '28 given that total transition has happened now?
Atul Daga: Yes, 7.34 in '26 and 0.52 in Q4. Okay. Out of 0.52, 0.39 was India Cements and balance was Kesoram old brand. So this has all gone up. Next quarter, you won't see it.
K. C. Jhanwar : Yes, almost zero.
Amit Kumar Murarka: Great. And also on the trade, nontrade mix, like seems to be now 65 -35, which is I think a bit higher than 70 -30 earlier. So again, like on this mix, particularly, would it be because in the presentation, I also see that the industrial infrastructure was a bit muted in the quarter, but still this number is a bit elevated. So I wanted to understand like is this goi ng to be now a sustainable mix o r would you like to kind of take higher again?
Atul Daga: I have seen it fluctuating between 65, 67, 68. This has been the narrative or this has been the broad mix. And what you saw in infra, two red marks that we have given is again a temporary. Last quarter because things got over in one, let's say, Gujarat, when the high -speed rail project has passed through it. The work is coming to an end. That's why you saw a red mark there in the slide. But otherwise, I'm sure the government, the way everybody knows that infra is the foundation for growth, it wil l keep on happening. West, I think I'll have to create a darker green color for infrastructure going forward because the way Mumbai, and I'm quoting the newspapers yesterday or day before or 1 -day earlier when the newspapers gave a summary of

how Mumbai is shaping up, 2035 will be totally new phase of Mumbai, $60 billion being spent here. So things are happening in the country.
Amit Kumar Murarka: Understood. Understood. And just one last question, if I may. Also on the clinker conversion ratio, it's now 1.48x how much more can it go to, let's say, in the next 1 to 2 years?
Atul Daga: We have targeted to reach about 1.54x. That road map is already there and let's see how things shape up beyond that.
Amit Kumar Murarka: Got it. Thanks. That's all from me and best of luck.
Atul Daga: Thank you.
Moderator: Thank you. We take the next question from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi, Mr. Daga. Thanks for the opportunity and great set of numbers as always. I have two questions. In the last few weeks of March or early weeks of April, have you seen any concerns on availability because of

the conflict, be it bags or pet coke, where you found it difficult to source even?
Atul Daga: No. no problems. Our dispatches have not suffered at any location in the country, bag availability has not been a crisis. It has become expensive, but it is not a crisis.
Indrajit Agarwal: Sure. Second, barring cement, all other building materials have become a lot more expensive, as you mentioned, steel, if you look at PVC or other commodities as well. Is it causing a demand concern for the overall IHB segment?
Atul Daga: Too early to say that. We have taken price increases for cement in the month of April. And by and large, we don't see a slowdown in demand, people will have an explanation too much of heat because of which there is a slowdown. Bengal and Tamil Nadu elections resulted in a slowdown just before the last 15 days, you see a slowdown. But generally, I think the undercurrent remains strong.
Indrajit Agarwal: Sure. And lastly, if I may, per your best estimate, what would have been the industry growth for March quarter?
Atul Daga: 6% to 7% is what my learne d team over here tells me.
Indrajit Agarwal: Sure. Thank you. That's all from me.
Atul Daga: Thank you.
Moderator: Thank you. We take the next question from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.
Jashandeep Singh Chadha: Hello. Good evening, sir and thank you for the opportunity and congratulations on a very good set of numbers. Sir, my first question is regarding India Cements. As you have highlighted that

100% brand integration is done . And you also highlighted that only a small portion of volumes was under India Cements brand. I just wanted to understand that the delta of incremental EBITDA per ton for reaching INR1,000 per ton, how much of that will come from the cost efficiency measures that you are undertaking and realization improvement? Because I believe most of your India Cements volumes are already selling under UltraTech brand. So how much more potential is the re for realization improvement a nd how much cost efficiency measures will be there? That's my first question?

Atul Daga: So first and foremost cost improvement programs. And again, I'll go back to my earlier quarter commentaries. January -March '28, you will see all the efforts on capex converting into efficiency impro vement. We are still seeing INR 200 per ton of efficiency improvement, which will come into the kitty of India Cements. Second point and I'll come to the one more aspect that you raised. How do we look at the earnings from the volume of India Cements. Mind you, there is INR200 of EBITDA per ton on India Cements volume, which is sitting in UltraTech books. The INR497 for the quarter and during the quarter, gradually the transition was done. So we have reached a number of INR 670 per ton on India Cements. Now if price increases, along with efficiencies, new capacity addition, operating leverage, eve rything will take us beyond INR1,000 mark.

Jashandeep Singh Chadha : Understood, sir. And I'll ask my second question, it's a two-part question. So first is how you are looking at rural demand, how it has been in the March quarter? And in April, also how you're looking at rural demand? And second is, I know, I understand that UltraTech at the scale at which it operates, you will have multiple measures to mitigate this cost increase. But let's say, without those measures, what sort of realization improvement will be required to maintain the marg ins? These are my two questions?

Atul Daga: So you have asked three or four questions and I'll restrict you to two questions. So the last question, I will eliminate it because th at's a very difficult question, d ifficult to quantify. As far as rural demand is concerned, we have operated at 90% capacity utilization across our network. Some plants would have operated at 95% and

100% also a nd average is all across the country, we are operating at more than 80%. If you marry this point to the fact that our trade mix has not diluted. We are 66%, 67%, hovering around those numbers only, which means my rural demand has continued to stay steady. I hope that answers your question. And too early to talk about the important aspect, cash flows in rural markets improve with good crops, which helps the rural demand. And too early to say now for the quarter how things will pan out in the remaining 2 months, we will see.

As for your other point you mentioned , it's a moving target. Costs, let's say, bags from INR9 to INR15 a bag, that's a INR 6 delta, which has already happened. So that much price increase is required. Similarly, fuel is a very difficult one. At least this quarter, I don't expect my fuel cos t to go haywire. We were at INR 1.77 per kcal, max it might go to INR1.8. I'm just throwing this number off the cuff. I don't remember exactly where we will land at. The biggest impact, which was there in our EBITDA pr ofile was exchange. Dollar, INR 94.85 and today, it's INR94.2, it had come to below INR 93 also. The q uarter -end reporting, what is required remains to be seen. So price increases that have already happened, well, in my view, sustain the profitability.

Jashandeep Singh Chadha : Understood, sir. I know you don't like answering price -hike questi ons, so I was trying to hide it, but thank you so much. I will join back the queue.

Atul Daga: Yes. I'm also slightly smart.

Moderator: Thank you. We take the next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. C ongrats for a good set of numbers. I have four questions, if you allow.

Atul Daga: Go ahead, but o nly two.

Ritesh Shah: Okay. Sir, 2A and 2B. One is India Cements, you're doing the right things, when do we see the day when we actually merge it? I understand there are a few legal cases which are there. But any time lines over here. Second, not so related, R CB, it's something which the group has pursued. Any assurance from you that UltraTech's balance sheet won't be touched or it's something which is ring -fenced? I'll just wait over here, if you allow then I' ll go for the other two, sir?

Atul Daga: So, the second question, I think our Chairman himself had said UltraTech's balance sheet is ring-fenced long ago when aspersions were ma de about UltraTech supporting Voda -Idea. I think those were the days, I'm going back. Not a penny has moved from UltraTech balance sheet for any other purposes. So, we remain committed. And again, as I said unless you missed the point, I have INR10,000 crore s of capex happening every year, at least for 4, 5 years going forward, that's about INR50,000 crores of incremental capex, okay. So my operating cash flows is meant for meeting my capex requirements and for my shareholders.

Ritesh Shah: Perfect. Sounds good. Yes sir India Cements?

Atul Daga: There are those complicated legal issues, which we have inherited. As I mentioned, we don't want to take any risks with UltraTech, the main company and our main Board. And we are trying our level best to get those cases closed because they are donkey's years old cases and there's been no movement, nothing. Once we are convinced that there is no risk to us. We could look at the next phase of integration.
Ritesh Shah: Sure. Sir, I'll just try my luck. Sir, third question, RMC, we have done very well. What's the end goal over here? I think the number of plants, revenue growth, revenue growth is more than volume growth. What is correct that we are doing over here and eventually in plants to monetize this particular business? That's on RMC.
Second, sir, ESG, clinker factor, you indicated our target is 1.54x. I just wanted to get a sense by what year is this? And how do you see the ind

ustry's ratio equivalent to 1.54x going forward? I understand we are OPC heavy and we have historically maintained that whatever we do, we will have clinker backing at 70%. Is it something wh ich will change going forward or we continue to be on the same hypothesis?

Atul Daga: We will always be fully clinker backed. Second point, 1.54 x is our target to reach by fiscal '28. I don't want to comment about the industry. But all I can say is UltraTech is a far stronger company in all aspects as compared to rest of the industry. Quarter -on-quarter , I don't have to say enough data, but actual data which is available if you just sum up the performance of cement industry. Rest of industry put together and UltraTech on one side, we have delivered growth higher than the industry, EBITDA per ton higher than the rest of the industry. This doesn't come by magic , all the efforts, whether it is clinker conversions, which means composite cement, which gives me more profitability, RMC or all other aspects of ou r business, which we are doing or which help us to be far ahead. As for RMC, RMC is an integral part of our business. I don't see a need or don't see that thought process as of now to monetize it.
Ritesh Shah: Eventual target ?
Atul Daga: Sorry, what?
Ritesh Shah: Sir, Eventual targets on RMC?
Atul Daga: Target in terms of number of plants?
Ritesh Shah: So we are 3% of the volumes, like is there a target to go to 6% in 3 years, something of that...
Atul Daga: Not really.
K. C. Jhanwar : Not really in terms of percentage. But yes, we will continue to grow because RMC is the future growth engine. Obviously, the more and more urbanization is happening, I think the RMC is going to be.
Atul Daga: I think we are invested for the future, Ritesh, to be honest, to meet the requirements. And if you l ook at our UAE business, it is zero trade sale. It's all sales to RMC people. Or globally, U.S. market or anywhere else, you see they are globally bag cements are in very few places only. So RMC is an integral part of our offering and of our business model.
Ritesh Shah: Sure. Sir, I have one more question probably I will join the queue.
Atul Daga: Ritesh, this is 10A. Okay. Next one, please.
Ritesh Shah: Thank you. Thanks.
Atul Daga: Yes, thanks.
Moderator: Thank you. We take the next question from the line of Pinakin from HSBC. Please go ahead.
Pinakin: Thank you very much, sir. Sir, congratulations on a great number. S ir, one question we keep on getting from investors over the last few months is that the other industries, industries like steel and agri and PVC has taken aggressive price hike in the face of cost pressures.

But the cement industry has struggled to raise prices. Starting in November, the price hikes have been relatively muted, even as demand has been strong. What would you attribute cement's relative underperformance versus other building material industries in terms of taking price hikes?
Atul Daga: Fragmentation of the industry is as sweet and small answer, Pinakin, that I can give you. Yes, I think that would sum up everything.
Pinakin: So sir, just taking that point forward to the second question, assuming sir, that the Middle East conflict stays where it is. We have pet coke at 160, oil at $100 a barrel for the remainder year .
Does this mean that the industry would struggle to pass on fully the cost pressures eventually

this year?
Atul Daga: No. If every industry is passing on the cost, so are we. March, somebody had asked me why prices are not going up in the month of March. March is never a period to increase prices because it's a volume period . Price increases always happen. And every industry has its own fabric and own pattern of behavior. July, September, monsoons impact cement industry

only.
So, price increases generally are seen in the first quarter of the financial year, not in the las t quarter of the financial year And Pinakin, besides, obviously, demand -supply is always there. If demand is robust, prices go up. And you are there, I am also here. On this very day , we'll meet again next quarter. We will talk and we'll demonstrate . I think UltraTech will be steps ahead in terms of performance.
Pinakin: Got it. Thank you very much , sir.
Atul Daga: Thanks, Pinakin.
Moderator: Thank you. We take the next question from the line of Raashi from Citi Group. Please go ahead.
Raas hi: Thank you. So just on your point that the fuel cost will go from 1.77 to 1.8 in the quarter. This is due to your long -term contracts, right?
Atul Daga: Multiple things, long -term contracts, inventory, sourcing, changing the fuel mix, multiple things.
Raashi: How long do your contracts and inventory last? I'm just trying to understand that should the situation persist wherein pet coke prices sustain at like the 160 or 150 plus. When do you start feeling the impact?
Atul Daga: July, September would be some ripples that you will see, again, which we will be able to manage better than the industry because of our supply contracts and domestic sources of coal. Please end the war early, Raashi, why are you wanting it prolonged?
Raashi: No. I'm just trying to gauge that on your supply contracts, like how do these work? Like do you have them going on? I mean, it's a continuous rotation and therefore, this can persist?
Atul Daga: Yes. It will persist.

Raashi : Okay. And on the packaging side, between the fourth quarter to now, what is going to be the delta?
Atul Daga: Fourth quarter to now roughly INR9 a bag.
K. C. Jhanwar : Yes, fourth quarter to now, there was some increase and there was some decrease also. So I would say it should remain in the same range.
Atul Daga: Not INR9, sorry INR6 a bag, sorry. INR9 to INR15, so it's about INR6 a bag.
Raashi Chopra: Essentially, the price hikes that the industry has taken, should be, in your opinion, adequate for you to offset the INR6?
Atul Daga: Yes.
Raashi: Okay. And just on the industry demand, you mentioned that the industry demand likely grow at 6% to 7% in this quarter.
Atul Daga: Yes.
Raashi : Full year number is again similar?
Atul Daga: 6.5% is what my colleagues tell me for the full year.
Raashi: And UltraTech's volume expectations for FY27 like growth wise?
Atul Daga: For '27?
Raashi: For fiscal '27 …
Atul Daga: Next financial year. We would target double -digit growth.
Raashi: Okay. Got it. Okay. Thank you.
Atul Daga: Thanks.
Moderator: Thank you. We take the next question from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hi, sir. Good evening. Sir, my first question is the price hike is sufficient to offset cost. In that you're factoring coal cost also or just packing cost, given coal, you said will not impact in June?
Atul Daga: All. I'm factoring in everything.
Ashish Jain: Okay. Sir, secondly.
Atul Daga: Except for if you take dollar to INR100, that I'm not factoring in, which is a notional deb it to P&L at the end of the quarter.

Ashish Jain: And diesel as well, which we will know when we will know ?
Atul Daga: Yes. That has not been factored in.
Ashish Jain: Yes, correct. S ir, secondly, earlier on the call, I think you said that there is a mark -to-market hit on your for ex loan, can you quantify that a nd is it above EBITDA?
Atul Daga: What do you mean above EBITDA? It's part of my cost, yes, it's within EBITDA. It's not an extraordinary item, not a finance cost . Yes, hit to EBITDA.
Ashish Jain: Can you quantify that?
Atul Daga: INR30 a ton. INR12 0 crores, INR130 crores

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Ashish Jain: Okay . Got it. Sir, secondly, you also said that packing cost impact was felt only in March month . And if I heard you right, you said it is INR90 crores just for the month. Did I hear you right?
Atul Daga: Yes. You did.
Ashish Jain: So shall we assume that that's the run rate which will continue given there's no relief on packing?
Atul Daga: No. Because as Jhanwar -ji also mentioned, prices have stabilized, we have built volumes of our inventories and doing alternate sources. Mind you, nobody, I think, would have as many sources like UltraTech does. We have almost 150 suppliers across the country supporting us with bags. We are doing some other things also to ensure we are able to source bags and maintain costs. So INR90 crores was a hit, the cost of the bag had gone up further also beyond INR15, then it stabilized to INR15 or even today, it would be INR13, INR14. Yes, it's marginally reduced. So not INR90 crores, cannot be annualized. More importantly, Ashish, we have taken care of that with price increases.
Ashish Jain: Right , right, sir. Sir, lastly, just on pricing, if you can, like shall we think that given the kind of cost inflation and all price hike is here to stay? Or you are seeing some pushback in terms of the channel or demand impact? Are you seeing that kind of concerns on...
Atul Daga: I believe it's here to stay. Because this is impacting every cement player in the country in every nook and corner. It's not a one -off. It's not one region. Everybody is getting impacted. So everybody wants to protect their balance sheet and P&L.
Ashish Jain: Right. Sir, my second question is just on India Cements, given some of the EBITDA of India Cements is ge tting booked in UltraTech stand alone, your INR1,000 per ton guidance includes that or that is what India Cements can eventually report you think in s pite of the tolling agreement?
Atul Daga: I'm sorry. I missed your question. What did you say?

Ashish Jain: Given some of the EBITDA per ton of India Cements is ge tting booked in UltraTech stand alone because of the tolling arrangement and the sales being done by UltraTech. The INR1,000 guidance, which you speak for India Cements includes that one which is getting booked in UltraTech or it is pure India Cements EBITDA per ton, which will come purely through cost savings and all?
Atul Daga: Yes. So a ll inclusive. So you will see INR 800 in India Cements books an d INR 200 of that coming in UltraTech books. But again, Ashish, don't get disheartened bec ause when we have committed INR 300 of cost improve ments and already delivered INR1 85, as the size and to the second decimal and I'm also saying that we will do more than INR300. So that gives you some indication of India Cements.
Ashish Jain: Sir, just on the long term, while yo u've kind of clarified that INR10,000 crores will be the capex for UltraTech. The cash generation will be much higher than that in my assumption at least. So how should we think about?
Atul Daga: You just saw what the Board did. I think you were not there on the call when I spoke about dividends.
Ashish Jain: I was.
Atul Daga: It’s a v ery thought -through strategy by the Board, we have presented enough position to the Board before they came to the conclusion that, yes, it's now time to reward the shareholders.
Ashish Jain: Got it, sir. That’s very helpful. Thank you so much. Thanks a ton and best of luck.
Moderator: Thank you. W e take the next question from the l ine of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain : Yes. Thank you. M r. Daga, just a follow -up question on the dividend. Heartening to see that special dividend. You have a lot of confidence in the cash flow that's significantly higher than what the capex you're looking at. So because this is a special dividend, can we expect like

a
target on dividend payout , I missed part of it in the initial, just trying to understand , or maybe increase the dividend rate. And this is also in the context of sometime back when we saw the wire and cable investment, I think you mentioned that any other investment in the building material industry for the next 5 years, UltraTech is not looking at. Just seeking a confirmation that you're looking at INR10,000 crores capex, incremental cash flow will go to as a return of capital to shareholders. Is that understanding correct? And should we not look at higher dividend rate or maybe a target of r eturn on capital?
Atul Daga: So I have my capex plan. And as I also mentioned during our commentary that we are already writing our blueprint beyond 240 million tons, 240 is already stitched. We have close to plus/minus INR15,000 crores to be spent, plus/minus I'm saying, not an exact number to be spent on that. T here will be capex on cement beyond 240 million tons further. And that is what I'm talking about, INR 10,000 crores of capex, which will happen on cement year -on-year. And yet our OCF will be large enough to reward the shareholders.

Satyadeep Jain: That I understood, but this was a special dividend. Just trying to understand, given this capex you're looking and OCF, why not consider a higher dividend rat e or maybe commit to a return?
Atul Daga: This is as high it can get. So I don't know what's your question. So, whether next year also, it will be the similar dividend, I am not the person to call that out. It depends on the OCF for the year. It depends on the Board's decision once they look at the annual performance. My guess is the direction is already visible.
And certainly, again, I also called out 2020, we were at around 10% of profit. In 3 or 4 years, we jumped to 37% of profit and that's a leapfrog jump right now. It's 3x last year's dividend, which is fantabulous. So next year also, it could remain the same. It could go up or it could come down if performance is not good, then it could come down. We will manage our Balance Sheet, we will not over -leverage the balance sheet.
Satyadeep Jain: Okay. That's heartening. Just a clarification on that. So wire and cable was an investment decision. So apart from that, no other adjacencies for next few years, right?
Atul Daga: As of now, I don't have anything.
Satyadeep Jain: Okay. J ust one last question, Mr. Daga. On the new plant that you're setting up, the on -going and the new ones you're looking at, are you adding any thermal plants here bec ause you have ambitious green …
Atul Daga: No, thermal capacity. So we are adding a higher level of WHRS, tying up renewable and several locations, grid is also available now. So we are not adding any thermal capacity.
Satyadeep Jain : Okay. Thank you so much.
Atul Daga: Thank you.
Moderator: Thank you. L adies and gentlemen, we take that as the last question and conclude the question - and-answer session. I now hand the conference over to Mr. Atul Daga for his closing comments.
Atul Daga: Thank you so much, everybody for joining us and patiently listening to us. For us, it has been a very satisfying rewarding and landmark quarte r, landmark here generating INR 3,000 cro res of PAT for the quarter, INR 8,000 crores plus of overall PAT for the year, integration done, volume growth rising and 200 million tons of capacity and a stable and growing cash prof ile that we see for our company. And icing on the cake was music to our ears when the Board considere d this dividend of INR 240 or 2,400%. So I think everything has gone very well for us this year and God willing, we will continue to deliver stellar performance year after year.
Thank you so much.
Moderator: Thank you. On behalf of UltraTech Cement Limited, that concludes this conference call. Thank you for joining us and you may now disc

onnect your lines.
Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of the call.

Call: Jul 2026

E: investor@indiacements.co.in

SH/ 23.07.2026

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Phiroze Jeejeebhoy Towers
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MUMBAI 400 001. National Stock Exchange of India Limited
Exchange Plaza , 5th Floor ,
Plot No.C/1 , G Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI 400 051.

Scrip Code : 530005 Scrip Code : INDIACEM

Dear Sirs,
Sub.: Disclosure under Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call
In continuation to our letter dated 20th July 2026, please find enclosed the
transcript of the Earnings Call held on 20th July 2026 on the unaudited financial results
for the quarter ended 30th June 2026.
The same is available on the website of the Company i.e.
www.indiacements.co.in.
Thanking you,
Yours faithfully,
for THE INDIA CEMENTS LIMITED

CHIEF FINANCIAL OFFICER
Encl.: As above

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23rd July, 2026

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q 1 FY27 Earnings Call of UltraTech Cement Limited (“the Company”)
Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find attached transcript of the
Q1 FY27 Earnings Call conducted after the meeting of the Board of Directors of the Company
held on 2 0th July, 2026 , for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Yours faithfully,

For UltraTech Cement Limited

Dhiraj Kapoor
Company Secretary and Compliance Officer

Encl: a/a

Luxembourg Stock Exchange
BP 165 / L – 2011 Luxembourg
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Date: 2026.07.23 18:14:14 +05'30'

"Ultra Tech Cement Limited
Q1 FY27 Earnings Conference Call "
July 20, 2026

MANAGEMENT : MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during th e call, please signal an operator by pressing star then zero on your touchstone phone.
I now hand the conference over to CFO, Mr. Atul Daga. Thank you, and over to you, sir.
Atul Daga : Good afternoon, ladies and gentlemen, and a very warm welcome to this Earnings Call . The one big theme for us quarter after quarter is demand. If the demand is good, everything falls in line, and I'm delighted to report that the first quarter of fiscal '27 has reaffirmed that conviction emphatically. The quarter began with the shadows of West Asia conflict, ended with a de - escalation and now we know where we are. Situation is still fluid. But with a double -digit volume growth and a demand pipelin e across infrastructure, housing and urban real estate is as rich as it can be.
UltraTech has kicked off fiscal '27 with a very strong capacity base ready to serve the country,

and we intend to grow like a challenger and not an incumbent. India's macroeconomic engines continue to demonstrate remarkable resilience. Even as global energy markets endured one of the most disruptive supply cycles, India's domestic consumption and investment flywheel kept turning. The Indian government is managing and planning its strategies supporting the industry at large in the country. Benchmark lending rates have remained attractive, improving housing affordability and lowering the cost of capital for infrastructure developers like us. There are near-term data points we watch very candidly. Coal sector growth slowing down in the month of May, lower coal and refinery output and aggregate state capex in April, May growing a modest 2% year -on-year. These are, I believe, timing effect and not any change in trends.

To give you a perspective of what is being announced and executed across the country because that is tomorrow's cement demand. First and foremost, if I were to call out , Maharashtra is planning a INR20,000 crore s greenfield shipbuilding cluster anchored around Mazagaon Dock. Odisha has announced a deep seaport at a place called Ganjam , shipbuilding cluster at Paradip with investment of over INR50,000 crores. Tamil Nadu has signed ~INR18,000 crores MoU for data centres and shipbuilding projects. Ports, shipyards, data centres are among the most cement - intensive asset classes in the economy. The Cabinet has approved ~INR20,000 crore s plus Ahmedabad -Dholera semi high -speed rail corridor. Metro programs continue to exp and across Ahmedabad, Bangalore, Mumbai, Pune and Uttar Pradesh. There is additional ~INR30,000 crore s infusion into NIIF with private capital across roads, ports and urban infrastructure. India's capex revival is also being propelled by power and data centres , both concrete hungry sectors. Housing and urban real estate, roughly 55% to 60% of India cement consumption has a very strong start to calendar '26. Mumbai, the heart of construction activity in India, property registrations grew about 6%. Across India's top 8 cities, Q1FY 26 saw a very big growth in the number of units sold as per the data available from registry records. Prices have remained strong for the real estate market, which means it's a structurally mature end user -driven market where

the absorption is keeping pace with supply. Bangalore stood out on the strength of GCC and technology sector employment. Redevelopment space is equally significant for cement industry. Mumbai's Slum Rehabilitation Authority is set to redevelop about 850 acres of land. Developers are

still land banking aggressively. Private sector real estate companies continue to acquire land parcels in various cities across the country. Commercial real estate is not getting left behind. India's grade A office market opened up with a very strong first quarter, I understand. Net-net, premium housing, redevelopment, office towers, hotels, this is urban India building upwards and outwards simultaneously and every square foot of it is built on cement. That gives us the confide nce for cement demand growth.

Let me now turn to our own scorecard. Q1 was the highest ever first quarter performance for UltraTech across volumes, revenues, EBITDA and profit. In volumes, you've seen our presentation, we grew about 13.1% in volume terms for the domestic markets. Capacity utilization was stronger at 81% as compared to 76% , EBITDA of INR5,146 crores and PAT of INR2,604 crores which was up 17.2% over the last year same period. Interestingly, I'm very proud to tell you, we have converted the Kesoram and India Cements brand s to 100% UltraTech. They were operating in B or C category space. We did not vacate that space. Post brand conversion, the true performance of UltraTech is visible. In fact, if you look at the brand growth, the brand has grown 21 .3% over the same period last year. Our team has been successful in converting the customers who were buying a B or C category brand of cement into a A category brand of cement willing to pay a price premium.

Our domestic grey cement volumes growth of 13.1%, I believe will be well ahead of industry's growth, translating directly into market share gains. Capacity utilization of 81% in a seasonally transitioning quarter on an enlarged 200-million -ton base speaks to the depth of our demand pipeline. This is the most important feature of UltraTech, the power of our brand.

Revenues grew 16%, EBITDA rose 12% and ever highest INR5,000 crore s plus EBITDA for April -June quarter, profits rose about 17%. Operating EBITDA per ton has been steady above INR1,200 this quarter as well. I wanted to appreciate the stability that it represents.

We have absorbed and are absorbing the sharpest imported fuel cost shock in recent memory , during the quarter , on a volume base enlarged by acquired assets that are still ramping up to system profitability , and we held per ton earnings essentially flat while growing absolute EBITDA 12%. That is cost discipline and operating leverage working exactly as designed. We hope that fuel prices will normalize in the near future. The acquired assets improvement capex - led cash flows through the P&L over fiscal '27 and '28, which will result in the per ton EBITDA trajectory only moving in one way in a sustainable direction i.e. upwards.

The discussion will not be complete if we don't talk about prices. Cement prices have been constructive during the quarter in the report. Our all India exit prices improved through June even as the monsoon now sets in, East and South led price improvements, Central and West were steady and North was more or less a consistent performer. Industry expects prices to hold broadly steady through the monsoon quarter due to the impact of increase in costs, which, frankly, is a constructive outcome for this time of year. With cost escalations of the past 2

quarters still to be fully passed through and demand momentum of the kind , we see a supportive price environment as a busy season approaches.

Our premiumization engine and blended cement in the trade mix continues to do quite a compounding work on blended realizations regardless of headline price movements. This is why our retail focus matters so deeply to us. The retail market is built around the individual customer IHP, the person, who decides what their house will be built with. For that customer, a home is a once -in-a-lifetime investment, representing a l arge pa

rt of their life's wealth. Hence, I believe
cement is not just a commodity purcha se. The customer does not shop for the cheapest bag. They reach for the brand they trust, the quality they can stake their families future on. That is the premium and that is why it endures. As India urbanizes, last data I have is about 35% of India is urban. We will reach about 39% by 2030. This compares to countries like Indonesia, which are already 59% urbanized. There's a long way to go for construction, development and urbanization.

We should quickly touch upon the West Asia crisis. Q1 '27 opened with the most disruptive situation, the Strait of Hormuz effectively closed. Nobody knew what Strait is, at least I did not know what Strait of Hormuz was before the war. Crude crossed $100 and our coal cost hit the roof. Things are still uncertain, but we are focused on achieving our targets. Through the crisis, our structural buffers did their job pretty well. Structural buffers, what I mean is our green power of about 1 ,897 megawatts met ab out 47% of our total power requirements at the end of this quarter. For the quarter, it was a lower number, but we have exited the quarter with 47% of our power being met by renewable sources, which are cheaper also. We continue to ramp up our AFR substitution and cement lead distance for this quarter has come down to 360 kilometres .

We absorbed the shock better than any peer, and we will harvest t he relief faster than any peer.

Permit me briefly to be slightly immodest because the data that I want to talk about clearly shows UltraTech's power. UltraTech's volume and profitability trajectory over the past few quarters has consistently outpaced the industry. June 2022 quarter, UltraTech grew 17.7% in volume terms, EBITDA of 1,230, whereas rest of the cement industry grew about 15.5% and ~800 EBITDA per ton. The numbers continued like this, June '23, 20% volume growth for UltraTech and 15.4% volume growth for rest of the industry and our EBITDA was higher by 25%. June '24, 6.5% volume growth and rest of the industry degrew, our EBITDA was 26% higher. June '25 and September '25, we had a bit of a shock in our volumes where we degrew, but we came back with a bang. December '25 quarter, we grew 15%, industry grew half our growth. March '26, we grew 9%, industry growing again less than half our growth. June '26, we have grown 13%, wait for the results to come out for rest of the industry, and we'll know wh ere the market share gains are.

Capex is something which is at the heart of our growth story. Fiscal '26, we completed the year with about INR9,500 crores deployed on the capex program. This journey will continue in April '26 or in this quarter, around 12 million tons of new capacity has got commissioned in the country, out of which 8.7 million tons is by UltraTech, Shahjahanpur, Visakhapatnam and Patratu , tweaking our domestic capacity to 200.1 million tons and total capacity to 205.5 million tons.

Projects under execution for capacity growth are backed by a capex of about INR17,000 crores in the next 2 to 2.5 years. We'll take our consolidated capacity beyond 242 million tons with grey cement capacity to reach 212.7 million tons by the end of fiscal '27 and further balance to be completed in the next year. Every ton of committed expansion at UltraTech is fully backed by secured limestone. There is no raw material constraint anywhere on this growth trajectory. Alongside capacity, we continue to inves t in structural cost advantages of green power, which now stands at 1 ,897 megawatts of renewable gree n power. Out of this, 71 megawatts of renewables and 19 megawatts of WHRS was commissioned in this quarter. We believe we will reach anywhere between 2.5 to 3 gigawatts very shortly. All these growth capexes, the cost improvement initiatives are all being funded with internal

accruals.

We had started the year with a net debt EBITDA of 0.94 and the quarter, we have ended with 0.87x net debt to EBITDA. Our belief is, and we are confident that this year also, we'll end the net debt to EBITDA below 1x.

The call will not be completed if I don't speak about India Cements, what a turnaround story it has been for us. There has been small murmur around the revenue numbers. Let me clarify, whilst the printed number speaks about INR1,013 crores of revenues as compared to INR1,021 crores of revenue same period last year, but there's an accounting adjustment because if you look at net of freight cost, since we have started reporting ex -factory sales from Q1 '27, knocking off the freight costs, the revenues were INR993 crores as compared to INR821 crores on a like -for-like basis, which is a 21% growth in revenues, backed by a 19% growth in their volumes. This is a clearest illustration of a principle this management, UltraTech management, holds sacred. We deliver what we commit. When we acquired ICL, we told you it was a turnaround waiting to be unlocked. Sound assets in strong markets, held back only by years of underinvestment and subscale operating discipline. One year in, that turnaround is no longer a promise on the slide. It is a trajectory you can read in the numbers. The improvement has been sequential and unbroken. India Cements' EBITDA per ton has climbed from roughly INR386 per ton in Q2FY26 to INR400 to INR509 and INR603 this quarter. Gain, which is quarter afte r quarter exactly as we said it would be. And every lever behind that number is one we own. Brand migration to UltraTech is 100% complete. Premium and trade volumes are rising. Cost improvement capex of about INR2,000 crores is being deployed into waste heat recovery, preheater upgr adation, cooler upgradation, et cetera, and a step change in the green power trajectory from around 3% of their power requirements to about 86% of their power require ments by the end of fiscal '28. You should also notice the rapid improvement in conversion ratio for India Cements. Today, we are already at 1.5x conversion ratio for India Cements production also.

Q2 fiscal '27 may look optically softer as the seasonal monsoon slowdown and the cost effects of West Asia disruption weigh on the quarter. But I would like you to look through that noise. The direction of travel is unmistakable and the destination is unchanged, and EBITDA of INR1,000 per ton for India Cements remains very much in sight with the full benefit of the capex program flowing thro ugh the P&L from Q4 fiscal '28.

Cables and Wires, the project is on schedule, on budget. We had approved an investment program of INR1,800 crores. Till the last quarter, INR888 crores has been spent or committed.

Channel partners onboarding is rapidly moving at a frantic pace. Facility setup is complete. Trial runs have commenced. Key regulatory approvals are in place. Leadership team is on board. The SAP systems, ERP systems are in place. CRM is under testing and will be live before the launch. We reaffirm commissioning and product launch in Q3 fiscal '27, October - December '26 quarter, precisely as committed to you when we announced this investment . We will be within our capex program, which we had announced earl ier.

Let me close where I began. Demand is strong and broadening. Fuel cost, storm is a yoyo, we have to keep an eye on and wait through it, the West Asia crisis, I don't know when it will end. Our acquired assets are turning from integration effort into earnings engines. Our growth to 240 million tons is funded and under construction. And this year, we launched a new growth business in terms of cables and wires. We said we will cross 200 million tons; we did a year early. We said we would complete brand migration of India C ements and Kesoram, we did a quarter early

.

We said cables and wires would launch in Q3 fiscal '27, and it will. That consistency of delivery quarter after quarter is our foundation and commitment.

We remain very confident of a very bright future for the next quarter, the quarter after that and the quarter after that. Thank you for your continued trust in UltraTech.

And with that, I hand over the call for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from Amit Murarka from Axis Capital.

Amit Murarka: Congratulations on a great result. My question is now on capital allocation actually, like you seem to be well on track to exceed INR20,000 crores OCF maybe next year. And you mentioned that the capex plan is like INR17,000-odd crores over the next 2, 2.5 years. So how do you think this growing cash flow will get utilized across dividends, cement capex? And is there any plan to scale up the cables and wires building material capex further?

Atul Daga: Amit, as of now, we are fully booked in terms of our cash flows. All the operating cash flows will get ploughed back into growth. And beyond that, also, there is dividends for shareholders. As of now, I don't foresee any requirement for further investment in cables and wires. They will now first mature and milk the investment that they have done. So capital allocat ion to conclude, remains very committed to cement and shareholders.

Amit Murarka: Sure, sure. And just a second question on India Cements. So, I believe most of the targets you had in mind when you acquired the business is now nearing completion. Just wanted to understand like what are the steps that remain before you contemplate, let's say, merging the business into a stand -alone entity itself?

Atul Daga: There is a capex program underway, which we mentioned has to get completed. There are some non-core assets in terms of land, which we need to dispose of . So Q4 '28 or maybe a quarter earlier, we expect to complete our journey. So, there's a lot of work still happening. When we look at operating parameters, there are certain operating parameters, which we still need to bring under control or in line with UltraTech's stand -alone performance.

Amit Murarka: And is this fair to assume this time you've not reported the stand -alone volumes in the presentation or press release. So fair to assume that the entire volume that is mentioned over there is basically stand -alone in terms of grey cement?

Atul Daga: Yes, please.

Amit Murarka: Stand -alone, I meant, UltraTech stand -alone basically...

Atul Daga: Yes, entire India Cements is part of UltraTech volume.

Moderator: The next question is from Rahul Gupta from Morgan Stanley.

Rahul Gupta: So, a couple of questions. One, you have talked about you growing faster than the industry over the past few years. Now not just on volumes, you have been outperforming on cement pricing as well. Now if we look at other large players, they are able to eith er prioritize volumes or they prioritize pricing. But in your case, despite your base, you have been gaining share on both sides. Can you please help us understand what is working for you and not for others? That's my first question.

Atul Daga: Thank you, Rahul. I think you already spoke for us, you give the answer. But nonetheless, how should I begin? I think UltraTech is a brand that customers trust. Decades of consistent delivery, bag after bag, site after site, which has made UltraTech synony mous with reliability. Quality that we swear by. Every ton that goes out has to meet our quality standards. It's not that there are no complaints , if there are complaints, product complaints, they have to get resolved ASAP. Our complete network of plants, whether it's integrated plant, grinding units or bulk terminals, everything is focused on meeting the customers' requir

ements. At Aditya Birla Group and as much as same as at UltraTech, the legacy of governance and ethical c onduct is at its highest pecking order.

Dealers, institutional buyers, they know when they're dealing with UltraTech, that certainly is assurance for them and it requires and command a premium. We are able to meet our customers' requirements wherever we are present with today almost 76 operating facilities spread across the country. We are within the reach of a customer with a network of nearly 2,000 plus/minus warehouses, 150,000 channel partners across the country , our dedicated transporters, almost 50% plus of our transport service providers are dedicated to UltraTech. All these things put together bring forward a power which is very unique to UltraTech. I think, Rahul, it can be a commentary or a story, which I can tell you over a cup of coffee, which might extend for a couple of hours, but my story will not be complete .

But UltraTech today is in a position with more than what, 16,000 employees across the country and the network that I spoke about, our RMC plant network, which has been rapidly growing, 477 RMC plants, 5,000 -plus UBS stores, which are dedicated dealers, if I can call them, dedicated outlets for UltraTech Cement besides any other building material clearly brings out a respect for UltraTech as a brand, which nobody else can come any close to.

Rahul Gupta : Got it. That's reassuring. My second question is partly data keeping. The last quarter, you mentioned that around INR20 per ton impact came in from the West Asia crisis. What would be that number for this quarter? And I know things are still volatile, but any guidance for the next quarter that may come up in terms of cost?

Atul Daga: Yes. So next quarter, which is July, September quarter will have a full impact of the war because we'll have all cost coming to a head from 1st of July plus monsoons. And monsoons are doing all right, if not too bad. But I know there are some pockets in th e country, which are staring at a very dry spell. But generally, if monsoons are doing all right, maintenance, we would have a large number of kilns undergoing maintenance. So, maintenance costs will be there. Fuel is expensive. We have stocked up, but the cost of fuel will go up. I would expect the cost to go up by INR130 to INR140 per ton, all put together. I can't associate one line item with war and other with something else. But all put together, we should be going up around INR130, INR140 per ton.

Rahul Gupta : Got it. And what would be one -off cost inflation in the first quarter?

Atul Daga: In the first quarter was fuel cost and packing bags. Packing bags was the biggest cost impact than fuel.

Rahul Gupta : Any way that you can quantify what that number would be overall cost?

Atul Daga: Fuel cost, it's given in the presentation, from INR874, it went to INR915 per ton, which is a 5% increase.

Atul Daga: Yes, INR25 to INR40 per ton was increase in fuel cost alone. In quarter basis, but we had seen packing bags from an average cost of INR9 plus/minus going up to INR14, INR15 also before settling down somewhere around INR10 a bag. So, from a INR9 per bag, it went up to INR12 per bag average for the quarter. These 2 elements, so INR40 was on fuel and INR20, give or take, on bag.

Rahul Gupta : Got it. Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal : Hi, thank you for the chance and congratulations on a good set of numbers. I have 2 questions. My first question has 2 parts on demand. Part of the demand has been helped by a drier weather, particularly in the month of June. Do you think that impacts demand negatively in the second half, particularly in rural areas?

Atul Daga: Yes. There are still some dry states . I was speaki

ng to somebody in the morning. Rajasthan is going through a very dry patch right now. So that demand impact will be felt next year because they will have water crisis. The usual slowdown in monsoon quarters, June was, of course, as you said, dry, but July onwards, we have started seeing wet spells acros s various parts of the country.

Good thing is that barring 1 or 2 states, every state has experienced rains. So, it's not that bad. But it's still the first month of monsoons, we'll have to wait for August and September to tell us how the weather progresses and what is the impact of the dry/wet spell.

Indrajit Agarwal : And second part of the same question, do you see a step change in demand in East, which has been a laggard so far at least in the past?

Atul Daga: Yes. Yes, very much. Multiple states which have gone through elections, the land reforms, which is about to come in place in one of the Eastern states. The structural change, which will be visible , it's not next quarter story, but it's next 2, 3, 4 years story. East will witness good demand upcycle.

Indrajit Agarwal : My next question is on the fuel mix. Given that the correction we have seen in pet coke, let's say, in the past month or so, is it still more favourable to buy coal or do we see that mix...

Atul Daga: Pet coke has become more expensive in energy terms than coal. So yes, coal becomes more attractive to buy , domestic coal becomes more attractive to buy.

Indrajit Agarwal : Sure. And lastly, the INR130 to INR140 per ton impact that you mentioned, does it also include the impact of operating deleverage given that 2Q is generally a low volume quarter?

Atul Daga: Yes. All in, I'm looking at, maintenance cost, operating deleverage, if you want to call it, fuel costs. Packing bag luckily is not moving haywire. So, it's a usual July, September quarter impact, whether . We cannot really say it's happening because of the war, let's be honest with ourselves. It's a usual July, September quarter.

Indrajit Agarwal : Yes, because the quantum looks much lower than the seasonality. So, congratulations on that as well.

Atul Daga: That's UltraTech for you, my friend.

Indrajit Agarwal : Thank you.

Moderator: Thank you. The next question is from Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : Congrats for great results. My first question is on if can you revisit your cost saving numbers? I think the last quarter, there were like for the next 2 years, we had like talking about upwards of INR200. Like how do you see...

Atul Daga: Prateek, what I had said also instead of looking at it quarter -by-quarter, we should look at it on an annual basis because this quarter, I show you something, and I'll have to show a negative performance in July, September quarter. Lead distance has come d own further from 367 to 360 now so,7 kilometres of lead has come down, if you annualize it at, at least INR2.5 to INR3 per ton per kilometre , that's a saving which is visible upfront. The clinker conversion has improved to 1.5. That's a small im provement. Other than that, power consumption has gone down, which is visible in my presentation. Power rate has gone down because of our power mix changes, which is visible in our presentation. But at the end of the year, we will give a comprehensive numb er. That will make more sense to do a comparison.

Prateek Kumar : Sure. And on war impact on cost curve, so it was like expected that the impact of cost would be -- I mean you also, I think, presented in a slide like last time, upwards of INR250 to maybe a higher number. So, including this INR130, INR140 cost impact next quarter, all of it is in the cost now by the end of 2Q for the company?
Atul Daga: So, Prateek, what I talked about, INR250 would be expecting for the industry gene

rally was not
a very thorough number. But as I mentioned now, from where we are, now I'm speaking about UltraTech, INR130 to INR140 further increase in cost, and we would trigger measures to absorb these costs. So, we'll see what we can achieve. But cost increases could be anywhere between INR130 to INR140 per ton in the July, September quarter, and I cannot alienate what is because of war and what is the normal maintenance quarter.
Prateek Kumar: Last question on your capacity utilization of 81%. Can we like split it region -wise? And you said the East region is inflecting, but any specific demand trend on a regional basis?
Atul Daga: One second. So yes, 13.1% growth that we talk about, East was the slowest in April, June quarter, partly because of the elections, labor availability. South and North were a shade below 15%. West and Central were above 15%.
Prateek Kumar: Sure. Thank you. I will get back to the queue.
Atul Daga: Thanks, Prateek.
Moderator: Thank you. The next question is from Siddharth Mehrotra from Kotak Securities. Please go ahead.
Siddharth Mehrotra: Thank you for the opportunity and congratulations on a good set of numbers, sir. Given the backdrop in which we are now almost 30% of the overall market, and we seem to put no foot wrong. Sir, just wanted to know what do you think are, say, the top 3 chall enges for our company, from a 5 -year horizon?
Atul Daga: The challenge , I'm trying to think. I will think and come back in the queue. So, I really don't know. I'm not being hoity -toity over here, but the biggest challenge for the industry and for us would be if demand slows down, which I don't foresee happening. So, from that point of view, I think we are in a very good situation where we have 200 million tons of capacity , utilized at 81% this quarter, 200 million going to 240 million and there will be growth further very soon, we'll come back with our growth plans. As long as I think fundamentally, we believe as long as demand is there, everything else is immaterial. And as I mentioned, the urbanization factor, which is 35% in India, might reach about 39% by 2030, which is still way below as compared to most of the other markets.
So, if something were to happen structurally to demand growth and suddenly people are not buying houses and industrialization is not happening, data centers start vanishing from India and be done in Pakistan or anywhere else, that could be an issue, which I d on't think is going to happen. So, demand remains strong. The challenge will be that we don't have capacity. We have to expand.

Siddharth Mehrotra: Got it, sir. This is well understood, sir. Sir, just wanted to check, there's a slide we have presented on raw material cost index. And I noticed that our limestone raising costs have gone up significantly, almost like 13% to 14% on a Q -o-Q basis, and they are at the highest level in the past 2 years. So, can you just tell us what has happened there? Why is this cost suddenly spiking?
Atul Daga: You know, I don't know what kind of vehicle you drive, petrol or diesel. And you didn't pay any higher price for fuel, but industrial diesel went up almost 50% from INR100 per liter to INR15 7.
From INR78, INR80, my colleagues correct me from INR78, INR80 pre -war, it went up to INR150s during the war period. They had reduced it, but now I believe, again, prices are going up. So again, it's an upward movement. So, this diesel is a very big component and limestone raising cost, which impacted our raw material costs.
Siddharth Mehrotra: Understood, sir. This is essentially industrial diesel, which has been used?
Atul Daga: Yes. Industrial diesel.
Siddharth Mehrotra: Just sir, one last question. Sir, any sort of guidance or projections or any aspirations you have, say, for example, in the Wires and Cables segment, which is about to come online n

ext quarter?
Atul Daga: Sky is the limit. So, we don't give any guidance. So, we would like to be profitable , grounded and grow with the market.
Siddharth Mehrotra: Got it, sir. Thank you.
Atul Daga: Thank you.
Moderator: Thank you. The next question is from Raghav Maheshwari from Equirus Securities. Please go ahead.
Raghav Maheshwari: Congratulations, sir, on the excellent results. Sir, just one thing I want to understand. As you mentioned in your opening remarks about brand power and premiumization. My question is regarding that how do you see Indian cement industry as a brand product play versus right now going into the market as a commodity product play? And what is your view on a brand power role in the trade market today and its importance evolving over the medium to long term?
Atul Daga: Thanks, Raghav. So, I think India is a retail market. From any wild stretch of imagination, if you look at the urbanization level in the country, the demand potential that exists, the RMC mix in the country, RMC as a percentage of overall business might not be more than 20%. That clearly says that where is the remaining cement getting sold, it's in the retail market. So as long as cement or India is the retail market for cement, it will remain a branded cement play, is my view, my personal opinio n. And there is enough data available for you. As I told you, RMC, for us, it's about 3.5%. 3.5% of our sale is RMC. Our institutional customers would be 35% or thereabouts, give or take. 65% to 66% would be retail. If I marry this data point to India as a whole, as the demography of India, the spending habits of India, if you look at the number of cities, which are more than 1 million population, today, we have 63 cities which will reach to 71 cities by 2030. The point is there's a huge amount of urbanizat ion required. If you look at cities with vertical housing, there are not too many. You can count them on your fingertips and now

Indian housing is verticalizing wherein corporate real estate is happening, but large part of the country remains to be individual homebuilder.
As long as India is an individual homebuilder market, it's a retail market, and that's where the retail markets bring the requirement of brand. Very unique market in India, not just cement, steel is also branded. There are several other commodities which if you step outside India and look at those are commodities, but India, for example, TMT, my colleague is telling me, TMT rebar , Tatas have steel, which is a branded product , JSW has a retail brand on steel . Paints in India is a big brand, because it's a r etail market. Why are they brands? Because it's a retail market, and that's where cement also is in the same story. So, India is a retail market, and that's where brand play comes into picture. And I believe given the timelines that we look at, at least I don't know, very long number of years before India is fully urbanized. So, till then, you will have a brand play. I hope I have answered your question.
Raghav Maheshwari : Yes. Sir, is it a fair understanding that till the market level, we will not achieve almost 70%, 80% sales of cement via RMC or for the key customers, still the brand power will remain in the key focus, right?
Atul Daga : Yes. And if I were to correlate this with UltraTech, out of ou r total sale of 40 million ton s or last year, total sales of 145 million ton s, 3.5% was RMC sales. This is in spite of the fact that we have the largest number of RMC plants in the country. We have today 477 plants. So, RMC will be a surrogate. You go to any other market, you step to the neighbo uring UAE, where RMC is the biggest customer for cement. And there, we don't have a brand play. As long as India is still very in its nascent s tages in RMC, India will remain a branded cement player.
Raghav Maheshwari : Got it sir. Thank y

ou all the best.
Atul Daga : Thank you.
Moderator: Thank you. The next question is from Raashi from Citigroup. Please go ahead.
Raashi: Thank you. My first question is on pricing. You mentioned that the June exit prices were higher in the South and the East. So, are you expecting like the overall monsoon quarter to average slightly higher than the prior quarter or flattish?
Atul Daga : Expecting higher is definitely everybody's desire. We will attempt it. We'll see where we land.
Raashi : Okay. Understood. Then industry volume growth would be how much during this quarter?
Atul Daga : Too early, but anywhere between 7% to 8%. We want to see some more results. But our marketing intel says it should be around 7% to 8%.
Raashi : And on the capital’s expenditure, the bulk of your expansion is g etting concluded in FY 28. So, beyond that, is there anything on the drawing board yet organic? Or is it going to be inorganic if at all opportunities come up?

Atul Daga : So inorganic, obviously, if there are opportunities, we will examine them. And our team has already got on to the dr awing board to take us beyond 240 . Once the plans are ready, we will come back with absolute micro details.
Raashi : Got it. And just one last question for me. The blended coal cost was how much during the quarter? And how much is it now?
Atul Daga : 1.9 Yes, that's you're asking was 1.9.
Raashi : On a coal cost basis and on a dollar basis, do you have a number?
Atul Daga: USD134 per ton.
Raashi : And where are we at now?
Atul Daga : Would be around INR 2 per Kcal . And Raashi, INR 2, I think we won't go beyond that because we are fully inventory loaded.
Raashi : Got it. Okay. Thank you.
Atul Daga : Thanks Raashi.
Moderator: Thank you. The next question is from Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : Thank you for taking my question. Sir, my first question is more a clarification to the question Indrajit had asked. Typically, between first and second quarter, just because of negative operating leverage, you have about a INR200 increase in cost per ton . Plus, obviously, there's increase in power and fuel cost. What you mentioned was the overall increase in cost would be more like INR120, INR130 per ton . I just want to make sure that I get this.
Atul Daga : Yes. There will be INR130 to INR 140 cost pressure. And what Indrajit talked about negative operating leverage, there is a positive in that negative operating leverage also because our size has been continuously going up. So whatever volumes we sell will be significantly higher than earlier periods, which will give us still some advantage.
Pulkit Patni : But sir, still, I mean, so it will be 200 decline plus the increase in fuel cost? So tha t should be in the range of INR320, INR 330 overall, right? Is that not right ?
Atul Daga : No. I am looking at not 200 decline. I'm looking at 140 decline in terms of my 130 to 140 decline because of costs.
Pulkit Patni : Okay. Maybe I'll take it offline just to understand things better. My second question is on river linking.
Atul Daga : Pulkit, one second. What I was talking about is from the previous quarter.
Pulkit Patni : Sequentially?

Atul Daga : Sequentially, yes. I was not commenting on Y -o-Y because I think nobody looks at Y -o-Y these days.
Pulkit Patni : No. Absolutely. My question was also only sequentially.
Atul Daga : All right.
Pulkit Patni : Okay. But I'll need to get a better understanding. Sir, my second question is on river linking. You mentioned Ken -Betwa, which is the first project which is underway. Like just to understand, is river linking a very cement -intensive project, like because there could be more coming in India in the next few years. So just wanted to get a broad understanding l

ike how cement intensive
similar to like a hydropower plant would it be?
Atul Daga : Well, I don't have a comparison with hydropower plants, but river banks have to be done. Silting has to be done. And I don't know whether dams are required or not required, but river banks have to be built, which is concrete. And with the river banks being built, you have concrete structures on the either sides as well. So, we expect it to be very cement happy situation. But Vadhavan port, I forgot to mention, I should have mentioned now. I think multiple packages have already been awarded, which means that, that work will also commence for the country. So, a lot of positivity.
Pulkit Patni : Absolutely. No, thank you so much.
Atul Daga : Thanks Pulkit.
Moderator: Thank you. The next question is from Ashish Jain from Macquarie India. Please go ahead.
Ashish Jain: Hello. Hi sir, good afternoon. Sir, my first question is on dividend. How should we think about dividend? Because last year, what we paid had a one -off. Should we think it is more per share basis or as a percentage of profits, how should we think about it?
Atul Daga : Percentage of profits, that's the way our Board is looking at it.
Ashish Jain: But ex of one -off, is the more sustainable one to think?
Atul Daga : I'm sorry?
Ashish Jain : Ex of the one -off that we paid
Atul Daga : You call it special, be happy with it, but I'm expecting good dividends.

Ashish Jain : Right. Sir, secondly, in terms of pricing, let's say, in the short term, which is Q2, I understand pricing, we are hoping it to be resilient. But is there something for us to believe is a more structural change and shift on profitability focus, at least fo r us and hope that even if, let's say, input cost goes down in the later part, pricing and margins should structurally remain higher? Or there could be a focus shift to market share much faster with all the capacities that we are adding?

Atul Daga : I don't know you went too long; I have lost track of what you were saying. Can you repeat?
Ashish Jain : Sir, so what I'm saying is near term, the cost inflation will support pricing is the hope or expectation at least that we have. But in the later part, if input cost goes down, should we think that pricing will be at risk or given that we still focus on.
Atul Daga : I feel, Ashish, prices move with demand. If demand is strong, all India basis, then prices can go up. And if cost curve comes down, then obviously not necessary to prices to reduce.
Ashish Jain : Okay. Fine. Thanks a lot sir.
Atul Daga : Thank you.
Moderator: Thank you. The next question is from Pinakin from HSBC. Please go ahead.
Pinakin : Thank you sir. Two questions. If I look at the grey cement volume growth, in the fourth quarter, it was 9.3% year-on-year, in the first quarter it's 13.1%. So clearly the market is picking up. If the industry environment remains as it is, can we expect double -digit demand growth, double -digit sales volume growth for gr ey cement in FY27 for the company?
Atul Daga: Yes, we are targeting double -digit volume growth this year.
Pinakin: Okay. And what will you attribute to this acceleration in market share gains quarter -on-quarter?
Atul Daga: Pinakin, we spoke about it. I think the fundamentals of our brand are very strong. Our distribution network, our reach to the markets, our people, our quality, the brand which people trust, I mentioned about the whatever category you might want to call th e old India Cement and Kesoram brands, they were certainly not A category brands. From their own B or C category markets, we have not lost a market share. What does it mean? That we have converted that market for a customer who was happy buying B and C category at a at a particular price point, now has got convinced to buy UltraTech at a higher price. That's where our strength lies , a

nd
that is where the whole growth trajectory is, that is where we are able to do better than the industry.
Pinakin: Sure, thanks. Just on the variable cost, especially packaging and energy. Now we understand Q2 would have a delayed flow -through of the prices that were prevailing in April and May. But if we take the spot prices of pet coke, of packaging, should we expect second half variable cost to be lower on a per ton basis versus the first half?
Atul Daga: Yes, logically yes. Now the war has to go out of the way , so that oil subsides and coal and pet coke, because ocean freight, my colleague was telling me just today, insurance premiums have gone up to 4% -5% for the ocean route as compared to less than 1%. So that is the kind of differences which the war is creating. Once the war is out of the way, thi ngs should stabilize and H2 hopefully, God willing, should be a better place in terms of cost.
Pinakin: Sure, thank you very much, sir.
Atul Daga: Thank you.

Moderator: Thank you. The next question is from Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hi, sir, thanks for the opportunity. Congratulations for good set of numbers. Three quick questions. Sir, first on wires and cable, what is the sort of working capital days that we are looking at?
Atul Daga: So initially we will have a higher working capital because we have to pile up, ramp up inventories. But going forward and structurally we are working on financing our suppliers on cables and wires which should release working capital. So, excuse me for havi ng a higher working capital for the next six months after which we start stabilizing and coming down to 30 days plus -minus of working capital. I don't have a number readily, but that's the intent.
Ritesh Shah: But sir, specifically on the inventory days, I think , again we will be procuring from Hindalco, given the lead distance it's quite low over here.
Atul Daga: Four hours, four hours.
Ritesh Shah: Exactly, so there should be tangible benefit on the denominator on working capital over here, right?

Atul Daga: Yes, please. That's what I'm saying. So, I don't have a handle on exact number which we'll land with, but April -June '27 should be a period to see a stable number. Right now, it'll be a ramp -up of working capital.
Ritesh Shah: Sure. Sir, my second question is we've already commissioned 55% of what we are supposed to commission for the full year. We are adding almost 45 million tons FY27- FY28. Would you like to put a certain number, say for our capacity addition FY27- FY28? This is like what percentage of the market? Probably you can qualify it from a capacity share or a market share, either of it will help ?
Atul Daga: So, this I think we'll have to work out and give it to you, but March '28 we should exit with 235 million tons in India. We will end 212 million tons March '27, so that's a balance coming up to a 22-25 million tons the next year.
Ritesh Shah: As per your estimates, how much is the industry capacity addition in '27 -'28?
Atul Daga: We'll have to again recalibrate it, Ritesh, because whatever I hear some industry players are wanting to revisit their expansion plans. So, when we have a firm number there, then only I think you would be in a better position to tell me what is the indust ry growth expected. You know my number, we will reach at 235 million tons to end of March '28 from 200. something today. So, we have 37 million tons coming in '27 and '28.
Ritesh Shah: Perfect. Sir, just last question, you covered most of the variables, we didn't hear magical INR1,400 per ton number from you. Would you like to qualify timelines over here?
Atul Daga: I have already called it out n number of times. There's no point in repeating it. January -March '28 quarter without any war.

Ritesh Shah: Without any war. Okay, cool. Thank you, sir.
Moderator: Thank you very much. We'll take that as the last question. On behalf of UltraTech Cement Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of the call.